LAWS1702 Contracts II Exam Masterdoc

Ashleigh Locke

Table of Contents

Topic 1 – Basic Concepts, Discharge by Performance *13*

General 13

What is Debt vs Damages 13

Termination vs Recission 13

Discharge 14

Discharge by Performance 14

Full Performance 14

Contract Price 14

Obligations 15

Independent, Dependent, or Concurrent 15

Exact and Entire Obligations vs Divisible Obligations 15

Exact and entire 15

- Cutter v Powell (1975) 15
- Sumpter v Hedges 15

Divisible 16

- Government of Newfoundland v Newfoundland Railway Company (1888) 16

Sunstantial Performance 16

Doctrine of Substantial Performance: 16

- Hoenig v Isaacs (1952) 16
- Bolton v Mahadeva (1972) 17
- Jacob & Youngs Inc v Kent 17

Topic 2 – Discharge of Contracts by Consent, Termination, and Repudiation *17*

Discharge by abandonment or consent (not assessed) 17

Breach of Contract 18

Discharge by Termination: Breach or Repudiation 18

Tests for termination: 19

Repudiation 19

Repudiation gives innocent party an election to terminate. 19

- **Foran v Wright (1986)** 19

Test for repudiation 20

- **Luna Park v Tramways.** 21
- **Foran v Wright.** 21

Erroneous Interpretation of a Contract 21

- **DTR Nominees Pty Ltd v Mona Homes Pty Ltd (1978)** 21
- **Progressive Mailing House Pty Ltd v Tabali Pty Ltd (1985)** 21

Wrongful termination 22

- **Starlight Enterprises Ltd v Lapco Enterprises Ltd [1979]** 22
- **Oxborough v North Harbour Builders Ltd [2002]** 22

Repudiation of Instalment Contracts 22

- **s33 Instalment deliveries, Sale of Goods Act 1896, Qld** 23
- **Maple Flock v Universal Furniture Products (Wembley) Ltd** 24
- **Hammer & Barrow v Coca Cola** 24

Effects of Repudiation 24

- **Illustration: Foran v Wight (1989)** 24

Topic 3 – Termination for Serious Breach and Delay *25*

Serious/Fundamental Breach 25

Classification of Terms: Conditions, Warranties, Intermediate Terms 26

- **Foran express, Bunge Corp implied** 26
- **(HongKong Fir, Koopahtoo)** 26

Termination for Breach of an Essential Term ('Condition') 26

Conditions 26

- **S 62 of the Property Law Act 1974 (Qld).** 27
- **S 13 of the Sale of Goods Act 1896 (Qld).** 27

a) Breach of "Essential" Time Stipulations 27

- **Bunge Corp New York v Tradax Export SA Panama [1981]** 27

b) Breach of "Non-Essential" Time Stipulations 27

Notice requirements: 27

- **Louinder v Leis (1982)** 27
- **Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989)** 27

TEST of ESSENTIALITY, Luna Park 28
- Illustration 1: Luna Park v Tramways (1938) 28
- Illustration 2: Associated Newspapers v Banks (1951) 28

Doctrine of classification of a term as essential has drawbacks: 29
Discharge by Termination – Delay 29
Time Stipulations and Delay 29
- Bunge Corporation New York v Tradax Export SA Panama [1981] 1 WLR 711 30

Delay and Repudiation 31
Notice Requirements 31
- Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989) 166 CLR 623 31

What is a reasonable time? 32
- Louinder v Leis (1982) 149 CLR 509, 526 (Mason J) 32

Topic 4 – Election to Terminate, Consequences of Termination 33
Doctrine of Election 33
Affirmation of Contract 33
Through 'actual' election, which requires: 33
Through 'imputed' (deemed) election, which requires (imputed through conduct): 33
- Coastal Estates v Melevende [1962] 34

Postponing Termination 34
- Tropical Traders v Goonan 1964 34

THE MECHANICS OF TERMINATION 35
- Vitol SA v Norelf Ltd [1996] 35

Election and Reasonableness 35
- White & Carter v McGregor [1961] 36

The Effects of Termination 36
Accrued Rights 37
ENFORCING ACCRUED RIGHTS 37
Accrued Unconditionally 37
- McDonald v Dennys Lascelles Ltd 1993 37

Total Failure of Consideration 37
- Foran v Wight (1989) (termination) 38
- Fibrosa v Fairbarn (1943) (frustration) 38

- Cf. Baltic Shipping v Dillon (1993) (failure of consideration only partial). 38

Payment of Debts vs Restitution 38

Restitution and Termination 38

Restitution of Goods and Services 38

Topic 5 – Frustration of Contract (brief), Privity and Enforcement *39*

FRUSTRATION AND PRIVITY ARE NOT ASSESSED. *39*

Basic issues to consider in a termination problem 39

Frustration 39

- Codelfa Construction Pty Ltd v State Rail Authority of NSW (NOT REQUIRED READING) 40

Effect of Frustration 40

As for discharge generally: 40

Effects of Termination 40

- Fibrosa Societe Anonyme v Fairbarn Lawson Combe Barbour [1942] 40

Enforcement of Contracts 40

Third Party Promises 41

- Beswick v Beswick 41

Privity and Joint PromiseEs 41

- Coulls v Bagots Executor (1967) 41
- s68 Property Law Act 2023 (Qld) 41

How can I enforce? 41

1. SPECIFIC PERFORMANCE 41

- CH Giles 42

A) Adequacy of Damages 42

- e.g. Dougan v Ley (1946) 42
- (Sky Petroleum Ltd v VIP Petroleum [1974]) 42
- (Beswick v Beswick [1968]) 42

B) Hardship to the Defendant 42

- (Patel v Ali [1984] Ch 283). 42
- (Markholm Construction v Wellington [1985]). 42
- Co-operative Insurance Society Ltd v Argyll Stores Holdings Ltd [1998] 42

C) Difficulty in Supervision 42

- JC Williamson v Lukey (1931) 43

D) Personal Services 43

- CH Giles & Co Ltd v Morris 43
- Lumley v Wagner (1852) 43

E) Mutuality 43

- (JC Williamson v Lukey (1931)) 44
- (Page One Records Ltd v Britton [1967]). 44
- Dougan v Ley (1946) 44

Injunctions 45

- Co-operative Insurance Society Ltd v Argyll Stores (Holdings) Ltd [1997] 45
- Lumley v Wagner (1852) 45
- Warner Bros v Nelson [1937] 46
- Page One Records v Britton [1968] 46

Lord Cairns Act Damages 46

Topic 6 and 7 – Damages I & II– Damages for Breach, Penalties Doctrine 47

THE CONCEPT OF DAMAGES 47

'Residue' Theory of Damages 47

In other areas of law 47

IN CONTRACT LAW 47

ROBINSON v HARMAN RULE 47

ASSESSMENT OF DAMAGES 48

Assessment of Damages: The Expectation Interest 48

DOUBLE RECOVERY 48

EXPECTATION CAP 48

Determining the Expectation Interest: Accounting Headings and Double Recovery 49

DETERMINING THE EXPECTATION INTEREST: GROSS (TOTAL) VS NET EXPECTATION 50

EXPECTATION VS RELIANCE DAMAGES 51

RELIANCE MEASURE 51

EXPECTATION MEASURE 51

- Illustration: Expectation vs Reliance 51
- Illustration: The Expectation Cap 51

RECOVERING RELIANCE DAMAGES FOR BREACH OF CONTRACT 52

- McRae v Commonwealth Disposals Commission (1952) 52
- Commonwealth v Amann Aviation (1991) 53
- Cessnock City Council v 123 259 932 Pty Ltd [2024] 53

FACILITATIVE PRINCIPLE 54

Damages – Causation and Remoteness 54

CAUSATION 54

- Anglia Television Ltd v Reed 54
- • Compare McRae v CDC (1951) 55

REMOTENESS 55

- The Rule in Hadley v Baxendale: 55
- Hadley v Baxendale (1854) 55
- Imputed Knowledge – Victoria Laundry 56

Victoria Laundry (Windsor) Ltd v Newman Industries [1949] 56

- Actual Knowledge – Cornwell Gravel 56

Cornwell Gravel v Purolator Courier Ltd [1980] 56

Contract Damages vs Tortious Damages 59

DAMAGES IN CONTRACT VS TORT 59

Causation and Remoteness 60

DIFFICULTIES IN MEASUREMENT OR ASSESSMENT OF DAMAGES 60

MEASUREMENT OF DAMAGES 60

COST OF CURE VS DIFFERENCE IN VALUE 61

- Ruxley Electronics v Forsyth [1995] 61
- Tabcorp Holdings Ltd v Bowen Investments Pty Ltd (2009) 61

COMPLICATIONS IN ASSESSMENT – loss of chance, time of assessment, non-pecuniary damages 62

LOSS OF CHANCE 62

- See Chaplin v Hicks 62

BREACH DATE RULE 62

- E.g. 'The Golden Victory' [2007]. 63

NON-PECUNIARY DAMAGES 63

- Jarvis v Swans Tours Ltd [1973] 63
- Baltic Shipping Co v Dillon (1993) 63

MITIGATION 64

Topic 8 – Vitiating Factors (general) – Mechanics and Effects of Recission & Doctrine of Mistake *68*

VITIATING FACTORS 68

Duress, Mistake, Misrepresentation, Undue influence + Unconscionability, Illegality + Public Policy 68

EFFECTS OF VITIATION: 68

Void contracts 68

Voidable contracts 68

Unenforceable Contracts 68

THREE STATES OF AFFAIRS 69

The importance of the distinction 69

ILLEGALITY AND PUBLIC POLICY 70

Recission 70

OKAY WHAT IS RECISSION 70

- Coastal Estates v Melevende (1962) from week 4 71

Bars to Recission 71

- – Alati v Kruger (1955) 71
- – Vadasz v Pioneer Concrete (1995) 72
- Alati v Kruger (1955) 72
- Vadasz v Pioneer Concrete (1995) 72

MISTAKE 72

- Smith v Hughes 72

COMMON MISTAKE 73

COMMON MISTAKE AT COMMON LAW 73

1. The constructional approach 73

- McRae v Commonwealth Disposals Commission (1951) 73

2. The civilian approach 73

- The Great Peace [2003] 73

COMMON MISTAKE: AN IMPORTANT CAVEAT 73

- McRae v Commonwealth Disposals Comission (1951) 74
- The Great Peace [2003] 74

RESCISSION IN EQUITY FOR COMMON MISTAKE? 74

- Solle v Butcher [1950] (Denning LJ): 74

RESCISSION IN EQUITY 75

MUTUAL MISTAKE 75

- See e.g. Raffles v Wichelhaus [1864] 75

UNILATERAL MISTAKE 75

I. MISTAKE AS TO TERMS 75

- See e.g. Smith v Hughes (1871) (where D thought they were buying 'old' oats) 76
- Taylor v Johnson (1983) 76

MISTAKE AS TO IDENTITY 76

- Shogun Finance v Hudson [2003] 76

Topic 9 – Misrepresentation as a Vitiating Factor in Equity and Common Law, & Prohibition of 'Misleading or Deceptive Conduct' under ACL & remedies available for loss or damages under that provision 77

MISREPRESENTATION 77

Whether there was a misrepresentation (a positive statement of fact by the representor which is false); 77

A POSITIVE STATEMENT OF FACT 77

- But can include implied assertions 78
- Edgington v Fitzmaurice (1885) 78
- Smith v House and Land Corporation (1884) 78
- Ritter v Northside Enterprises(1975) (do not read) 78

I. POSITIVE DUTIES OF DISCLOSURE 79

- With v O'Flanagan [1936] 79

II. PARTIALLY TRUE STATEMENTS 80

- Dimmock v Hallet (1866) 80

HOW TO STRUCTURE AN ANSWER! 80

III. FRADULENT CONCEALMENT OF A DEFECT (Horsfall v Thomas) 81

- Horsfall v Thomas [1862] 81

INDUCEMENT 81

Whether the misrepresentation has induced the representee to enter the contract; 81

CAUSATION 81

INFERRED RELIANCE 82

- Gould v Vaggelas (1985) 82

REBUTTING THE INFERENCE 82

- Actual Knowledge - Redgrave v Hurd (1881) 82
- Misrepresentation need not be the sole cause of entry - Edgington v Fitzmaurice [1885] 83

CULPABILITY 83

RELEVANCE OF CULPABILITY 83

I. CULPABILITY: NEGLIGENCE 84

II. CULPABILITY: FRAUDULENT 84

- Krakowski v Eurolynx (1995) 84

DAMAGES FOR MISREPRESENTATION 84

s18 of Australian Consumer Law 85

THE SCOPE AND PURPOSE OF THE PROVISION 85

'TRADE OR COMMERCE' Requirement 85

- Concrete Constructions v Nelson (1990) 86
- Bevanere v Lubidineuse (1985) FCA 160 86
- O'Brien v Smolongov [1983] 86

'CONDUCT' 87

A. SILENCES AND HALF-TRUTHS 87

- Henjo Investments v Collins Marrickville [1988] 87
- Miller v BMW [2010] 88

B. REPRESENTATIONS AS TO FUTURE 88

C. PROMISES 89

D. OPINIONS 89

- Global Sportsman v Mirror [1984] 89

In asking if conduct is 'MISLEADING OR DECEPTIVE' 89

- – Wilson J's statements in Gould v Vaggelas (week 9) can be invoked here 89

THE AUDIENCE OF THE CONDUCT 90

- Butcher v Lachlan Realty (2004) 90

FAILURE TO TAKE CARE 90

- See e.g. Miller v BMW 91

EFFECT OF EXCLUSION CLAUSES 91

REMEDIES UNDER THE ACL 91
1. DAMAGES s236(1) reads: 91
- Marks v Gio Australia Holdings (1998) 91
2. OTHER ORDERS 92
MISREPRESENTATION AND s 18 92
REMEDIAL OPTIONS 93
Topic 10 – Three Doctrines that render a contract voidable from illegitimate pressure or exploitation: Duress, Undue Influence, Unconscionable Dealing 93
ILLEGITIMATE PRESSURE AND EXPLOITATION 93
DURESS 93
1. ILLEGITIMATE PRESSURE 93
A. DURESS TO THE PERSON 93
B. DURESS OF GOODS 93
C. DURESS THROUGH ILLEGITIMATE COMMERCIAL PRESSURE 93
- North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd [1972] 93
LAWFUL ACT DURESS 94
- Verve Electricity Energy Corporation v Woodside Energy Limited [2013] 94
DURESS AND UNCONSCIONABILITY 94
REMEDIES 95
UNDUE INFLUENCE 95
CLASS I – Actual Undue Influence 95
- Thorne v Kennedy [2017] 95
UNDUE INFLUENCE: CLASS IIA: Belongs to an established class 95
UNDUE INFLUENCE: CLASS IIB: Court presume undue influence given the nature of the interaction 96
THE EFFECT OF THE PRESUMPTION 96
- Johnson v Buttress (1936) 96
UNCONSCIONABLE DEALING 96
REQUIREMENTS FOR UD 97
UNCONSCIONABLE DEALING IN THE ACL 97
- – ACCC v Berbatis (2003) 97
- – Kakavas v Crown Melbourne Ltd (2013) 97

SPECIAL DISADVANTAGE 97
RELEVANCE OF CONSIDERATION 97
- Commercial Bank of Australia v Amadio (1983). 97
- Louth v Diprose (1992)..... 99
SPECIAL DISABILITY AND INEQUALITY OF BARGAINING POWER 99
- ACCC v CG Berbatis Holdings (2003)..... 99
KNOWLEDGE AND UNCONSCIENTIOUS USE.....100
- Kakavas v Crown Melbourne Limited [2013] 100
REMEDIES FOR UNCONSCIONABLE DEALING 100
The relationship between undue influence and unconscionability.....100
DURESS 101
TYPE II UNDUE INFLUENCE 102
UNCONSCIONABLE CONDUCT/DEALING.....102
SO WHAT'S THE RELATIONSHIP BETWEEN THESE THREE DOCTRINES? 103
Topic 11 – Statutory Unconscionability & Third-party Impropriety 104
UNCONSCIONABILITY WITH RESPECT TO GOODS AND SERVICES 104
Illustration of ss21,22:.....104
- ACCC v Lux Distributors [2013].....104
UNCONSCIONABILITY WITH RESPECT TO FINANCIAL SERVICES 105
- ASIC v Kobelt [2019] 105
SYSTEMS UNCONSCIONABILITY.....105
- Stubbings v Jams 2 Pty Ltd [2022] 105
- Productivity Partners Pty Ltd v Australian Competition and Consumer Commission [2024].....106
Accessorial Liability.....107
THIRD PARTY IMPROPRIETY.....107
THIRD-PARTY IMPROPRIETY AND SPOUSES 107
THIRD PARTIES 108
NOTICE PRINCIPLES IN AUSTRALIA.....108
- Bank of NSW v Rogers (1941). 108
- The Principle in Yerkey v Jones (1940).....108
FIRST LIMB OF YERKEY 108

SECOND LIMB OF YERKEY **108**

- **Garcia v NAB (1998) 194 CLR 395** **109**

3RD PARTIES AND UNCONSCIONABILITY **110**

Topic 1 – Basic Concepts, Discharge by Performance

GENERAL

- Contracts are binding in the sense they are legally enforceable
- A party in breach of contract is liable to either:
  - i) Coercive enforcement of the contract (specific performance/relief, injunctions)
  - ii) A monetary substitute for performance in the form of damages – if specific performance is difficult or unavailable - monetary equivalent for an order of specific performance, not just what the party lost, but also what gain they may have been able to make had the other party followed through. Expectation remedy.
- Situations in which a party is relieved if duties of full performance are rare.
- There are very few valid legal reasons for non-performance. Some exceptions include:
  - a) Where there is a valid election to terminate e.g. venue destroyed
  - b) Election to rescind
  - c) Frustration

WHAT IS DEBT VS DAMAGES

Debt	Damages
i. An action for a liquidated (fixed) sum which is a primary obligation under the contract (e.g. purchase price) e.g. A promises B $50,000 to perform. B performs but A doesn't pay. B calls an action for debt. or ii. An action for liquidated damages, a sum agreed upon by the parties in the event of breach e.g. Contract included clause that if B fails to perform on date he will pay a sum of $100,000 damages. No need to prove any loss here.	An action for damages is an action for an unliquidated (unmeasured) amount that provides the monetary equivalent of performance upon breach. Loss that arises from breach. Damages are subject to various restraints, including duty to mitigate. They must be provided by the claimant. More difficult to bring this action as you have to prove the loss and show that the loss has not arisen from your own failure to mitigate.

VERY IMPORTANT.
Strategically would prefer to recover for debt over damages.

TERMINATION VS RECISSION

These are both at the election of the party who possesses the right to terminate/rescind.

Termination	Rescission
Termination discharges a contract prospectively; unconditionally accrued rights and obligations are unaffected. Requires repudiation or serious breach. Ends the contract at date of termination e.g. Party B calls to say I can't perform, Party A elects to terminate. e.g. Divorce – you were married up until this time We had a contractual relationship but now do not.	Rescission unwinds the contract, attempts to put the parties in the position they were in prior to contract formation. Requires some sort of vitiating factor (duress or misrepresentation) Unwinds the contract – unravels the contractual relationship between the parties and tries to put you back in the position parties were in before they entered the contract at all. e.g. nullified marriage – pretense that you were never actually married for a given reason e.g. a party misrepresents the nature of the subject matter. They tell you it's a 1992 Holden, but it's actually a 2002.

	You were led into the contract by the belief of 1992. You rescind the contract. We thought we had a contractual relationship, but it was spoiled before we entered, so we are now trying to unravel it.

NOTE: courts do not use this language consistently. They sometimes interchange.

DISCHARGE

- To bring a contract to an end, no further primary obligations under the contract.

Can happen by:

- Performance – full performance of the contract
- Consent – parties both agree to not perform
- Election to terminate for serious breach or repudiation – one party can be relieved from obligations of another has demonstrated through words or conduct an unwillingness or inability to perform the whole contract or part of the contract
  e.g. Party B calls Party A to tell them they cant perform. Party A accepts and is then able to mitigate by searching for another performer.
- Non-fulfillment of a contingent condition
- Operation of law due to a frustrating event – frustration of the basis of the contract, NOT an event that is frustrating. The contract has to be made either impossible to perform or radically different. E.g. made unlawful or illegal through subsequent legislation. E.g. party B agreed to build party A pool, but new legislation does not permit residential pools. The contract is frustrated.

DISCHARGE BY PERFORMANCE

Performance is completion of what has been promised. A contract in which all primary obligations have been performed is discharged by performance.

Distinguish between:

- Discharge of contract for full performance; and
- Performance as a condition of recovering the contract price (purchase price, sum owed, etc) as a debt;
  Relevant for two reasons: 1. When is the contract discharged? 2. When is performance sufficient to recover a debt owing under the contract?
  e.g. Discharged when the lawn mow is finished? Does the other party have to pay you for mowing their lawn?
  and
- Failure to perform as breach of contract that gives right to a claim in damages

FULL PERFORMANCE

It's not until a party has done exactly and entirely what they promised to do that a contract is discharged.
Only exact and literal performance can discharge the contract, unless on its construction the contract provides for substantial performance.
Luna Park (NSW) Ltd v Tramways Advertising Pty Ltd (1938) 61 CLR 286: 'we guarantee that these boards will be on your tracks at least eight hours a day throughout your season'.
It may not require 'mathematical exactitude' (Latham CJ), but close to exact performance would be necessary.

This is different when it comes to recovering a sum of money under a contract …

CONTRACT PRICE

I.e. not whether the obligation has been discharged or breached, but whether exact and entire performance is a condition precedent to payment. WHEN can someone recover the contract price.
E.g. I mowed the lawn but left a really difficult patch behind. Do you have to pay me?

You look at the contract and ask, does this contract clearly, either expressly or by implication, make exact an entire performance a condition precedent of recovery of the money.

- **The default rule is that substantial performance is all that is required for recovery, not exact – court prefers to interpret contract in way that would allow me to recover the amount you promised to pay me. The purpose is to avoid a situation where people are allowed to rely on slight or technical defaults under the contract as a basis for refusing payment.**
- Courts inquire as the whether or not the obligations in question are 'entire' or divisible ('severable').
- This is always a matter of interpretation, but courts prefer to interpret contracts as requiring substantial, rather than exact performance as the condition precedent of payment.
- Even though the condition precedent of payment has been performed, the obligation has still been breached and damages will be available for that breach.
- If an obligation is divisible, courts lean toward interpreting the contract as requiring exact performance of each part or segment.

OBLIGATIONS

INDEPENDENT, DEPENDENT, OR CONCURRENT

Independent	i.e the order of performance is immaterial A has an obligation to mow B's lawn on Friday. B has an obligation to pay A on Wednesday. These obligations are developed as not relying on the other. If B doesn't mow, sue for damages. If A doesn't pay, sue for debt.
Dependent	i.e the obligation to perform one duty is dependent on performance of the other If A mows B's lawn on Friday, B has an obligation to pay A the following Monday. **The red text is the condition precedent**. The most common kind of contract. A matter of interpretation.
Concurrent (codependent)	If A transfers his cat to B on Friday at 9am, then B has an obligation to pay A $100 on Friday at 9am and if B pays A $100 on Friday at 9am, then A has obligation to transfer his cat to B Hostage swap scenario. I'll give you hostage when you give me money. I give you money when you give me hostage. Real estate – title exchange to the purchaser, price transferred to the vendor.

EXACT AND ENTIRE OBLIGATIONS VS DIVISIBLE OBLIGATIONS

EXACT AND ENTIRE

If an obligation is "exact and entire"—if the exact and complete performance of the obligation is a condition precedent to payment—then a party in breach of the obligation will not recover the contract price.

- *Cutter v Powell (1975)*

No Recovery, contract was exact and entire.
Powell agreed to pay Cutter 30 guineas to act as a second mate on a voyage from Jamaica to Liverpool. Died before journey was complete. Widow sued for a reasonable sum (quantum meruit) for Cutter's work.
Held: The contract required entire performance. Cutter was promised a larger sum if whole duty were performed. (According to Lord Kenyon, 'it was a kind of insurance', or gamble.) The contract was exact and entire—completion of the journey was condition of obligation to pay.
Court interpreted the contract as a gamble. Courts now lean away from this sort of interpretation.

- *Sumpter v Hedges*

Lump Sum contract. No recovery, contract was exact and entire.
Sumpter contracted to build houses and stables for Hedges, but was forced to abandon the contract when work was half completed.

Held: The contract was a 'lump sum' contract, conditional on completion of the work. The obligation was entire and Sumpter could not recover. Sumpter could however recover reasonable sum ('quantum valebat') for building materials left on site, as the transfer of these materials was not part of the contract.

DIVISIBLE

Divisible obligations apportion payment for discrete aspects of the party's performance.

Payment obligations arise, and become enforceable, upon performance of each part of the contract. As e.g. an **'instalment' contract.** Delivery of goods by instalments. Payment in instalments.

There is a default towards an interpretation that requires exact and complete performance of each part of the divided obligation.

- ***Government of Newfoundland v Newfoundland Railway Company (1888)***

Instalment contract. Agreement had already been broken up to manage risk. Entire railway didn't have to be completed. Awarded.

FACTS

- Parties contracted and promised railway company that 25,000 acres of land would be granted for **each 5-mile section** of the railway completed.
- Construction unexpectedly ended after only 7 sections built
- Questioned whether railway company was entitled to the acres of land required from the 7 sections that were built.

HELD:

o Company was **entitled to grants of land**.

o Wording of contract made it clear that the grants of land were only dependent on **each** section built, it did not specify the **entire railway** had to be completed.

However, the court can decide differently if there is substantial performance. e.g. agreed to provide 20 instalments and be paid at the end. Provided 19. Do I still get paid? Yes probably, substantial performance.

SUNSTANTIAL PERFORMANCE

Courts prefer to interpret contracts as requiring substantial performance as the condition precedent of payment, unless the language of the parties is very clear.

Unless exact and complete performance is an explicit condition precedent, it is presumed that substantial rather than exact performance is the true condition of payment.

However:

i. The obligation is not discharged, i.e. it is breached.
ii. Payment is therefore subject to e.g. offset for defects as damages

'The law will be slow to impute the purpose to require exact performance in the silence of the parties, where the significance of the default is grievously **out of proportion** to the oppression of the forfeiture'. – Cardozo J, *Jacobs & Youngs Inc v Kent.*

DOCTRINE OF SUBSTANTIAL PERFORMANCE:

- Construction: is **exact and complete** performance an **explicit** condition?
- Cost of completion.
- Nature of the term: how **fundamental** to contract?
- Severity of breach: how much of what was promised was received (***Bolton v Madheva)***.
- Harshness of strict enforcement: **unconscionable** to require 'exact and complete' performance? (***Hoenig v Isaacs*).**

- ***Hoenig v Isaacs (1952)***

Substantially performed, and entire performance not required. Failures didn't go to root of the contract.

Hoenig contracted for furnishing with Isaacs at a price of 750 pounds. Isaacs paid 400 pounds, occupied and used furniture. He refused to pay the balance on the grounds of defects in the work.
Held: Failures did not go to the 'root' of the contract. Entire performance was not a condition precedent of enforcement and the contract had been substantially performed. Hoenig was entitled to the price less a deduction for defects.

- ***Bolton v Mahadeva (1972)***

Not substantial performance. Cost of repair was 25-30% of the contract, and work was not fit for purpose.
Bolton installed a boiler system for Mahadeva. Price was 560 pounds but there were deficiencies worth 174.50 pounds.
Held: Cost of repair was so great it represented 25-30% of the contract price. Could not be said that substantial performance had occurred. Sachs LJ: 'it is not merely that so very much of the work was shoddy, but it is the general ineffectiveness of it for its primary purpose that leads me to that conclusion'.

Illustrates a case where the D failed to proffer even substantial performance.

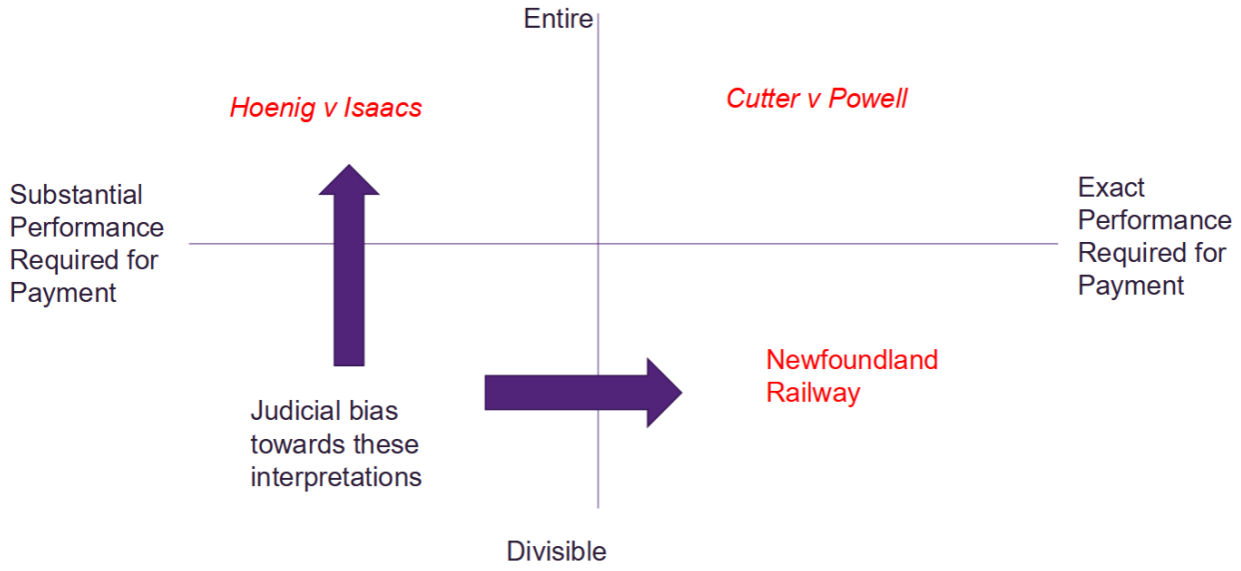
- ***Jacob & Youngs Inc v Kent***

Substantial Performance. P Awarded difference in value. Cost of repair disproportionate.
Facts:

- P (Jacob) built house for D (Kent) for $77,000. P sued to recover balance due of $3,483.46.
- D specified all pipe in the house must be Reading pipe, but P did not install this pipe. D demanded work to be redone, P refused.
- Questioned whether D entitled to cost of replacement of the pipe for P's breach.

Held: D **not entitled** to cost of replacement.

- P **unintentionally** committed a **trivial wrong**, the cost of replacement would be **disproportionate** - would be unduly oppressive for D to be able to recover the cost of replacement.
- D adequately compensated by **recovering difference** in value of a home with Reading pipe and one with a different type of pipe.



Topic 2 – Discharge of Contracts by Consent, Termination, and Repudiation

DISCHARGE BY ABANDONMENT OR CONSENT (NOT ASSESSED)

Discharge by additional contract – ***McDermott v Black.***
Discharge by mutual abandonment – ***DTR Nominees v Mona Homes***.
• Where contract has been **wholly performed** on one side, innocent party's agreement to forgo other's performance is a **gift**, unless supported by **fresh consideration** (i.e., accord and satisfaction).

BREACH OF CONTRACT

Usually in this course, fact of breach is assumed

- **Breach of contract: Failure to perform an obligation owing under the contract, or performance of the obligation in a manner inconsistent with what was promised (late or defective performance).**
- May be strict duties, or merely create duties of care, good faith (i.e. obligations to reasonably try or obligations to succeed).

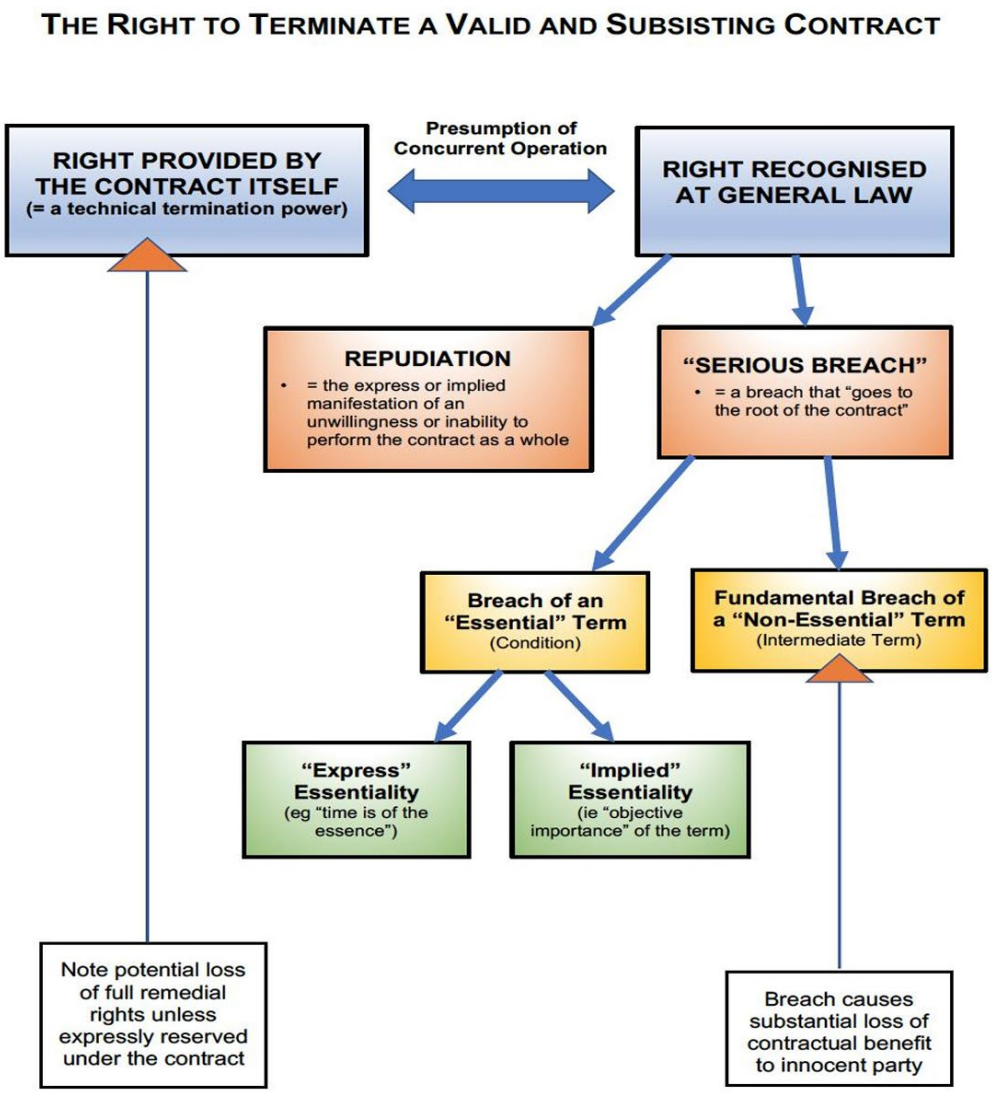
Strict duty: there's no justification for noncompliance as far as the law is concerned

It is harder to prove breach of duty in reasonable care cases

- **Breach of contract creates an automatic right to damages**. – Even if the injured party cannot prove they have suffered any loss, they will still recover "nominal damages".

Award of damages is nominal – it's awarded to reflect the fact of breach, but there's little to no loss that can be proved

DISCHARGE BY TERMINATION: BREACH OR REPUDIATION



- Note: Termination for breach or repudiation acts prospectively – discharges future obligations.
- Rescission acts retrospectively – unravelled back to beginning.
- All breaches involve a failure to perform one's contractual obligations.
- Nature, standard, and scope of promisor's duty is determined by construction of contract in question.

TESTS FOR TERMINATION:

- Repudiation – express /implied manifestation of an unwillingness or inability to perform the contract.
- Breach of condition – failure to perform an 'essential' term.
- Breach of an intermediate term – causes substantial loss of contractual benefit to the innocent party.

REPUDIATION

- **Repudiation is an unwillingness or inability to perform the contract.**
- Usually an unwillingness. In rare cases, an obvious inability (e.g. Foran v Wight (1989)).
- Willingness DOES NOT EQUAL ability.
- Party repudiates by making it clear that (through word or conduct) he no longer intends to perform obligations or to fulfil them in a manner substantially inconsistent with the party's obligations.

Can be EXPRESS:

- no, I won't mow your lawn

Can be IMPLIED through conduct:

- hung up when I asked you when you are coming to mow, and didn't reply to any of my emails. At some point, it may be reasonable to assume you repudiated the contract through your conduct.

And very rarely, can be **INABILITY**: e.g. you have no lawn mower to mow the lawn, can infer no ability to perform, and terminate the contract

REPUDIATION GIVES INNOCENT PARTY AN ELECTION TO TERMINATE.

- **Repudiation " accepted " =** immediately acquires a cause of action for damages, based on the concept of 'anticipatory breach'.

➔ **('Anticipatory breach'**: a prospective breach of contract arising from an accepted repudiation. Also cause of action for damages once a repudiation is accepted (i.e. once contract is terminated). But the relevant legal test is for repudiation. – As a matter of terminological hygiene, avoid referring to repudiation as "anticipatory breach")

➔ See in Foran v Wright

- **Repudiation " not accepted "** = affords no legal rights of any kind, is of no value to anyone. Contract remains on foot for benefit/burden for both parties.

  - Party would want to terminate where they want to be released to seek alternative performance.

- ***Foran v Wright (1986)***

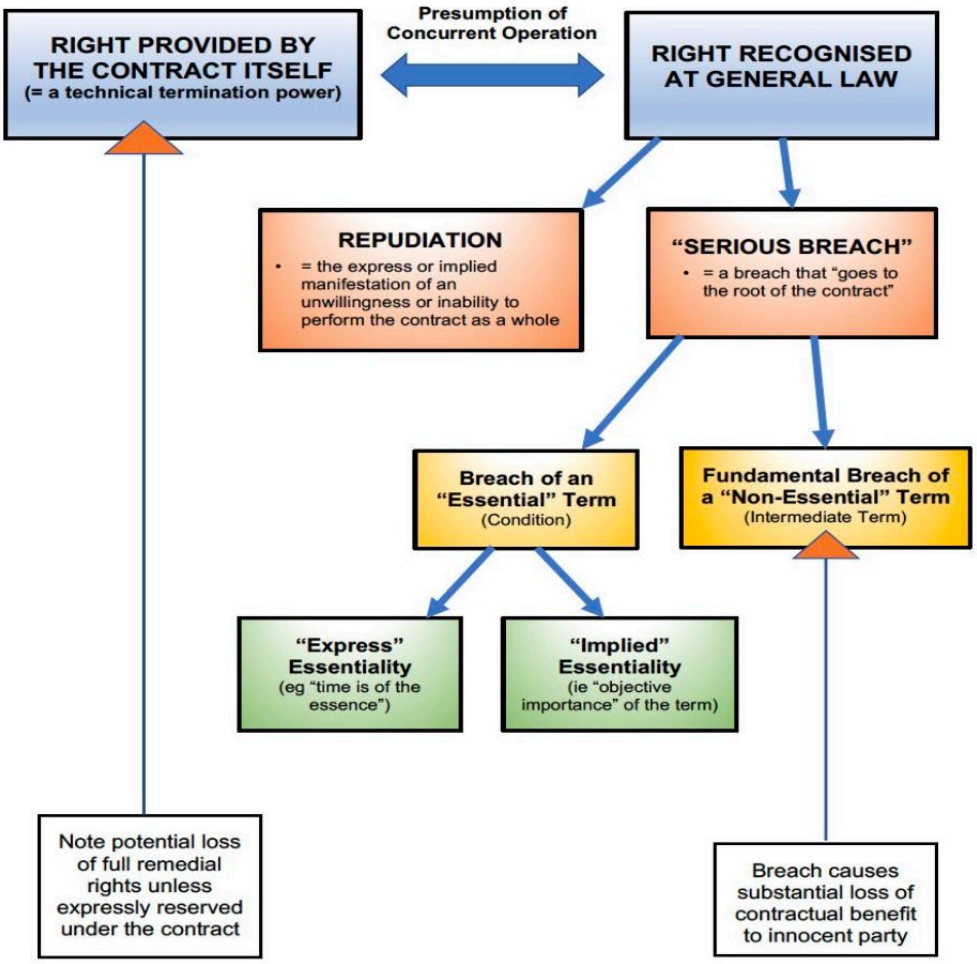
Repudiation of an essential term with time being of the essence . Obvious inability to complete obligation – a rare case – Via unequivocal words. Until repudiation is accepted, the contract is not terminated. Mutually dependent obligations. Restitution – recovery of deposit for total failure of consideration.

- Parties entered contract for sale of land.
- Date of completion was 22 June – time was "of the essence".
- 20th June – vendors could not complete contract by 22nd.
- 24th June – purchasers purported to terminate.

Held:

- Day fixed for completion was an essential term.
- Intimation by vendors on 20th was a repudiation – "anticipator breach", which gave the purchasers the right to terminate.

THE RIGHT TO TERMINATE A VALID AND SUBSISTING CONTRACT



TEST FOR REPUDIATION

- *The conclusion that one party is in repudiation of the agreement is a drastic conclusion that should only be made in clear cases of repudiation.*
- *Students should begin by assuming repudiation has not occurred.*
- *Courts prefer to conclude the contractual relationship is still on its feet.*

Whether the conduct of a party which evinces an intention no longer to be bound by the contract or to fulfil it only in a manner substantially inconsistent with the parties' obligations. It may be termed renunciation.'
Gleeson CJ, Gummow, Heydon and Crennan JJ in Khoompahtoo Local Aboriginal Land Council v Sanpine (2007)

The test is whether the conduct of one party is such to convey to a reasonable person, in the situation of the other party, renunciation of the contract as a whole or of a fundamental obligation under it'. Gleeson CJ, Gummow, Heydon and Crennan JJ in

- ***Khoompahtoo.***

So ask – does the conduct envice an intention to no longer be bound by the contract, or fulfill it only substantially?

- **Must consider** nature of D's conduct; surrounding circumstances; motives prompting the conduct.

- **Examples:**

➔ Unequivocal words: 'I will not keep this bargain'.
➔ Conduct manifesting an unequivocal intention to no longer continue:

- *Luna Park v Tramways.*

Termination for breach of essential terms
Test for essentiality – is the promise of such importance to the promisee that he would not have entered into the contract unless he had been assured of a strict or substantial performance of the promise, and that this ought to have been apparent to the promisor

o Contract for display of advertising boards – 8h/day during 3 seasons.
o L terminated for breach at end of 2nd. T sued for payment of 3rd season.
o T argued 8 hours meant an average, L argued it was a term that must = 8h.
Held:
o It was a term that the boards be up for at least 8 hours a day.
o Interpretation of 'average' was inconsistent with the natural meaning of the words. Therefore, T had not performed contract in accordance with the terms.
o T repudiated the contract.

➔ (Rare cases) Manifestation of an inability to perform, despite apparent willingness:

- *Foran v Wright.*

ERRONEOUS INTERPRETATION OF A CONTRACT

- If a party insists on an erroneous interpretation = repudiation.

However:

- Must be more than a 'good faith' error – party should be given opportunity to correct their conduct.
- They must be proceeding 'willy nilly in the face of a clear enunciation of the
- true agreement'.
- The party terminating must themselves be acting on the true construction of the contract.

- *DTR Nominees Pty Ltd v Mona Homes Pty Ltd (1978)*

NOT REP. *repudiation requires an intention not to perform on the contract's true terms.*
Discharge by consent – Mutual Abandonment
Contractual interpretation – misinterpretation of a contract
repudiation requires an intention not to perform on the contract's true terms.
Wrongful recission: a party rescinding for anticipatory breach must be willing to perform on the proper interpretation
Return of deposit

Contract for sale of land.
DTR lodged plan seeking approval of only part of the land.
Mistakenly believed they were entitled to proceed in two stages, time not of the essence.
M purported to terminate contract. DTR argued M had wrongfully repudiated.
Held:
DTR was in breach but had not repudiated.
They asserted a wrong view due to an honest belief – did not realise the purchaser insisted on a different interpretation.
It could not be inferred that DTR were unwilling to perform the contract according to its terms. Thus, weren't persisting '**willy nilly** in the face of a clear enunciation of the true agreement'.
DTR unable to terminate for repudiation as unwilling to perform true conditions.
Eventually, mutual abandonment. Deposit recovered by M.

- *Progressive Mailing House Pty Ltd v Tabali Pty Ltd (1985)*

Express repudiation- wrongful termination can be a form of express repudiation.
Repudiation for fundamental breach by a lessee.
Anticipatory breach principles.

Whether ordinary principles of contract law (incl. termination for repudiation or fundamental breach and frustration) apply to leases that create an estate in land.
Effect of an express proviso for re-entry (cl 10.1: re-entry for unpaid rent "without prejudice" to other claims) on the availability of loss-of-bargain damages.

- T let factory. Had right of re-entry if rent was unpaid for 14 days.
- T required to carry out works on premises. P to take possession 14 days after notice of completion.
- P went into possession before execution of lease.
- T gave notice works had been completed, P claimed they were unsatisfactory and refused to pay rent.

Held:

- Termination for repudiation or fundamental breach **applies to leases**.
- P had repudiated by baselessly refusing to perform contractual obligations – through non-payment and other minor breaches.

WRONGFUL TERMINATION

- Termination for conduct that has been wrongfully appraised as 'repudiatory', in serious breach, or frustrating event.
- Can be a form of express repudiation (Progressive Mailing House)

- ***Starlight Enterprises Ltd v Lapco Enterprises Ltd [1979]***

Contract for 4000 travel bags for $3 each.
L purported to increase price to $4.10.
o S purported to accept L's repudiation, even after L indicated willingness to proceed.
 Held:
o L had not repudiated – were acting in the good faith belief that they had the right to increase prices.
o S should have pointed out the erroneous view and given the opportunity to correct.
o S therefore repudiated.

- ***Oxborough v North Harbour Builders Ltd [2002]***

Repudiation needs to be ongoing if it is to be basis of termination.

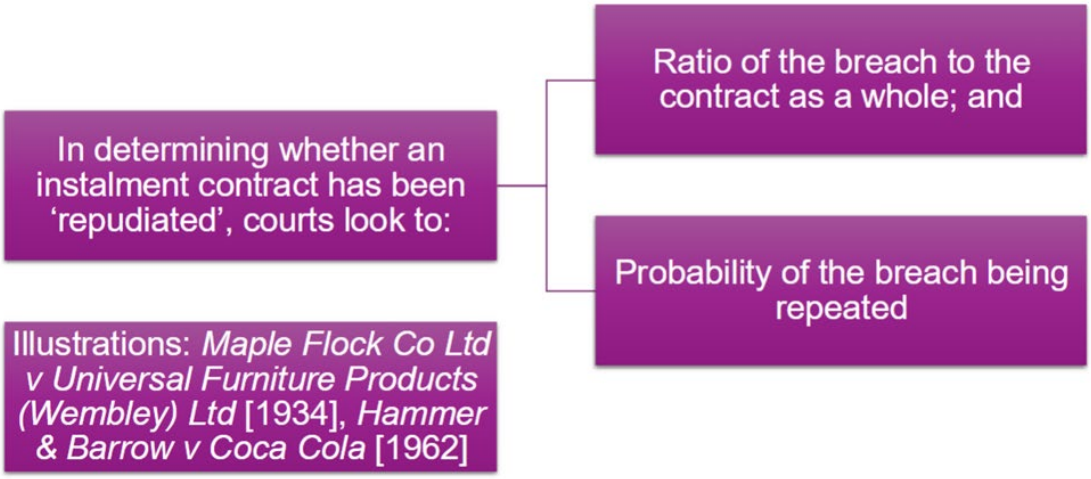
• Building contract signed in January 1999
• Builder agreed to construct a dwelling on land owned by Oxboroughs.
• Building commenced in March 1999, by May Os were expressing concerns about work.
• Commenced proceedings in NZ HC seeking specific performance of the building contract. Then purported to cancel the contract (for strategic reasons).
Held: SP proceedings had affirmed the contract. Os only entitled to terminate if there was continuing or renewed repudiation. Builders' willingness to arbitrate was the very antithesis of repudiation. Builder had offered to resolve a bona fide dispute in the contractually proscribed way.

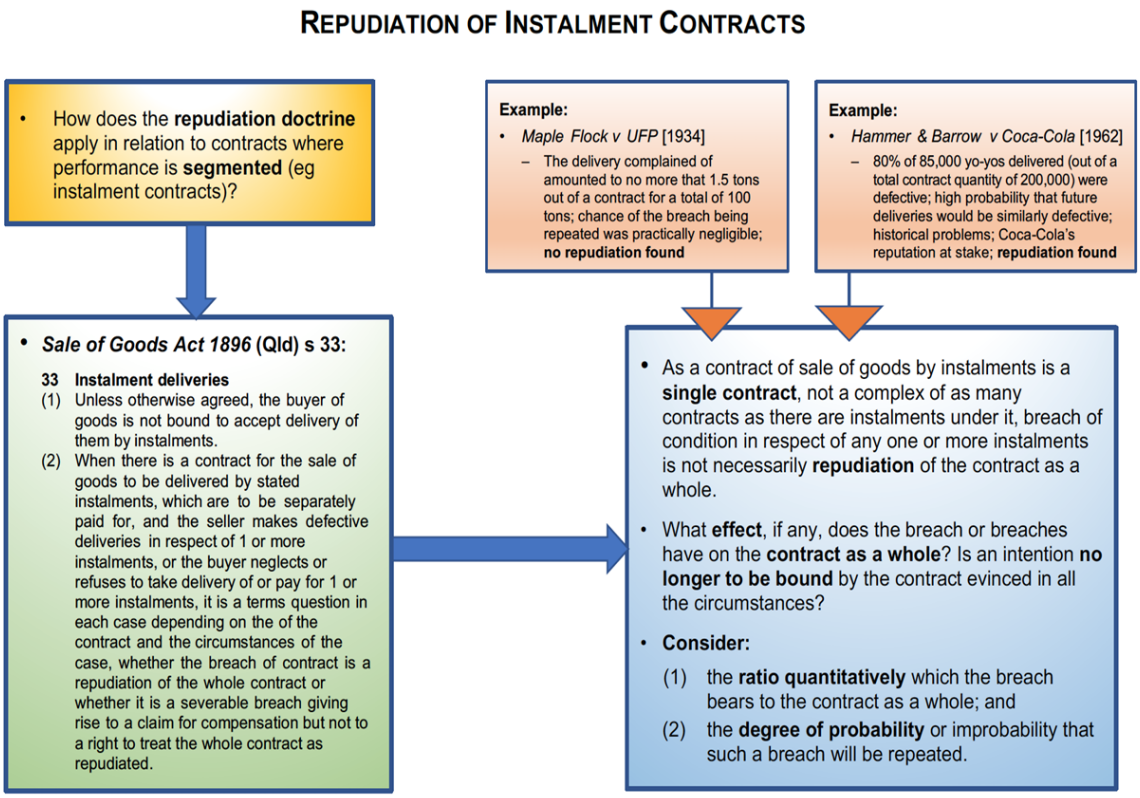
REPUDIATION OF INSTALMENT CONTRACTS

An instalment contract is a contract which provides for the delivery of goods or services in instalments.
The instalments in question can either relate to the goods or service or payment, or both.

Parties have freedom of contract to agree on how risks should be distributed and how the payment obligation should be divided as well as how the delivery of the goods and services should be divided.

Test for repudiation:
Essentially you look at two things: you look at the ratio of the breach to the contract as a whole, and the probability of its being repeated.
And then you make a factual determination as to whether there's repudiation of the contract.





Breach of an instalment contract will not amount to repudiation of the whole contract – rights already accrued. Depends on terms of contract and circumstances of the case.

- *s33 Instalment deliveries, Sale of Goods Act 1896, Qld*

(1) Unless otherwise agreed, the buyer of goods is not bound to accept delivery of them by instalments.
(2) When there is a contract for the sale of goods to be delivered by stated instalments, which are to be separately paid for, and the seller makes defective deliveries in respect of 1 or more instalments, or the buyer neglects or refuses to take delivery of or pay for 1 or more instalments, it is a question in each case **depending on the terms of the contract and the circumstances of the case**, **whether the breach of contract is a repudiation of the whole contract or whether it is a severable breach giving rise to a claim for compensation but not to a right to treat the whole contract as repudiated.**
Sale of Goods Act 1896, Qld

When determining repudiation of an instalment contract, consider:

- The ratio which the breach bears to the contract as a whole.
- The probability of the breach being repeated.

- ***Maple Flock v Universal Furniture Products (Wembley) Ltd***

Contract for 100 tons of rag flock in three weekly instalments of 1.5 tons each. Subject to statutory standard regarding chlorine levels.
• First 15 perfect, 16th unsatisfactory. UFP purported to terminate for repudiation. Then accepted 2/4 subsequent deliveries.
• Case turned on equivalent of s33 of the Sale of Goods Act 1896 (Qld).

Held: The termination was invalid. The delivery made up very little of the contract as a whole, and it was unlikely to be repeated.

'We deduce that the main tests to be considered in the applying the subsection to the present case are, first, the ratio quantitatively which the breach bears to the contract as a whole, and secondly the degree of probability or improbability that such a breach will be repeated. On the first point, the deliver complained of amounts to no more than 1.5 tons out of a contract for 100 tons. On the second point, our conclusion is that the chance of the breach being repeated is practically negligible.'
Lord Hewart CJ (for the Court).
Maple Flock v Universal Furniture Products (Wembley) Ltd

- ***Hammer & Barrow v Coca Cola***

H&B sell 200,000 yo-yos to Northern Bottling (on behalf of Coca- Cola)

80% of 85,000 yo-yos sent in confinements were defective. They were unsatisfactory and would not 'run down the string clearly'.

Held: H&B had repudiated the agreement. There was a high ratio that the breach bore qualitatively to the contract as a whole. The history was disquieting from Coca Cola's point of view—nothing had been done to correct the situation. The campaign was important to CC's prestige and reputation.

EFFECTS OF REPUDIATION

- If the innocent party terminates by accepting the repudiation:

– The contract is discharged and the party in repudiation is liable in damages for anticipatory breaches of contract.

- If the innocent party refuses to accept the repudiation:

– The repudiating party may repent and withdraw. The contract remains on foot, and the repudiating party may still exploit future events (e.g. serious breaches by the formerly innocent party).
– Instantiation of general principle that a contract is not terminated unless the innocent party elects to terminate (week 4).

- If the innocent party fails to perform their own obligation, but does not accept the repudiation:

– The innocent party may be excused from non-performance of certain obligations under the contract where the obligations are mutual and codependent.
– See e.g. Foran v Wight (1989)

- ***Illustration: Foran v Wight (1989)***

• Fixed date for completion of a sale of land. Purchasers paid 10% deposit.

• Time for completion (22 June) was 'of the essence'. – agreed it was essential
• Vendors told purchasers on 20 June that they could not complete by 22 June. Neither party attempted to complete.
• Purchasers sought a declaration after 22 June that the contract was terminated
and restitution of the deposit.

Who has the right to retain the deposit?
Were the purchases as fault for seeking termination after June 22? Or were the vendors at fault and the contract had been terminated?

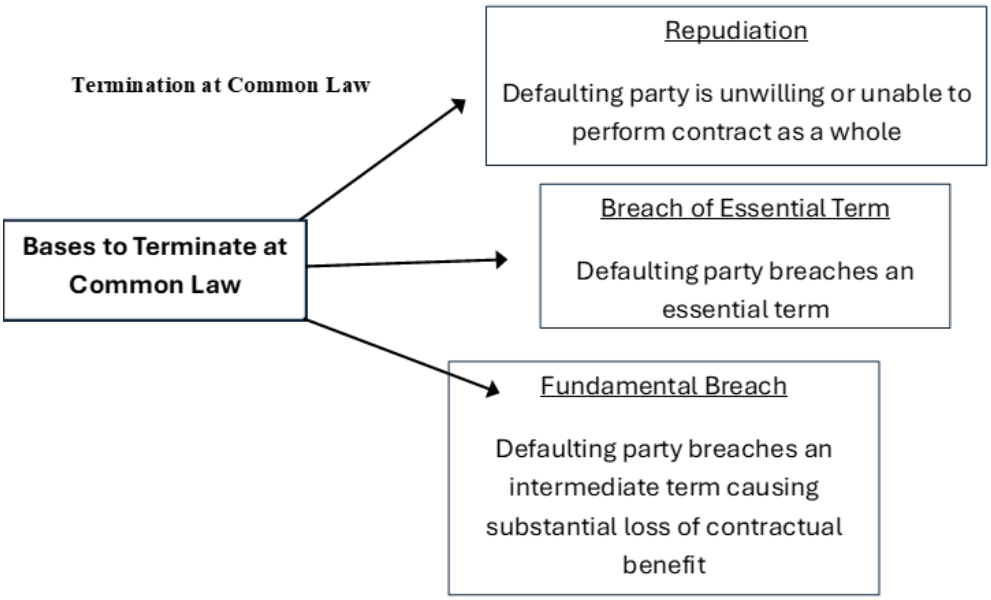
Vendors argued that because purchasers were not ready and able to complete on June 22, the purchases weren't entitled to terminate. COURT REJECTED THIS ARGUMENT.

Held:
• Vendors had repudiated, but purchasers had not accepted repudiation, so the parties
mutually dependent and concurrent obligations remained on foot (until 2 days after day of completion, when declaration of termination was sought)
• Normally this would have precluded termination by one party for the other's failure to
perform an essential obligation under the contract.
• But the repudiatory conduct raised an equity (estoppel) that dispensed the purchasers
from the need to proffer performance.
• They (purchaser) were dispensed from the temporal obligation, but not the substantive obligation, which could be revived with e.g. reasonable notice of intention to perform.
• Purchasers were entitled to the return of the deposit, since there had been a total
failure of consideration.

NOTE:
- Acceptance of repudiation does not immediately terminate the contract. It is not discharged by repudiation. It is discharged by termination for repudiation.

Topic 3 – Termination for Serious Breach and Delay

SERIOUS/FUNDAMENTAL BREACH



Fundamental breach and breach of essential terms are SERIOUS BREACHES.

CLASSIFICATION OF TERMS: CONDITIONS, WARRANTIES, INTERMEDIATE TERMS

- **Contract terms are divided into three categories:**
  - **Essential terms (AKA 'conditions')**
- ***Foran express, Bunge Corp implied***
  - **Intermediate Terms (AKA 'innominate terms')**
- ***(HongKong Fir, Khoompahtoo)***
  - **Warranties**

TERMINATION FOR BREACH OF AN ESSENTIAL TERM ('CONDITION')

CONDITIONS

- Language used by the parties is not determinative (i.e. merely labelling it 'essential', a 'condition' or a 'warranty' does not make it so, but may be persuasive).
- It is a matter of construing the contract for the common intention of the parties
- The current common law was most recently affirmed in the HCA in *Koompahtoo Local Aboriginal Land Council v Sanpine Pty Ltd* (2007) ('*Koompahtoo*'), and is known as the 'tripartite classification'.
- It is possible that a contract has no essential terms
- Effects of breaching are irrelevant when classifying if it is an essential term; ask, at time of contract formation, would the parties have anticipated that the effects of the breach would be so significant that it would entitle the innocent party to terminate

- **Essentiality is express or implied, but there is a legal bias against implied essentiality.**
  - Parties can expressly designate a term to be essential to the agreement – but need to do so in unambiguous language E.g. just calling it a condition wont be good enough. Insert a clause saying parties agree performance of this provision is essential to the agreement, and any breach, no matter how slight, shall entitle the innocent party to terminate
  - more likely to see cases where essentiality is not expressed but is implied

- Factors considered:
  - The nature of the term, purpose and subject matter of contract
  - The likely consequences of the breach
    (NOT what the consequences of the breach actually were for the innocent party, BUT what parties might have anticipated the consequences of a breach would be)
  - Whether damages would provide an adequate remedy
    (damages are primary remedy for breach of contract. If damages are an adequate remedy, then that mitigates against the idea that you should have a right to terminate the contract. If an award of money will put you substantially in the position you would have been had the contract been performed, then failure to perform that term is less likely to be seen as fundamental to the contract – if fundamental the breach would have entitled you to terminate)
  - The promisee's motivation for entry into the contract
    (was inclusion of the term or provision one of the primary motivations for the innocent party, the other party?)
  - The structure of the term and the contract as a whole

Time stipulations are either expressly or impliedly essential or inessential.

Delay may generate a termination right in two ways:
(1) Delay in performance: breach of (express/implied) time stipulation.
- **Express: "time is of the essence" (Foran v Wright; Tropical Traders).**
- **Implied: timely performance was of objective importance to the** promisee (Bunge Corp v Tradex).

(2) Delay has occurred because of the breach of a substantive obligation (Hongkong Fir).

Where the time stipulation is inessential, termination may be justified where:
- There has been a delay evidencing repudiation of the contract.
- "Notice procedure".
-

At common law: time is generally treated as essential.
In equity: timely performance generally non-essential (unless expressly agreed so).

Under legislation, the equitable rules as to contractual time stipulations are:

- ***S 62 of the Property Law Act 1974 (Qld).***
- ***S 13 of the Sale of Goods Act 1896 (Qld).***

A) BREACH OF "ESSENTIAL" TIME STIPULATIONS

Can be express ("time is of the essence": Foran v Wright) or implied (Bunge Corp).

- If it is expressly or impliedly essential, no notice requirement is needed.
- If time is NOT essential:
  (1) issue notice after breach;
  (2) set out a reasonable and specified time for performance;
  (3) inform of your intention to terminate.

- ***Bunge Corp New York v Tradax Export SA Panama [1981]***

o Time for giving notice was impliedly of the essence, thus not an intermediate term.
o Nature of mercantile contracts is that they require timely performance.
o Boyer and seller should know what their obligations are; therefore, seller is entitled to know when exactly the shipment will proceed.

B) BREACH OF "NON-ESSENTIAL" TIME STIPULATIONS

Where there is no essential time stipulation (express or implied), a notice requirement is needed.
Repudiation must be shown. "Mere delay" is not repudiation, must be "gross and protracted".

- Repudiation can be inferred from the breaching party's failure to comply with a valid notice.

NOTICE REQUIREMENTS:

- Notice can only be served following a breach.
- Notice must require strict compliance with the relative terms of a contract within a specified period, which must be reasonable.
- Breaching party must be advised that failure to comply with the notice amounts to repudiation and may be treated as basis for termination.

- ***Louinder v Leis (1982)***

o No fixed date for completion, nor time was of the essence.
o V delivered statement; B did not tender form of transfer. 3 months later, V served notice requiring completion of contract within 21 days (not tender form of transfer).
o V purported to terminate after notice not complied within specified period.
 Held:
o V's notice was invalid – time had not yet arrived where V can serve notice as to completion of contract as there had been no breach of a non-essential time stipulation. B was entitled to a reasonable time for completion of contract.
o Equity treats time stipulations as non-essential, therefore mere breach does not justify termination.
o Unreasonable delay in complying with the stipulation is essential to justify termination.
o Therefore, there were no grounds for V to serve a notice as the contract did not fix a time for completion.

- ***Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989)***

o L entered lease in C's shopping centre.
o Duration settled (6-year lease), but other matters not.
o L paid legal costs and taxes. L went into possession, but 9-months later vacated due to C's failure to register the lease (L treated this as repudiation). During this time, L had made written requests for formalities to be complied with and sent a letter demanding receipt of the copy of registered lease within 13 days.
o C treated L's vacation as repudiation.
o Day before the notice expired, C gave an unresponsive reply. L purported to terminate.
 Held:
o L's termination was valid – however, there were numerous issues:
(1) Mere delay in C performing a non-essential contractual obligation cannot justify breach. A clear repudiation is required.
(2) C did not comply with notice. However, the notice was defective:
- demand was unreasonably short, and did not state that L would treat contract at end if C did not reply. Thus, other evidence was required.

(3) C was totally unresponsive to L's demand letter, and there was a clear objective intention from C to not complete contract until it suited them.
Therefore, C had repudiated, and L had right to terminate.

TEST OF ESSENTIALITY, LUNA PARK

- This is what you call and objective subjective test.
- Whether someone's actual motivation for entering into the contract was performance of the term is irrelevant.
- People have lots of hidden motivations
- E.g we make an agreement that I'll mow your lawn, and you instert a term requireiung me to wear an all white uniform when mowing, your hidden motication might be humilitation or another ulterior reason.
- That doesn't mean it would have been apparent to me as the other party of the contract
- **SO you need to ask here, what would a reasonable bystander think was apparent to the promisee? Not the promisee's actual motive or intention for entering the contract, but what ought to have been apparent to the promisor at time of contract formation**
- **Another way of thinking: the task is one of interpreting the contract, not the hidden intentions of the parties**
- **Unless evident on the face of the contract, those hidden motives will be irrelevant**

'The test of essentiality is whether it appears from the general nature of the contract considered as a whole, or from some particular term or terms, that the promise is of such importance to the promisee that he would not have entered into the contract unless he had been assured of a strict or substantial performance of the promise, as the case may be, and that this ought to have been apparent to the promisor.'

– Jordan CJ, *Tramways Advertising Pty Ltd v Luna Park* (1938) (in the NSW CA)

A condition is a term so 'essential to its [the contract's] very nature that its non-performance may fairly be considered by the other party as a substantial failure to perform the contract at all'

– Latham CJ, Luna Park (NSW) Ltd v Tramways Advertising Pty Ltd (1938)

- ***Illustration 1: Luna Park v Tramways (1938)***
- Luna Park contracted with Tramways for display of advertising boards for 52 weeks for 'at least eight hours per day' throughout Luna Park's season.
- Luna Park terminated and Tramways sued for fee owing under the contract.
- the case for recovery of these fees turned on whether termination had been valid.
- If the termination was valid, then tramways could not recover.
- (Tramways could not recover if the term breached was a condition)
- Heard on appeal in the NSWCA and then HCA

o Was there a condition?

- T used words such as "we guarantee", which emphasised the importance.
- Fee was payable upon the 'complete number of boards' (was an entire obligation). Therefore, completeness was an essential element of the contract.
- Was a condition, not a mere warranty.

o Was there a breach of condition?

- 'at least 8h/day' = substantially 8h.
- T admitted boards were not displayed for substantially 8h, thus breach of condition.
- Termination for repudiation of obligations as to the future:
- T's actions led L to reasonably believe the contract would continue to be performed in a manner inconsistent with the condition. Thus, able to renounce contract.

A reasonable person in Luna Parks position would have judged that Tramways could not perform an essential term under the contract and was therefore in repudiation.

- ***Illustration 2: Associated Newspapers v Banks (1951)***

This case shows us why termination is sometimes the desirable self-help remedy. For Banks, his advantage of termination was that it released him from his obligations under the contract, meant that he could provide his comic strip elsewhere.

- Associated Newspapers employed Jimmy Banks as a cartoonist (he was famous for his 'Ginger Meggs' cartoon).
- AN promised 'each weekly full-paged drawing will be presented on the front page of the comic section of the Sunday Sun & Guardian'.
- Multiple breaches of this promise, and Banks purported to terminate the contract. AN sought an injunction to restrain Banks from breaching his contract and signing with a rival.

(we go over injunctions in a few weeks time, but for our purposes, injunction is a coercive order – it's an order given by the court to prevent someone from breaching an obligation under the contract – prohibitory injunction. In this case, an order from the court compelling Banks not to give his comic strip to a rival company. Viability of this order hinged on whether in these circumstances Banks had been entitled to terminate the contract for repudiation or breach of an essential term.)

Held: Banks had been entitled to terminate for breach of a condition.

- Court looked at the structure/nature of the contract to decide that term was essential
- Banks had relied on it

'It is impossible to attach different values to the defendant's obligation and the plaintiff's undertaking. The plaintiff would not have employed the defendant unless it had been assured that the defendant would perform his promise, and the defendant would not have made the promise unless he was assured that his work would be published in a particular manner. Obviously it was of prime importance to the defendant that there should be continuity of publication so that his work should be kept continuously before the public that his work should be published as a whole and not mutilated, and that it should be published on the most conspicuous page of the comic section.'
Dixon, Williams, Webb, Fullagar and Kitto JJ

- One of the things the court looked at in this agreement was 'signalimatic or mutual structure' that had made it very clear that in return for exclusivity, in addition to renumeration, was the method of publication. It was part of the principle consideration in the offer. Mutuality – one offered for the other
- To use the luna park test, we could say that Banks would not have entered into this contract unless assured of strict performance of this obligation, and this ought to have been apparent to AN at the time of contract formation

THIS WAS ALSO A REPUDIATION CASE
- In this case again the court found that the contract had been repudiated through unwillingness – repeated breach of essential term manifested an unwillingness to perform substantial/essential obligation

DOCTRINE OF CLASSIFICATION OF A TERM AS ESSENTIAL HAS DRAWBACKS:

1. INFLEXIBILITY: Once a term is classified as essential, any breach no matter how slight entitles the innocent party to terminate.
- Sometimes breaches can be accidental, unintentional, they can be quickly remedied so there is no true loss, so contracts can be upheld – but inflexibility ruins this
- Just as repudiation is a drastic conclusion not likely to be reached, courts are unwilling to conclude that parties have the right to terminate for even a slight breach of contract
- there is a judicial bias towards upholding the terms of a contract
- this created space in the years between SOG Acts and doctrine around classification of terms, for a third category: intermediate terms

DISCHARGE BY TERMINATION – DELAY

TIME STIPULATIONS AND DELAY

- An important application of classification of terms doctrine.
- Application of what we have learnt
- Any obligation under the contract has a temporal aspect

e.g So say you and I make an agreement for me to mow your lawn. But we forget to fix a date or time. Obviously that contract - Provided it's sufficiently clear in other respects - won't be void because we've failed to set a date. What will happen instead is that

courts will imply, as a matter of necessity, a reasonable time for performance of both obligations. So I'll have to mow your lawn within a reasonable time, and you'll have to uh pay me within a reasonable time.

- More often in contemporary practise, a time is stipulated in the contract
- Where there is a time stipulation, that time stipulation may be:
- Expressly essential (e.g. 'time is of the essence' clause in *Foran v Wight* (1989)
- Impliedly essential (e.g. *Bunge Corp v Tradax* (1981)) (APPLY LUNA PARK CONSIDERATIONS that the parties mutually intended to make time essential)
-

So for instance, if you and I had this contract for me to mow your lawn, and the contract made it clear that I had to mow your lawn and in anticipation of a garden party that you were hosting on the first of September. Then it may be that by implication in that case we've made timely performance essential.
If I mowed your lawn then on the 2nd of September, I'd have deprived you of the entirety of the benefit you're promised under the contract in that case, and you could conclude that potentially by looking at the nature of the contract, the language used, you wouldn't have entered into the contract unless assured of timely performance, and that ought to have been apparent to me, so just apply the standard Luna test.

- **There's a default assumption that time is not essential to the agreement, so this is uh encoded now in section 73 of the Property Law Act 2023.**
- **Unless the time stipulation is expressly or impliedly essential, it is non-essential (s 73 Property Law Act 2023). So the default interpretation is that a time stipulation is non-essential.**
  It is only if we conclude that it's expressly or impliedly essential that a breach of time condition entitles an innocent party to terminate.
  If there's no time stipulation, then a reasonable time is allowed for performance by implication, and failure to perform within a reasonable time will not entitle the innocent party to terminate. The innocent party will have to build up an evidentiary foundation for concluding that there's been repudiation of the contract.

- ***Bunge Corporation New York v Tradax Export SA Panama [1981] 1 WLR 711***

Impliedly essential time stipulation.

- Sale of goods – 15,000 tons of soya bean meal – incorporated GAFTA standard form:
  - Meal to be delivered in 3 consignments – May, June and July 1975.
  - Cl 7: 'Period of delivery during May 1975 at buyers' call. Buyers shall give at least 15 consecutive days' notice of probable readiness of vessel'.
  - Cl 8: buyer entitled to extend period of delivery for additional calendar month.
- Buyer gave notice under cl 8 extending period for delivery by a calendar month – last day seller could ship goods = 30 June 1975.
- 12 June 1975 – last day buyer could give notice under cl 7.
- 17 June 1975 – buyer gave notice.
  - 20 June 1975 – seller gave notice purporting to terminate for breach of an essential term.

Held (HoL):

- Breach of essential term by buyer.
- Cl 7 was an essential term – but it was essential <u>by implication</u>, not by express words.
- The court concluded it was essential by looking at the nature and terms of the contract
- In obiter, there was a suggestion that: Timely performance is usually essential in a mercantile contract. Reason being that unless obligations are performed in a timely way, other obligations under that contract or under a separate contract which are dependent on that timely performance may then be breached.
  In such scenario of a chain reaction of late performance, courts are inclined to imply essentiality.
- Seller's obligation to deliver depended on buyer's timely notification.

'To my mind the most important single factor in favour of Mr Staughton's submission is that until the requirement of the 15-day consecutive notice was fulfilled, the respondents could not nominate…the loading port, which under the instant contract it was their sole right to do. I agree with Mr Staughton that in a mercantile contract when a term has to be performed b one party as a condition precedent to the ability of the other party to perform another term, especially an essential term such as the nomination of a single loading port, the term as to time for the performance of the former obligation will in general fall to be treated as a condition'.

Lord Roskill

Can conclude time is essential to the agreement by looking at Luna Park. Outside of that, if the contract is mercantile then it is likely that time is essential. Look at nature and purpose, language, structure, motivations.

DELAY AND REPUDIATION

- If a time stipulation is a mere warranty or there is no express time stipulation…delay may still amount to **repudiation**
- **Ask: has the delay been repudiatory?**
- A party may establish **repudiation** by delay through the issue of a notice to complete.]
- Show that the delay is repudiatory at general law (like koomphatoo), so has a party renounced their obligations or a substantial part of them through delay
- The other thing the innocent party can do is use notices to complete to build an evidentiary foundation from which inference can be drawn that the party in delay is in repudiation of the agreement

NOTICE REQUIREMENTS

Courts have held that if a party that's affected by a delay and issues a notice to complete, and if they issue those in a procedurally correct manner, then failure to conform with that notice to complete can provide a solid basis from which to infer that the contract's been repudiated.
Wait for breach of the time condition, then send further notice requiring completion within a reasonable time. If the delay party then doesn't perform in that given time, you can terminate for their repudiation.

- **Notice requirements:**
  - **Notice must be served after breach of express time stipulation or unreasonable delay (i.e., where there is no time stipulation, there is a 'double delay' requirement.)**

Where there is no time stipulation, wait a reasonable time, issue notice.
If there is time stipulation, wait for breach, issue notice.

  - **Notice must require strict compliance within a reasonable and specified period.**
  - **The party in breach must be advised that failure to comply may be treated as a basis for termination.**
    - **If you fail to do any of these, the notice isn't valid as a basis for inferring the contract has been repudiated**
    - **But, it may still be possible to argue the contract has been repudiated at general law through action or conduct of parties**
    - **Laurinda Pty Ltd v Capalaba Park Shopping Centre 1989**

- ***Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989) 166 CLR 623***

Notice served after breach of stipulated time
Was 14 days a reasonable time after notice?
Had tenant been made aware of the intention to terminate?
Court was asked to conclude whether this notice had provided a basis for inferring that Capalaba were in repudiation of the agreement
Court held the notice was ineffective
'reserve our rights' was not clear unambiguous acknowledgement of intention to terminate
However, repudiation made out of general law based on C's unwillingness to deliver a lease to L – not just the delay, but the general behaviour, was repudiation

- Agreement for a lease of premises in shopping centre (6 years) – Lessor (Capalaba) under implied obligation to register lease or deliver registrable lease to tenant (Laurinda).
- 28 Nov 1985 – lessor's solicitors incorrectly stated that lessor had executed lease.
- Dec 1985 – lease term commenced and tenant entered possession.
- 3 Jan 1986 – tenant paid costs of registering lease.
- 14 Mar 1986 – tenant requested that lessor provide copy of lease.
- 25 Mar 1986 – lessor's solicitors replied stating that lease had been executed + solicitors expected it to be returned *'in the not too distant future'* + solicitors would provide tenant *'with its stamped parts of the documents as soon as we are able to'*.
- Mar-Aug 1986 – no further communication regarding registration of lease.
- 21 Aug 1986 – tenant's solicitors wrote to lessor requiring registration of the lease within 14 days: *'in view of the unexplained and lengthy delay, it appears reasonable that our clients require your client to complete registration within fourteen days from the date hereof. If the registration is not completed within that time then our clients naturally reserve their rights in respect of your client's default'*.
- 21 Aug-4 Sept 1986 – lessor did not meaningfully respond, nor did it procure registration of the lease.

- 5 Sept 1986 – tenant's solicitors wrote to lessor stating that tenant treated lessor's failure to respond adequately as a repudiation + tenant no longer regarded itself as bound by the lease.

***Held* (HCA):**

- Repudiation by lessor.
- 21 August notice was ineffective – not a reasonable time + no intent to terminate upon failure of compliance.
- But lessor's conduct was 'not only dilatory but also cavalier and recalcitrant' + its delay was 'deliberate and was for the lessor's own commercial purposes'.

'Although the matter is finely balanced, the unjustified delay on the part of Capalaba between March and 3 September 1986, accompanied by incorrect statements and unfulfilled assurances sustained the inference of repudiation drawn by Connolly J [the trial judge]. Based on Capalaba's unwillingness to deliver a registrable lease to Laurinda, it seems to be that Capalaba's intention was only to perform the contract in a manner substantially inconsistent with its obligations, such as would allow Laurinda to treat Capalaba as having repudiated the contract.'

- *Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989) 166 CLR 623, 636-637 (Mason CJ)*

'I would not infer repudiation merely from non-registration within the time limited by the letter. However I am unable to agree with the Full Court…Repudiation may be established without proof of an effective notice to complete. The absence of an effective notice means that the other evidence must be examined to determine whether a clear inference of repudiation should be drawn, but it does not preclude the drawing of that inference…it is the inference which Laurinda drew and, although it cannot be said that no other reasonable inference is open, it is a reasonable inference which can clearly be drawn.'
Laurinda Pty Ltd v Capalaba Park Shopping Centre Pty Ltd (1989) 166 CLR 623, 649 (Brennan J)

WHAT IS A REASONABLE TIME?

- A finding of fact for the trial judge
- Depends on nature, intentions, normal interpretive considerations
- Time is essential and shouldn't be delayed in sale of land

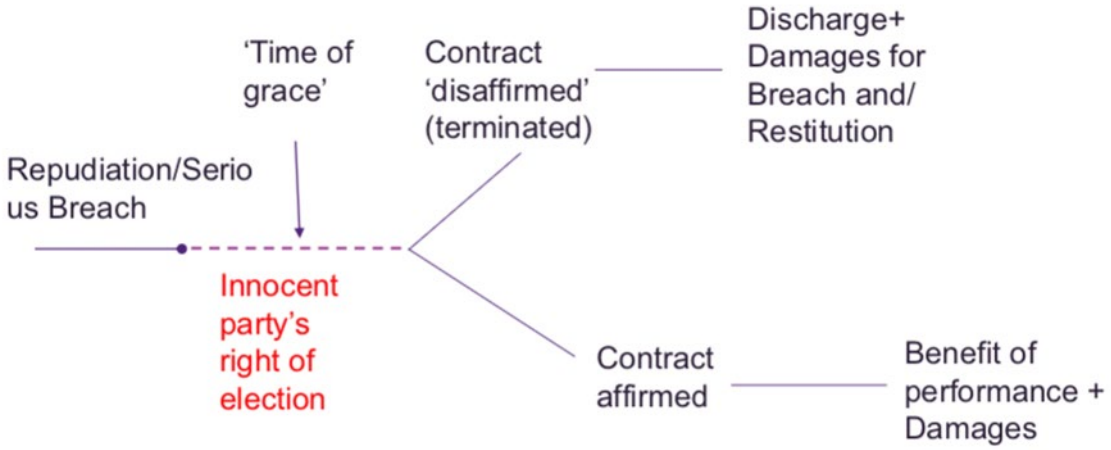
'The result of non-compliance with the notice is that the party in default is guilty of unreasonable delay in complying with a non-essential time stipulation. The unreasonable delay amounts to a repudiation and this justifies [termination].'

- ***Louinder v Leis (1982) 149 CLR 509, 526 (Mason J)***

- This is an illustration of how the doctrine works in a case where there is no expressed time condition
- Remember, if no expressed time, notice must come after delay and provide a reasonable time for performance after the notice
- And Leiner and Lace, the period of unreasonable delay was a long one, and then the notice issued only gave a couple of months to remedy. And that was an insufficient period of time for the notice needed to give a further period

Topic 4 – Election to Terminate, Consequences of Termination

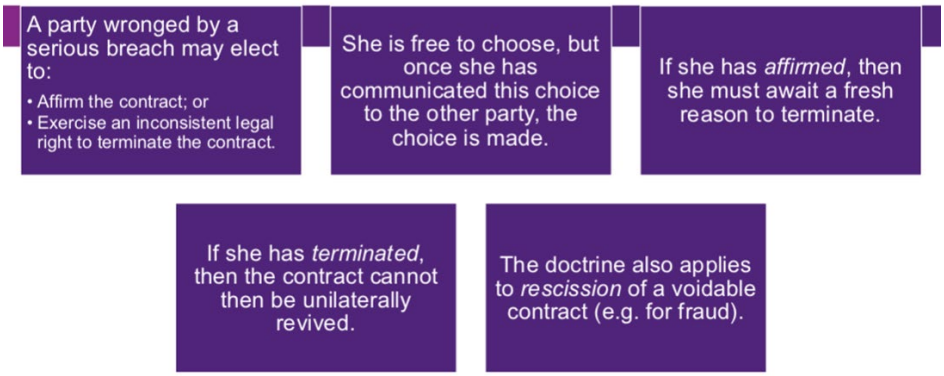
DOCTRINE OF ELECTION



2 divergent paths:

1. Terminate/disaffirmation, no take backs – doctrine of election – contract is then discharged, and parties rights are divested (determined as of the time of termination and then damages are awarded to one or both parties)
2. The other path is to affirm the contract. Once you have unequivocally communicated your confirmation, you must wait for fresh basis on which to terminate the contract.

ONCE YOU TRAVEL UP ONE OF THESE PATHS, YOU CANT GO BACK AND TRAVEL THE OTHER!



AFFIRMATION OF CONTRACT

Express or implied through conduct
Election to affirm a contract will occur either:
(as per Coastal estates)

THROUGH 'ACTUAL' ELECTION, WHICH REQUIRES:

1. Knowledge of the facts in which the right arises; (knowledge of the breach)
e.g. if someone uses the wrong marble but you don't know yet, that doesn't count
and
2. Knowledge of the right to terminate itself. (knowledge of legal rights)
3. An unequivocal decision to affirm the contract – express words like "I affirm"

THROUGH 'IMPUTED' (DEEMED) ELECTION, WHICH REQUIRES (IMPUTED THROUGH CONDUCT):

1. **Does not require knowledge of rights**
2. **Imputed through actions**
3. **i.e. acceptance of rent, receiving payments under the contract**

- Exercise of rights adversely to the other party, which could not be justified unless the contract were on foot.
- E.g. continuing to accept delivery of goods, even if you don't know your right to terminate, continued acceptance of those goods is adverse to the rights of the other party, inconsistent with an election to terminate the contract – YOU CAN ACCIDENTALLY AFFIRM
- There is no requirement that the party know their rights.

- ***Coastal Estates v Melevende [1962]***

Distinguishes actual and imputed election.

recission for a fraudulent misrepresentation, doctrine of election
there is a right to rescind or unwind a contract where another party induces you to enter into the contract with what is essentially a lie

Facts:
o M induced to purchase property by fraudulent misrepresentation of C.
o 2 years later, M rescinded contract.
o C defended that M had elected to affirm the contract during the 2 years.
Held:
o No defence of affirmation could be found, thus M had not yet lost power to rescind, despite performing numerous acts appearing to recognise the continuance of the contract.
o However, this is not because M did not know the facts, instead M did not know of his rights to rescind for that fraud.
o Affirmation is a positive defence – thus, onus on C to show no election to affirm (either actual or imputed).

POSTPONING TERMINATION

- Innocent party need not terminate immediately.
- But the **delay must not be unreasonable, or adverse or prejudicial to the party in breach.**
- An innocent party may temporarily waive their power to terminate without thereby affirming the contract.
  – See e.g. Tropical Traders v Goonan [1964]

- ***Tropical Traders v Goonan 1964***

Time expressly of the essence
- When time is expressly of the essence, any delay in performance will entitle the innocent party to terminate

Notice
A conditional termination
Principles of postponing termination
Contract for sale of land by instalments

Facts:
o G entered instalment contract to purchase land from T.
o Time agreed to be of the essence. T could terminate for non-payment at the stipulated times.
o Numerous payments were slightly late.
o When final payment was due, G sought a 3-month extension. T reminded G of his right to terminate, but agreed to suspend action until 14 Jan.
o G failed to pay on 14 Jan. T purported to terminate.

Held:
o Each acceptance of the late instalments was an election to affirm, but it was not a waiver of time being of the essence.
o T was not bound to elect at once. T promised they wouldn't terminate before 14 Jan – thus, T postponed its election to the 14th of Jan.

THE MECHANICS OF TERMINATION

How and why of termination
• **Termination must be clearly and unequivocally communicated to the other party:**
– Through words; and/or
– Through conduct evincing an unequivocal intention to terminate.
(Impliedly is not advisable)
• Provided the party has the right to terminate, it is irrelevant that they have identified the wrong basis. **AS LONG AS YOU HAVE A BASIS, IT'S FINE!**
• As a matter of law, **silence or non-performance may be sufficient to communicate an election to terminate**.

Would a reasonable person in the party in breach of repudiation's position understand that the contract had been terminated?

That the other party no longer had any intention of proceeding with the contract?

- Notification need not come personally from the aggrieved party; breaching party only needs to **find out** (***Dickinson v Dodds***).

ASK 2 QUESTIONS:
1. Has the right to terminate arisen?
2. Has it been effectively exercised?

- Acceptance of repudiation has no required form
- Is silence capable as an act of termination? (VITOL)

- ***Vitol SA v Norelf Ltd [1996]***

Silence coupled with failure to perform a fundamental obligation being sufficient to communicate election to terminate is the failure to perform or the silence sufficient to communicate to a reasonable person in the position of the repudiating party an election to terminate.

Buyers contracted to purchase propane from sellers between 1-7 March.
8 March: sellers unable to complete until 9 March. Buyers refused to accept delivery, thus repudiating.
Sellers sold to third party for significantly less. 9 March – sellers claimed buyers should pay US$1M damages due to price reduction.
Arbitrator – sellers failed to take further steps after buyers' repudiation, thus constituted communication of acceptance of repudiation.
Held:
- Acceptance of repudiation requires **no form**.
- Notification need not come personally from the aggrieved party; breaching party only needs to **find out** (***Dickinson v Dodds***).
- Sellers failing to take **further steps** to perform contract signifies that they were treating contract at end ("**non-performance**" constituting acceptance).
- Election to terminate was reasonably inferred from the **tenor** of the buyer's rejection telex and failure of seller to tender the bill of lading.

Approach in ***Vitor v Norelf*** may hold where vendor (V) resells subject matter to a third party without notifying the original purchaser (P) who is repudiating the contract. The risk is that P's repudiation may be retracted, and V is stuck with two contracts.
- **Note:** s 72 of *Property Law Act 1974* (Qld): restriction on V's right to rescind.
- V cannot rescind until 30 days after service upon P of a notice in approved form.

ELECTION AND REASONABLENESS

- There is no overarching duty of reasonableness that fetters the election to affirm.
- - doesn't need to be reasonable or in good faith
- However, where cooperation is required, the contract may be automatically discharged and incapable of unilateral affirmation.

Consider:
- An instalment contract where the buyer refuses to cooperate in the receipt of goods.
- An employment contract where the employer wrongfully terminates.
- A construction contract where the owner of the premises refuses to allow the contractor access to complete construction.

- *White & Carter v McGregor [1961]*

Election and reasonableness
possibility of an unreasonable affirmation of the contract.
White and Carter were allowed to affirm.

Facts: W&C provided litter bins to local council and were paid by M to display advertisements on bins. McGregor Purported to cancel the deal not long after renewal. W&C elected to affirm the contract, then brought claim for contract price after non-payment.

> Roughly speaking, what we're looking at here is some uh, Some reason that would justify uh, Uh, so it's sort of preventing use of affirmation that would be tantamount to, Uh, specific performance of the contract, which is something we're gonna look at next week.
> **two key points I want you to know about are that there's no general duty of reasonableness that fetter the right to affirm. But that affirmation may not be possible in contracts that require cooperation.**
> **Those are the only two things I need you to know for this course.**

Held (3-2, Lord Morton and Lord Keith dissenting):
W&C were entitled to the contract price. As victim of repudiation they had unfettered option to accept or to affirm the contract.
Per Lord Reid, two exceptions:

i. Where cooperation required (see previous slide);
ii. Where there is no 'legitimate interest' in continuing performance rather than terminating and claiming damages. (But note that the idea of a legitimate interest here is quite permissive with respect to the affirming party—e.g. a legitimate interest may be financial. It essentially only restrains uses of the right to affirm that are unconscionable or punitive, or which would amount to obtaining specific performance of a contract in circumstances where a court would be unwilling to grant it (next week)))

THE EFFECTS OF TERMINATION

- **Releases all parties from further performance of their primary obligations**
  - Secondary obligations intended to survive discharge are enforceable. E.g. Arbitration clauses (Heyman v Darwins Ltd [1942])
- **Rights unconditionally accrued are not affected ('divested'). (McDonald v Dennys)**
- **terms intended to survive breach and termination are generally enforceable** (i.e., secondary obligations – exemption and liquidated-damages clauses; arbitration and choice-of-law clauses) – Heyman v Darwins

i. Rights to damages for breach/anticipatory breach prior to termination.
ii. Rights to payments accrued unconditionally prior to termination (McDonald v Dennys Lascelles Ltd (1933))

If there's a serious breach of contract, you have an automatic right to damages which is not affected. By affirmation or termination of the contract.

- No restitution of payments made under the contract is possible unless there has been a "**total failure of consideration**" (***McDonald v Dennys***).
- The innocent party's right to recover damages is not affected by termination:
  - Innocent party can generally only get damages for anticipatory breach or repudiation if they elect to terminate the contract.
  - But an innocent party is entitled to damages for actual breach regardless of whether they terminate.

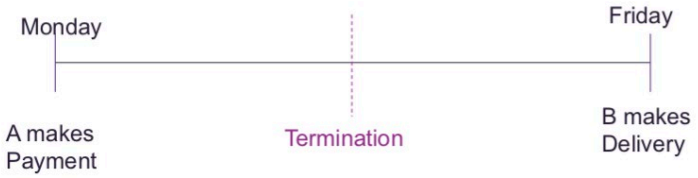
– Function of a deposit:
In a sale of land, the deposit performs two functions:
(1) act as an assurance against default by purchaser; (2) form part of the contract price.

– Where a purchaser is in default, the deposit may well be forfeited – subject to the penalty's doctrine: ***McDonald v Dennys Lascelle***.
– Where the vendor is in default and purchaser validly terminated, deposit may be liable to restitution (V returns deposit to P) when there is total failure of consideration: ***Foran v Wright***.

ACCRUED RIGHTS

Accrued rights are unaffected by termination and unaffected by the basis for termination (McDonald v Denny Lascelles Ltd).

- A right 'accrues' when both the temporal and substantive conditions of the right have been satisfied.
- E.g. 'A shall pay B $100 for delivery of 100 widgets. A shall make payment the final Monday of each month. B shall complete delivery by the final Friday of every month'.
- The condition highlighted in green is the substantive condition that needs to be satisfied in order for B to accrue the right to payment. The condition highlighted in yellow is the temporal condition.
- Substantive satisfied before temporal
- If a contract terminates before both conditions have been satisfied (below), the right has not accrued unconditionally.



ENFORCING ACCRUED RIGHTS

- Supposing that a right to payment has accrued prior to termination, then the right will be enforceable as a debt if payment has not already been made.
- However, rights to goods and services are different. Even **rights to goods and services that have accrued prior to termination will not be enforceable in the strict sense**. This is because, once the contract has been terminated, *specific performance is not available*. Instead, **the party who has accrued the right will receive the monetary value of the goods or services they were promised.**

ACCRUED UNCONDITIONALLY

- Rights have temporal and substantive conditions. They accrue unconditionally when both conditions are met.
  - So e.g. rights to payment for goods are accrued unconditionally when the (i) time for payment has arisen and (ii) the goods have been delivered in satisfactory condition(and the substantive condition of the right to payment has been met).
- The precise conditions of a right are a matter of interpretation.

  - E.g. For a deposit, the right is unconditionally accrued when the date for payment has fallen due and when either:

i. The purchaser defaults under the contract; or
ii. The contract is fully performed by the vendor. (see e.g. Foran v Wight (1989))

- ***McDonald v Dennys Lascelles Ltd 1993***

Dispute over right to retain a deposit, and right to retain sums paid under the contract
Purchaser defaulted, vendor entitled to keep deposit
Total failure of substantive consideration (benefit) – Rye received no land

o M contractually bound to purchase land via instalments from D.
o M had paid deposit and 2 instalments but repudiated before paying 3rd instalment (which was under a separate contract for an extension of time). D had accepted the repudiation.
o D then sued M to recover the 3rd instalment.
Held:
o 3rd instalment was not recoverable.
o Although it had accrued (fallen due) it had not 'unconditionally' accrued – because this was dependent on the subsequent completion of the contract
o Thus, the two instalments already paid were recoverable on a restitutionary basis for ordinary failure of consideration.

TOTAL FAILURE OF CONSIDERATION

- Where a deposit or sum has been paid prior to discharge of the contract, the recipient may be liable to return the sum for 'total failure of consideration.' - restitution

- See further:
  - *Foran v Wight (1989) (termination)*
  - *Fibrosa v Fairbarn (1943) (frustration)*
- This remedy is not contractual--the deposit does not form part of a damages award. Instead it is restitution on the basis that consideration has totally failed because the conditions for accrual of the right have not been met.
  - *Cf. Baltic Shipping v Dillon (1993) (failure of consideration only partial).*

Failure of consideration has to be TOTAL not partial, so you cant partially benefit at all

- can seem harsh. Suppose A has begun to perform construction work for B, but only a fraction of the work is completed prior to termination.
- If B has already paid A in full for the work, they will be unable to recover the payment. The failure of consideration needs to be total (see e.g. Baltic v Dillon (week 7)). On the other hand, if B has not yet paid, then A will not be able to recover payment from B. The conditions of accrual of the right to payment have not been satisfied.

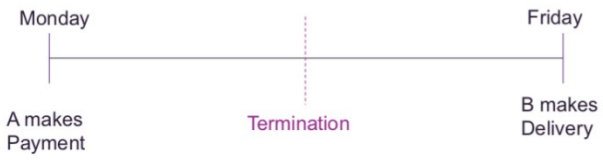
- There is an asymmetry here that is a little unsatisfying, but remember that B may still be entitled to damages.

PAYMENT OF DEBTS VS RESTITUTION

- If a right to payment has unconditionally accrued, but payment has not yet been made, then the claimant (the payee) can bring an action to recover the payment as debt.
  - Recall the substantial performance doctrine, which applies in these cases.
- If the payment has already been made, but the right to payment has not unconditionally accrued, then the claimant (the payer) can bring an action for restitution
  - Requires total failure of consideration (see previous slide).
- Similar principles apply to recovery of monetary value of goods or services where the right has not accrued unconditionally under a contract (recall the notions of quantum valebat (Sumpter v Hedges) and quantum meruit (Cutter v Powell) from week 1)

RESTITUTION AND TERMINATION

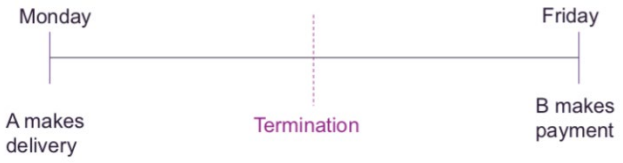
- Sometimes party A makes a payment, transfers property, or performs work or service to which party B has not accrued an unconditional right at the time of termination.
- In these cases, if A can show a 'total failure of consideration', they are entitled to restitution (Foran v Wight)
- 'Total failure of consideration' is unfortunate language—it just means that A must have received nothing—or close to nothing—of what they were promised in return for their own performance.
- In the below example, for instance, since A never receives the goods (termination occurring prior to delivery), they are entitled to restitution of the $100 payment.



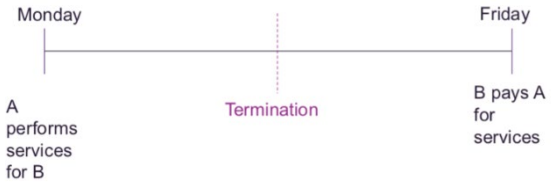
RESTITUTION OF GOODS AND SERVICES

- The principles governing goods and services are the same as those governing restitution of money.
- **However, courts are unlikely to order a party to return goods in their possession, and they cannot return labor or services once performed.**

- **Instead the default award of restitution is for a fair sum representing the value of the goods or services.** These sums are called 'quantum valebat' (for goods) and 'quantum meruit' (for services). (These remedies are not available where the relevant risks of performance/non-performance are allocated under the contract. See cases like Sumpter v Hedges and Cutter v Powell.)
- Suppose, for instance that the contract requires A to make delivery of widgets on Monday, with B's payment set for the following Friday, and termination occurring before B makes payment. A will be entitled to a quantum valebat from B reflecting the fair value of the widgets.



- The same principles apply if A performs services for B, but the contract is terminated before B is obliged to make payment for those services. In the below case, A would be entitled to a quantum meruit reflecting the value of the services rendered for B prior to termination.



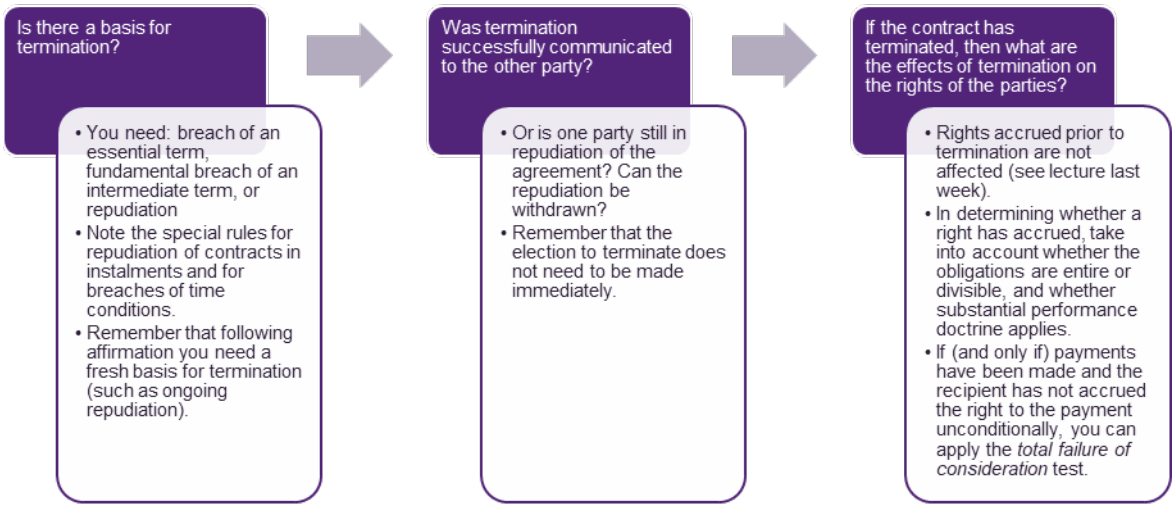
Topic 5 – Frustration of Contract (brief), Privity and Enforcement

- Effects of Frustration
- Doctrine of Privity

FRUSTRATION AND PRIVITY ARE NOT ASSESSED.

SPECIFIC RELIEF IS ASSESSED.

BASIC ISSUES TO CONSIDER IN A TERMINATION PROBLEM



FRUSTRATION

- A frustrating event must **:**
  - Occur after the formation of the contract; and

- Occur without the fault of either party; and
- Be such that it renders performance impossible or radically different
- Be such that neither party has assumed the risk of the event under the contract.
- it's super rare
- has to be IMPOSSIBLE to perform, not just difficult
- if it is possible for the contract to be on foot the court will uphold it
- if there is a way to perform it's probably not frustration

- ***Codelfa Construction Pty Ltd v State Rail Authority of NSW (NOT REQUIRED READING)***

  Case of frustration
  Held (per Mason J, Aickin, Stephen, Wilson JJ concurring):
  The contract had been frustrated by supervening illegality which, as a matter of construction, rendered performance radically different from what was contemplated by the parties.
  'Performance by means of a two-shift operation necessitated by the grant of the injunction was fundamentally different from that contemplated by the contract' (Mason J).

EFFECT OF FRUSTRATION

AS FOR DISCHARGE GENERALLY:

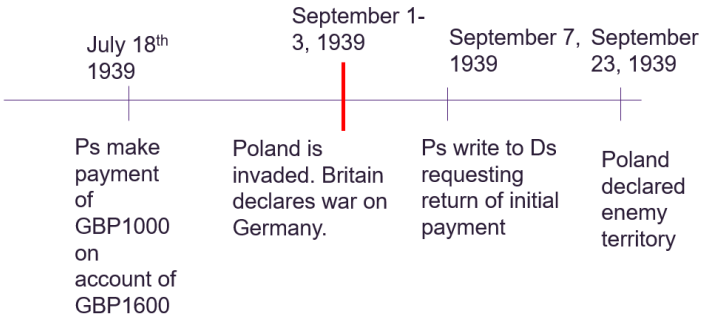
- Accrued rights are not affected
- Restitution may be available where there is total failure of consideration
- Illustration: *Fibrosa v Fairbairn* [1942]
- Note legislative schemes in other jurisdictions (e.g. NSW, Victoria, UK, NZ).

EFFECTS OF TERMINATION

- ***Fibrosa Societe Anonyme v Fairbarn Lawson Combe Barbour [1942]***

Relevant to discussion of effects of termination
Accrued rights are not affected
Restitution may be available where there is total failure of consideration
Contract frustrated

- Fibrosa (Ps) were Polish company, Fairbarn (Ds) constructed textile machinery:
  - Ds to Sell Ps machines for lump-sum of GBP4800
  - Delivery within 3-4 months of settlement, GBP1600 paid with order and the balance 'against shipping'. – once receipt of goods had occurred



- Ds argued that contract was frustrated. Ps argued that since Cl 7 allowed 'a reasonable extension of time' if war occurred.
- would have been illegal to ship

ISSUE: were the defendants entitled to keep the initial 1000 pound payment that had been made prior to termination?

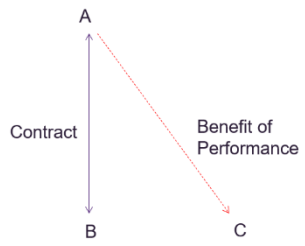
ENFORCEMENT OF CONTRACTS

- ***Can* I enforce?**
  - Privity

The Privity Rule
'According to our law, a person not a party to contract may not himself sue upon it so as directly to enforce its obligation.'
- only a party to the contract can sue to enforce a contract
- policy concern about opening floodgates
- fact that performing a contract would benefit a random person is not standing to enforce it

Barwick CJ, Coulls v Bagot's Executor & Trustee Co Ltd (1967)

THIRD PARTY PROMISES



- A contracts with B to perform a service for the benefit of C
- creates problems
- you're not wronging the third party so they don't have standing to sue – you're wronging B

- ***Beswick v Beswick***

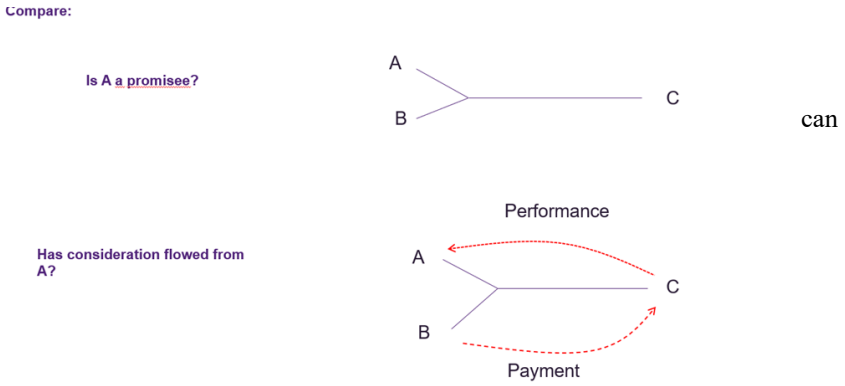
Enforcement of contract → Privity → successful enforcement by third party
Third party contracts → Random party generally cannot sue for damages if they are not a party to the contract
Mrs B was Administrator so was able to enforce in that context, NOT a personal context

- See also for specific performance, which was successfully ordered

PRIVITY AND JOINT PROMISEES

- ***Coulls v Bagots Executor (1967)***

Privity and Joint promises
JOINT PROMISEE PRINCIPLE: A joint promisee can enforce so long as one of the promisees has provided consideration



- ***s68 Property Law Act 2023 (Qld)***

68 Contracts for the benefit of third parties

(1) **This section applies if— (a) a person (the promisor) and another person (the promisee) enter into a contract; and (b) the contract contains a promise that the promisor will do or refrain from doing an act for the benefit of another person who is not a party to the contract (the third party).**
(2) **The promisor is subject to a duty enforceable by the third party to perform the promise.**
(3) **Subject to the terms of the contract, the contract or the promise may be terminated or modified by the agreement of the promisor and promisee before the third party accepts the benefit of the promise.**
(4) **If the third party accepts the benefit of the promise, either expressly or by conduct, an obligation imposed by the contract on the third party for the benefit of the promisor is enforceable by the promisor.**

…

ASSESSED FROM HERE

HOW CAN I ENFORCE?

- Specific Performance
- Injunctions
- Damages

If a party has standing to enforce the contract, and they are the victims of a breach of the contract, then they can enforce the contract:
(i) Through specific relief (specific performance and injunctions); and/or
(ii) Through damages, which give the money equivalent of performance

1. SPECIFIC PERFORMANCE

- An order for *specific performance* is an order requiring performance of an act, in this context what was promised in the contract. The primary remedy is damages. Orders are *discretionary,* taking into account e.g. the following factors:
  - Adequacy of damages
  - Delay by the plaintiff
  - Hardship to defendant

- Mutuality or lack of mutuality – where defendant would be also able to get an order for specific performance
- Difficulty in supervision
- Whether the contract is for personal services
- If the contract is unfair/unconscionable

- ***CH Giles***

Agreement was specifically enforceable.
it did not require the continuous performance of any acts/services – merely constituted an order to procure the execution of an agreement containing a provision for a single, non-complex act.

A) ADEQUACY OF DAMAGES

- Where damages are adequate, then specific performance is not ordered, as a rule. Conversely, it is more likely to be ordered where damages are inadequate.
- Examples:

➔ Land (in Qld) – as land is regarded as a unique good in QLD – **often comes up in exams**
➔ 'Rare', 'unique' or 'unusual' chattels

- ***e.g. Dougan v Ley (1946)***
    - where the specific performance wont be able to adequately approximate the value of the good because of how rare and unique it is

➔ Goods/services subject to radical fluctuations in market value

- ***(Sky Petroleum Ltd v VIP Petroleum [1974])***

➔ Cases where damages would be nominal

- ***(Beswick v Beswick [1968])***

– damages would be very small/inadequate/unjust e.g. B v B damages would be nominal compared to the future loss and value of the business

B) HARDSHIP TO THE DEFENDANT

- Hardship to the defendant goes to the courts' discretion/the discretionary nature of SP.
- Where the hardship incurred by the defendant would be disproportionate to the benefit conferred on the plaintiff, specific performance is unlikely.
- E.g.

Sale of a house where vendor is disabled

- ***(Patel v Ali [1984] Ch 283).***

– court declined to order specific performance of a sale of land agreement because the vendor was a disabled man who realised after entering into the agreement that the house he was in was close to indispensable family support, so decided he didn't want to leave the house, and court allowed him to stay there

Requiring a ballot be reheld so that the plaintiff could have a chance at purchase of land

- ***(Markholm Construction v Wellington [1985]).***
    - Hardship was cited for a reason for not doing specific performance. Ballot → party had been wrongfully deprived of their ability to participate in the ballot, argued it should be reheld. Court refused because the cost of reholding the ballot – unfairness to the other participants – impose undue hardship on the defendant

- ***Co-operative Insurance Society Ltd v Argyll Stores Holdings Ltd [1998]***

C) DIFFICULTY IN SUPERVISION

- Courts will be disinclined to order specific performance if constant superintendence is required.
- AKA Courts are reluctant to give an order for specific performance where constant supervision would be required.

E.g. **Contracts requiring a complex series of acts.**

- A matter of degree/not absolute.
  To what extent would the court be continually called upon to adjudicate disputes between the parties about whether performance has been adequate?

- ***JC Williamson v Lukey (1931)***

  Parties agreed L would be given exclusive sweet rights in exchange for leasing the shop near JC's theatre for 40/week.
  o JC withdrew sweet rights.
  o L sued seeking specific performance.
  Held:
  o Specific performance refused on grounds that actual performance could not be guaranteed. And high level of supervision required.
  o The enforcement of the right for (1) L to sell sweets and (2) JC to supervise/control the selling of sweets, would require **continued** and **effective superintendence** of acts and services, which would be impossible for any court.

'Specific performance is inapplicable when the continued supervision of the Court is necessary in order to ensure the fulfillment of the contract. It is not a form of relief which can be granted if the contract involves the performance by one party of services to the other or requires their continued cooperation'.

See further **Cooperative Insurance v Argyll Stores [1997]** (below) on orders to carry on an activity and orders to achieve a result (Lord Hoffman).
'This is a convenient point at which to distinguish between orders which require a defendant to carry on an activity, such as running a business over a more or less extended period of time, and orders which require him to achieve a result. The possibility of repeated applications for rulings on compliance with the order which arises in the former case does not exist to anything like the same extent in the latter.'

D) PERSONAL SERVICES

- Personal service requirements are unlikely to be specifically enforced.
- It is difficult, if not impossible, to compel parties into continuous personal relationships with one another, especially where that relationship is already subject to dispute.
- courts extremely unlikely to order SP
- Specific performance may still be available where it merely compels execution of an agreement for the service

- ***CH Giles & Co Ltd v Morris***

- **(order granted to compel execution of a contract for personal services). – forced to sign even if they intend to repudiate by not performing**

'the reasons why the court is reluctant to decree specific performance of a contract for personal services (and I would regard it as a strong reluctance rather than a rule) are, I think, more complex and more firmly bottomed on human nature. If a singer contracts to sing, there could no doubt be proceedings for committal if, ordered to sing, the singer remained obstinately dumb. But if instead the singer sang flat, or sharp, or too fast, or too slowly, or too loudly, or too quietly…the threat of committal would reveal itself as a most unsatisfactory weapon.' Megarry J, *CH Giles & Co Ltd v Morris* [1972]

- ***Lumley v Wagner (1852)***

- Negative injunction was enforced – prevented D from accomplishing something she indirectly contracted not to do.
- Even where there is no satisfactory remedy at law, court of equity will not particularly implement a personal services contract.
- But not a direct court command – cannot compel D but may encourage D to fulfil initial obligation.

E) MUTUALITY

- Specific performance should be equally available or unavailable to both parties, as the case may be.
- idea that the extent to which one party is able to obtain specific performance, should weigh in favour of the other party being able to obtain it and vice versa.
- So usually mutuality uh is cited as a reason for refusing specific performance, that is, courts will say there is a want of mutuality.
- E.g. Specific performance less likely to be available for one party where it would not be available for the other party:
  - **because supervision would be required**

- *(JC Williamson v Lukey (1931))*
  - **or because the contract is for personal services**
- *(Page One Records Ltd v Britton [1967]).*

- *Dougan v Ley (1946)*

Specific Performance →

Mutuality

Adequacy of damages → 'Rare', 'unique' or 'unusual' chattels/goods

Facts:

- D agreed to sell Ps a registered taxi-cab, with benefit of license, for 1850 pounds.
- The license could only be granted if Commissioner for Road and Transport and Tramways was satisfied that the transferee was fit and proper.
- There were relatively few sales of taxi cabs, licenses were limited 950. As many as 6 buyers for any 1 cab.
- Ps did subsequently manage to purchase an additional cab.
- Issues raised included:
  - Adequacy of damages (the taxi-cab being a chattel/rare/unique good)
  - Mutuality - Because the defendants argued that, They wouldn't have been able to force the plaintiffs to buy the cab because they would have had to force the plaintiffs to submit paperwork to apply for the licence.
  - Relevance of P's subsequent purchase – he'd purchased other cabs so there was no loss in question

ADEQUACY OF DAMAGES

'In the present case I think that we should have no difficulty in concluding that, because of the limited number of vehicles registered and licensed as taxi-cabs, because of the extent to which the price represents the value of the license, and because of the essentiality to the purchasers' calling of the chattel and the license annexed thereto, we should treat the contract as within the scope of the remedy of specific performance'.

- Dixon J
- specific performance inadequate because the cab with the licence attached was a rare or unique good – a car is not a unique good itself, but one with a licence attached is

MUTUALITY

'An argument was advanced that there was a lack of mutuality because, as against the respondents as purchasers, the contract could not be enforced without a continued supervision or superintendence, which the Court would not undertake…But it is evident from the nature of the statutory provision that the argument is misconceived. All the respondents must do is submit the materials for satisfying the commissioner'.

- Dixon J
- court rejected argument for mutuality because the application For approval would have only needed to be uh submitted. It didn't, it didn't all that needed to be done is a certain result needed to be achieved. Uh, which was submission of the paperwork, and therefore there was no want of mutuality.

SUBSEQUENT PURCHASE

'An answer was attempted on the part of the appellant to the effect that the respondents in fact succeeded in buying another taxi-cab. This, I think, is not material. It was not an election on their part to obtain a substitute at the expense, in damages, of the appellant. They were entitled to claim an additional car, if they could, for their business without prejudicing their right to obtain *in specie* the taxi-cab registration and licence already contracted for.'

- Dixon J

INJUNCTIONS

- As with specific performance, injunctions are discretionary – more limited than SP
- **compels party to perform X part of the contract – can be a negative obligation, express or implied, to prevent them from breaching the contract, or a mandatory injunction, which compels them to perform some particular obligation under the contract**
- Distinguish:
  - **Mandatory injunctions (rare), which can be used to compel performance of a particular obligation under a contract.**
  - **Prohibitory injunctions, which prevent a party from breaching an obligation under the contract.**
  - Distinction between mandatory injunctions and specific performance is often one of 'form and not substance'.
  - Injunction is a limited SP – not the contract as a whole but one limited obligation
- In either case, courts will be wary of issuing an injunction if it results in the enforcement in specie of a contract (i.e. if it is, in effect, specific performance), especially in cases where specific performance would not be granted.

Prohibitory Injunctions	Mandatory Injunctions
• Preventative – restrain the breach. • Granted only in respect of negative promises. • The SP of the negative bargain made by parties.	• Restorative. • Usually directs D to take action to undo something in breach of contract (i.e., demolish a building). • Rare. • Can be used to enforce a specific term in isolation, whereas SP must be respect of the whole contract.

- ***Co-operative Insurance Society Ltd v Argyll Stores (Holdings) Ltd [1997]***

Injunction
Mandatory injunction not enforced
Would require court supervision – couldn't be severed from main contact

Facts:
- Ps granted the Ds a lease of a unit in the Hillsborough Shopping Centre for 35 years, to run a supermarket.
- Ds closed supermarket in 1995.
- Cl 4(19) required them to 'keep the demised premises open for retain trade during the usual hours of business in the locality and the display windows properly dressed'.
- Ps sought a mandatory injunction enforcing the covenant.
- CA granted the order sought.

Held (by House of Lords): The obligation was not sufficiently precise to be subject to enforcement through mandatory injunction.

- ***Lumley v Wagner (1852)***

courts are much more likely to grant a prohibitory injunction than they are to grant specific performance.

Prohibitory injunction granted

Facts:
- Defendant contracted to sing exclusively for the plaintiff for 3 months.
- Persuaded to sign at a rival company.
- Plaintiff sought a prohibitory injunction to restrain breach of contract.

Held:
- 'It is true that I have not the means of compelling her to sign, but she has no cause of complaint if I compel her to abstain from the commission of an act which she has bound herself not to do' (Lord St Leonards).

The Court of Chancery granted a **prohibitory injunction** restraining Johanna Wagner from singing for any rival theatre during the contract term. It **did not** order specific performance (it wouldn't force her to sing for Lumley).

- ***Warner Bros v Nelson [1937]***

Prohibitory injunction granted

- D contracted with WB to render her exclusive service as an actress.
- D went to England and contracted to perform in a film with another production company.
- WB sought an injunction restraining her from breach of negative covenant.

Held: Courts will not enforce a convenant merely because it is negative. They look to the substance—would the order in fact compel performance. Here, there was no evidence that D would be driven to 'remain idle or starve'.

So what the court looked at in particular was what the substantive effects of the prohibitory injunction would be.
Would it mean that someone in the defendant's position had no other choice but to, uh, perform the original contract. In that case it would be in order for specific performance and the court wouldn't grant it.
But if you look at Bette Davis, uh, if you looked at her career up to that point, it had been a successful one. It would not, and the, the court was satisfied that the order to prevent her performing for the for the rival company would not have forced her to go idle or starve. So they granted the order. As it happened, Bette Davis did go back to performing for Warner Brothers, and then entered into probably the most productive period of her career, made some of her most, uh, Successful films.

The court granted a **prohibitory injunction** restraining Bette Davis (Mrs Nelson) from acting for any other film company during the contract term. It **did not** order specific performance; the injunction was **limited** (e.g., capped in duration and confined to the court's jurisdiction), and she remained free to earn a living in other ways (the over-broad "no employment of any kind" clause was not enforced).

- ***Page One Records v Britton [1968]***

Similar to WB v N

Prohibitory Injunction refused

Want of mutuality – could not force the current manager to continue to perform the contract

Contract with WB v N

- Ds were members of 'The Troggs'
- Sought to replace their manager with another.
- Manager (P) sought injunction restraining them from breach of the contract.

Held: The contract involved personal services in the nature of trust and confidence on behalf of the P. There was a lack of mutuality. More fundamentally, the order would have had the effect of a decree of specific performance. There was little chance the Troggs could continue without a manager, so the injunction would have the effect of compelling them to continue to employee P as their manager.

The court **refused** a prohibitory injunction. Although the contract had a negative covenant (exclusive management), an injunction would have effectively **compelled the pop group (The Troggs) to keep Page One as manager**, amounting to indirect **specific performance of a personal-services contract**. The court also noted lack of **mutuality** and the practical oppressiveness/supervision problems once confidence had broken down.

LORD CAIRNS ACT DAMAGES

Lord Cairns Act damages can be awarded in lieu of specific performance.
***Civil Proceedings Act* 2011 (Qld), s 8:**
'If a court has jurisdiction to hear an application for an injunction or specific performance, the court may award damages as well as, or instead of, an injunction or specific performance.'

Topic 6 and 7 – Damages I & II– Damages for Breach, Penalties Doctrine

THE CONCEPT OF DAMAGES

Think of specific performance as the court using its coercive powers to compel fulfilment of the contract in its entirety. Damages are the next best thing, monetary award that will give value of performance.
Remembering that complete performance cannot be required in some cases, either the court is unwilling, or doing so would break a discretionary reason (see week 5), or because it would be impossible.

'RESIDUE' THEORY OF DAMAGES

If someone's right is breached, then they have a residual right to compensation that puts them, as far as possible, in the position they would have been in had the right not been infringed.

A negative right: right that X will not do something to you – damages seek to make it that the act was never performed.

IN OTHER AREAS OF LAW

We have rights not to be harmed by others. Our residual right is to compensation that puts us, as far as possible, in the position we would have been in had the *harm* not occurred.

IN CONTRACT LAW

We have rights to the performance of the binding promise. Our residual right is to compensation that puts us in the position we would have been in had the promise been performed.

Expectation measure.

Right to performance → residual right to compensation to put us in position as if the promise had been performed

ROBINSON V HARMAN RULE

'The rule of common law is that where a party sustains a loss by reason of a breach of contract, he is, so far as money can do it, to be placed in the same situation with respect to damages as if the contract had been performed.'

Ask: (1) What position is the P in now?

We fix some kind of monetary value to the difference between current and expected position.

Then: (2) What position would they have reasonably expected to be in if the obligation had been performed?

Finally: How can money be used to bridge the gap between (1) and (2)?

ASSESSMENT OF DAMAGES

- **Assessment of Damages**
  - The Use of Accounting Headings and Double Recovery
  - Expectation Interest
  - Expectation vs Reliance Interest

ASSESSMENT OF DAMAGES: THE EXPECTATION INTEREST

- It is possible to recover damages under a variety of different accounting headings (e.g. 'restitution', 'reliance', 'indemnity', 'wasted expenditure') provided they form part of the expectation interest.
- The expectation interest is the interest protected by an award of damages for breach of contract—the expectation that the P had of receiving the benefit
- Note, however: **The *Robinson v Harman* principle is incompatible with 'double recovery'**
  - E.g. no damages for restitution of ticket price **and** damages for loss of enjoyment already encompassing the value of the ticket price (*Baltic v Dillon*).
  - E.g. if P has not yet incurred any expenditure or suffered any loss, they will only be entitled to their 'net' expectation (e.g their profit).

DOUBLE RECOVERY

General rule: can recover loss under a number of headings, so long as there is no double recovery.
And that P isn't being overcompensated.

Ensure headings of losses are exclusive and distinct.

Baltic v Dillon:
E.g. no damages for restitution of ticket price **and** damages for loss of enjoyment already encompassing the value of the ticket price (*Baltic v Dillon*).

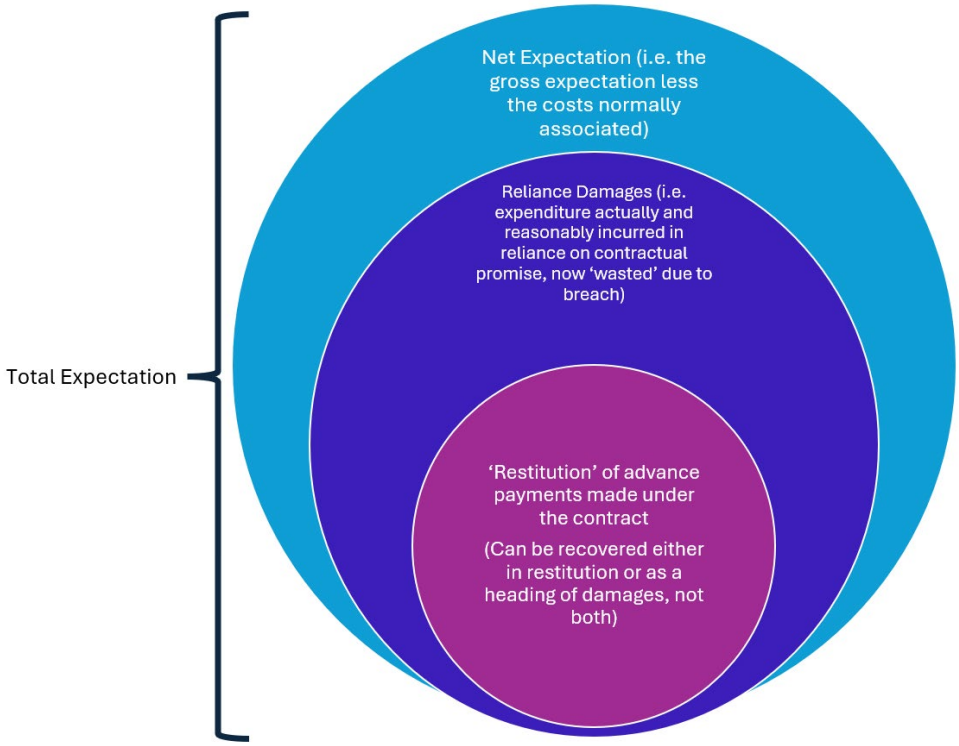
There are also cases where D's breach saves you from certain expenditure. Need to make sure damages aren't counting those expenditures.

EXPECTATION CAP

Damages subject to expectation cap.
Mau be that the position P expected to be in if performance occurred is still not very good.
Maybe a bad bargain for example.
Cannot be compensated for the effects of a bad bargain, as damages compensates no performance.
Court will not go further.

General rule: different heads of damages can be claimed so long as they are nested within each other (see below diagram) so long as they are part of the total expectation.

Understanding Headings of Damages



DETERMINING THE EXPECTATION INTEREST: ACCOUNTING HEADINGS AND DOUBLE RECOVERY

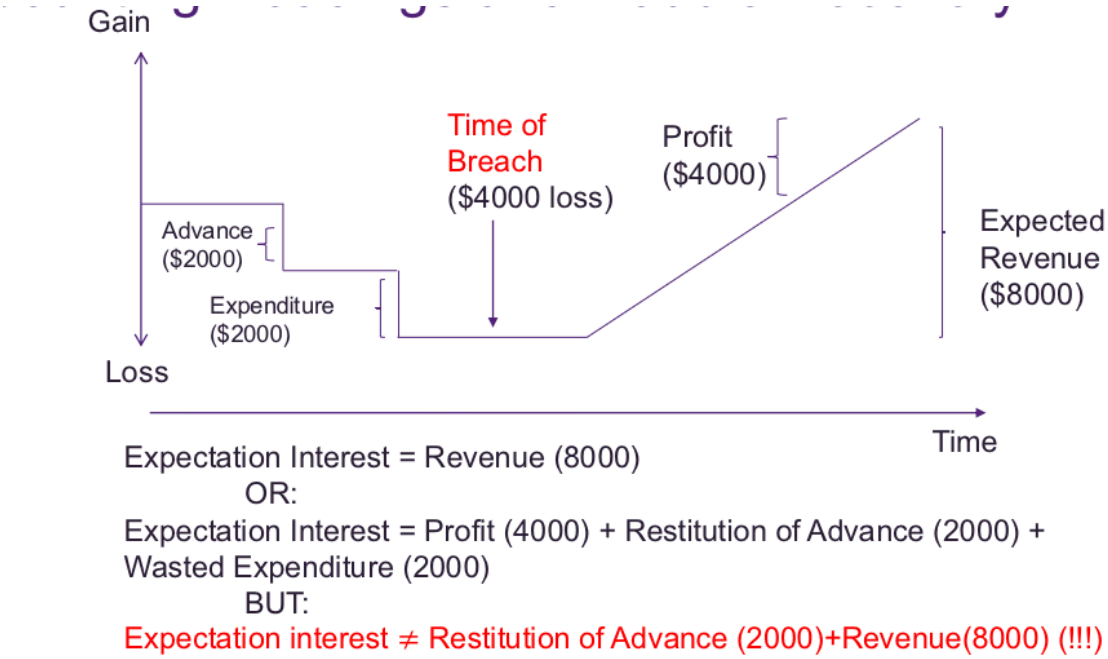
A pays an advance fee of $2000 for widgets from B. He then spends a further $2000 on advertising the widgets in advance of delivery. B breach their contract and fail to deliver the widgets. If the widget contract had not been breached, A would have made $8000 in revenue from on-sales.

Recovery of $2000 advance fee ('Restitutionary Damages')
Compensation for $2000 on advertising. (Reliance)
Profit of $4000 ('Expectation')

1. A – 2000 → B
2. A – 2000 → Advertising widgets
3. B—Does not deliver Widgets → A
4. A loses 8000 potential revenue/4000 expected profit

At time of breach, denied $8000 revenue. (total expectation)

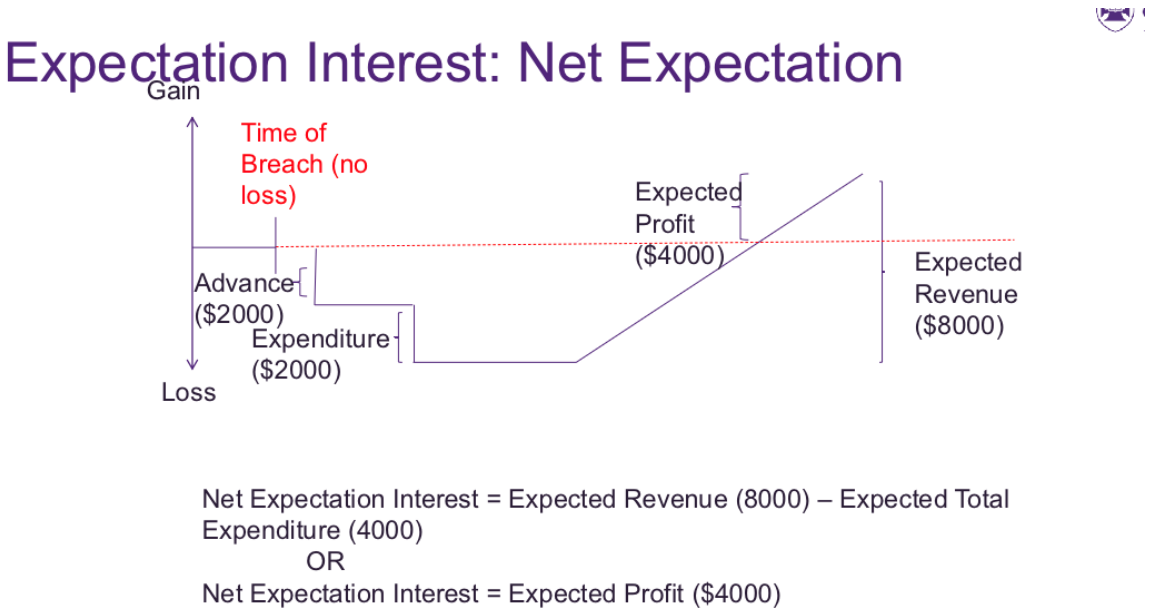
Another way: he would have recouped advance fee of $2000, the $2000 on advertising was an expenditure reasonably incurred in anticipation of performance so would have recouped that as well. Then would have made $4000 profit.
So we couldn't give him say 8000 then another 2000 for the expenditure, that's a double payment, overcompensation.



DETERMINING THE EXPECTATION INTEREST: GROSS (TOTAL) VS NET EXPECTATION

Under the contract A is required to pay an advance fee of $2000 for widgets from B. He then plans to spend a further $2000 on advertising the widgets in advance of delivery. However, before A pays the advance or spends money on advertising, B repudiates the agreement. If the widget contract had not been breached, A would have made $8000 in revenue from on-sales.

In this case, the breach saves A money (didn't have to do expenditure) whilst depriving potential profit.
In this case he gets his expected profit: **the net expectation.**



NET EXPECTATION
= total expected revenue – expenditure
OR
= expected profit

(usually when contract has terminated after any expenditure, before complete performance)

GROSS EXPECTATION
= total expected revenue
(usually when contract has terminated before any expenditure, before complete performance) (TER is the expected profit only usually)

TIME OF BREACH IS IMPORTANT TO PAY ATTENTION TO because it can actually save expenditure.

EXPECTATION VS RELIANCE DAMAGES

- Outside of contract law (e.g. in the law of tortious misrepresentation) P will often be able to recover damages where they have suffered a loss in reliance on a representation. (Including a contractual representation.)
- This is known as the 'reliance' measure of damages, and is often contrasted with the expectation measure.
- In contract law, damages are 'capped' at the expectation measure. If you incur foolish or imprudent expenses, or have been induced to make a bad bargain, you are still only entitled to be put in the position you would have been in had the contract been performed.

RELIANCE MEASURE

Suppose you get an email from the Crown Prince of Nigeria, who tells you that he desperately needs $100,000 from you. If you give him that $100,000 he can promise you a 10% return. Relying on his statement, you give him $100,000, and then of course you never hear from him again. The reliance measure is the loss you've suffered, which is $100,000.

Where P is able to recover damages after suffering a loss in reliance on a representation.

Reliance is rewarded for tortious misrepresentations. Expectation is awarded for breach of contract.

EXPECTATION MEASURE

is higher. Reflects expectation of making the money back, but also anything else you'd get on top, like 10% return.

Must have a valid contract to get.

- ***Illustration: Expectation vs Reliance***

  - P buys a car represented to be a 1998 Holden (worth $12,000) for $10,000. They receive a 1996 Holden worth $9000.
  - Their actual loss in reliance on the promise is $1,000. This is the tortious measure (the measure of damages available for a tortious misrepresentation (Week 9)).
  - Their expectation was to have an asset worth an extra $3000. This is the contract measure.
  - If there is an option of suing on the contract, you'd prefer it over action for misrepresentation.

- ***Illustration: The Expectation Cap***

  - P buys a car represented to be a 1998 Holden (worth $12,000) for $14,000. They receive a 1996 Holden worth $11,000.
  - Their actual loss in reliance on the promise is $3,000. This is the tortious measure (i.e. the measure of damages that would be available for a tortious misrepresentation).
  - Their expectation was to have an asset worth an extra $1,000 . This is the contract measure.

- Because P has made a bad bargain, they will prefer the tortious measure if it is available. Contract law does not mend a bad bargain, and their damages under contract will be capped at $1000.
- Puts you in position had promise been true (1000)
- Compares to Torts where you'd be put in the position as if you'd never relied on the contract. (3000)

Can you claim for reliance and expectation damages concurrently??

- YES – if you are claiming for misrepresentation at common law AND breach of contract concurrently – but you cannot recover both damages. You need to elect which you will recover. Choice irreversible

RECOVERING RELIANCE DAMAGES FOR BREACH OF CONTRACT

An issue sometimes arises where parties have difficulty proving value of performance. They have proven loss, but not how much they would have recouped through performance of the contract.

Usually, a P can only recover compensation for losses incurred if they would reasonably have expected to recoup those losses upon performance

Usual rule: ability to recover is capped at your expectation.
BUT
Special cases that arise where, because of the defendant's breach, it is difficult to demonstrate the value of expectation.

In those cases:

- General rule is no right to elect to recover reliance damages instead. The only true measure for breach here is the expectation measure.
- There are cases where courts have allowed parties to recover reasonable expenditure as proxy for expectation, even though they cant prove they would have recovered that through performance. They benefit from presumption of recouping.
    - Cessnock City Council

Courts will compensate P unless D can show that the loss would have arisen in any case.

ILLUSTRATIONS:

- McRae v Commonwealth Disposals Commission
- Commonwealth v Amann Aviation
- Cessnock City Council v 123 259 932 Pty Ltd

You CANNOT receive reliance damages for breach of contract UNLESS D's breach deprived P of means of demonstrating what their expectation interest would have been.

Take the widgets case for example:

- P could have shown expected profit through receipt and sale – BUT D's breach prevented this even happening.
- P is thus allowed to benefit from the presumption that they would have at least recouped certain expenditures

In Aus: courts allow P to benefit from presumption that they would have recouped some expenditure in this scenario.
They ARE NOT given reliance damages – rather, their losses in reliance of the promise are used as proxy, which allows the court to estimate their expectation.

- ***McRae v Commonwealth Disposals Commission (1952)***

Recovering damages for breach of contract
Reliance damages, wasted expenditure
Difficult to calculate due to defendant breach – what value of tanker?
Reliance could be recovered, though difficult to calculate
Prima Facie case of expectation interest

Use of headings of damages as a proxy for expectation where actual expectation is difficult to prove
Causation

- D sold P an oil tanker 'lying on Jourmand reef', but there was no such tanker.
- Expenses included: contact price of £285, wasted expenditure. (NB. Claimed under a variety of heads, some of which were exaggerated.)
- 'Expectation' from salvage could not be estimated.

Held (HCA):
- Damages expended in reliance on the promise could be recovered, although difficult to estimate. Ps had made a prima facie case that they had an expectation interest. The burden was placed on the Ds to show that the expense would have been equally wasted. The Ds breach of contract made it impossible to accurately assess damage on expectation basis, so it was not for them to complain that an alternative basis was relied upon.

The plaintiffs claimed wasted expenditure under 10 heads:
- **Certain equipment purchased for their salvage vessel ×**
- **Reconditioning of their salvage vessel ×**
- **Loss of profit from other contracts ✓**
- **Ship's stores, coal, etc: ✓**
- **Salvage expert's special expenses ✓**
- **Claims by crew in respect of clothing and other property lost when the salvage ship foundered ×**
- **Insurance premiums ×**
- **Office expenses ✓**

Expenditure on reconditioning of salvage vessel and purchase of equipment could not be recovered as it was not a loss caused by the breach. (It would have been incurred in any event.)

- ***Commonwealth v Amann Aviation (1991)***

Recovering damages for breach of contract
Cth wrongfully terminated
Loss was not really in dispute
Hopeful renewal of contract was uncertain and couldn't be determined due to the breach, don't know if it would have happened or not
Deprived of method to show reasonable expenditure because of Defendant's breach
Amann benefited from prima facie presumption that they would have recouped reasonable expenditure – formed part of their expectation interest – Cth had to then show they wouldn't have – they couldn't discharge the burden

- Amann contracted for provision of 'Coastwatch' services. Commonwealth wrongfully terminated, and Amann Aviation sued for damages.
- Commonwealth argued that Amann would have made a loss in the three years of contract, partly because they were hoping to gain a renewal of the contract.

Held (HCA, Toohey, McHugh JJ dissenting)*:*
- Parties cannot 'elect' between reliance and expectation measure. Reliance losses are recoverable only if they form part of the expectation interest. However, Commonwealth had not discharged their burden of showing that the expenditure would not be recouped by Amann, and so Amann were able to recover these losses (in large part).

- ***Cessnock City Council v 123 259 932 Pty Ltd [2024]***

Recovering damages for breach of contract
Lease agreement and commercial
Council repudiated
123 wanted to recover the hangar cost as wasted expenditure
Council needed to prove they would not be able to recoup
Uncertainty as to ability to recoup due to defendants breach
Difficulty calculating damages
Fair wind principle
No longer the case that D has the burden of showing P wouldn't recoup – rather, P can benefit from the facilitative principle

- Cessnock City Council entered into an agreement with the respondent corporation for lease of a part of the Cessnock Airport so that the respondent could construct and aircraft hanger and conduct its business there.
- Due to costs associated with subdivision, the council repudiated the agreement for lease.

Prior to repudiation, the respondence had occupied the land and spent well over $3 million constructing the hanger. The respondent sought to recover the costs of construction under the heading of 'wasted expenditure

Held (per Edelman, Steward, Gleeson and Beech Jones JJ):

- There is no election between reliance and expectation damages for breach of contract. The only true measure of consequential loss suffered by a plaintiff for breach of contract compares the plaintiff's position after breach with the position they would have been in if the contract had been performed.
- The party seeking damages bears the burden of proving its loss.
- ***However*, where the defendant's breach causes uncertainty around the quantum of loss suffered by the plaintiff, a 'fair winds' principle facilitates the plaintiff's proof of loss by permitting the inference that the plaintiff would have recouped reasonable expenditure. This principle can apply even where there is evidence of a prospect of non-recoupment.**
- Here the respondent's expenditure on the hanger was reasonable expenditure 'wasted' in anticipation of or reliance on the Council's performance of the contract.
- Because the Council's breach of their contractual duties resulted in significant uncertainty for the respondent in proving they would have recouped their wasted expenditure (largely relating to the effects of the council's repudiation on demand for their business) proof of their loss was facilitated.

FACILITATIVE PRINCIPLE

Where D's actions have contributed to uncertainty as to whether certain forms of reasonable expenditure can be recouped, P benefits from facilitation of proof.

Fair Winds Principle : never allow someone to benefit from their own wrong

Courts will facilitate P's proof to avoid D benefiting from their own breach of contract.

DAMAGES – CAUSATION AND REMOTENESS

CAUSATION

It is necessary to show that the defendants breach is what caused the loss in question.

Rule of Thumb: "BUT FOR TEST": would P's loss have occurred 'but for' D's breach

- If P would not have suffered X but for the breach, good indication that breach caused it

FOR WASTED EXPENDITURE:

- It's not "did the breach cause the expenditure," but was the expenditure wasted by the breach.

Anglia Television Ltd v Reed

- ***Anglia Television Ltd v Reed***

- The waste of the expenditure was caused by the actor's (Robert Reed's) failure to perform.
- Anglia claimed for wasted expenditure as he never arrived on set
- Some resistance as they would have incurred this expenditure in any event
- **HELD**: waste of expenditure by the breach – if Reed had performed, the expenditure would not have been wasted

But for his repudiation, the expenditure would not have been wasted.

- • *Compare McRae v CDC (1951)*

Expenditure on reconditioning of salvage vessel and purchase of equipment could not be recovered as it was not a loss caused by the breach. (It would have been incurred in any event.)

REMOTENESS

Even where a certain loss has been caused by breach of contract, if it fell outside the ambit of risks ordinarily assumed by the parties to contract, it is too remote to be claimed as loss for breach of contract.

For example: customer gets a taxi, tells them to take them to the airport – but doesn't say they are in a race around the world for $1m. Taxi driver breaches their contractual duties during the journey, and the customer sues for the loss of the $1m prize. The risk sued for is not one the taxi driver could have anticipated or bargain around, customer should have told the driver.

Certain risks need to be brought to party attention at time of contract formation if you wish to claim damages arising from their eventuation.

- *The Rule in Hadley v Baxendale:*
  - A plaintiff can recover for a loss which is either:
    1. A natural consequence of the breach, 'arising naturally, according to the usual course of things' (imputed knowledge); or
    2. Reasonably within the contemplation of the parties, at the formation of the contract, as the probable result of the breach of it (actual knowledge).

D is taken to have contemplated both kinds of damages, but where damages is unusual, D will only be liable if they knew of P's special circumstances at the time of contracting.
The idea is to reserve parties opportunity to bargain over certain allocations of risk. You can't deny a party the opportunity to bargain over allocations of risk by failing to disclose special risks/circumstances.

When finding if the damages at hand could have been reasonably contemplated, ASK:
1. **Are they the kind of damages that flow naturally from the breach?**
2. **Or were there special circumstances, like D knew of risks, which makes the damages reasonable and natural?**

THE CASE:

- *Hadley v Baxendale (1854)*

REMOTENESS RULE
Damages too remote – D was not aware that P stopped operation of the mill
Loss of business was not in D's reasonable contemplation.

- The plaintiff owned a flour mill, and sent a broken mill shaft to the defendant.
- The defendant agreed to take the shaft to the manufacturers, who would then make another one based on the pattern of the broken shaft.
- The plaintiff told the defendant's employee that the shaft must be sent immediately to the manufacturer. But as a result of the defendant's neglect, delivery to the manufacturer was delayed for several days.
- Meanwhile, the plaintiff's mill did not operate, and the plaintiff lost profits it would otherwise have earned.
- The plaintiff claimed £300 damages. At trial a jury awarded £50 and the defendant appealed.

Held:

- As the defendant did not know of the stoppage of the plaintiff's mill, the loss of business was not within his reasonable contemplation and he was not liable to pay. The only circumstances communicated by the plaintiff to the defendant at the time of contracting were that the article to be carried was the broken shaft of a mill, and that the plaintiffs were the millers of that mill; these circumstances do not reasonably show that the profits of the mill must be stopped by an unreasonable delay in the delivery of the broken shaft by a third party.
- Had the circumstances been known, the parties might have specially provided for the breach of contract by special terms as to damages in that event; the law cannot have a rule that deprives the parties of this advantage.
- But it was obvious that, in the great multitude of cases of millers sending off broken shafts to third persons by a carrier under ordinary circumstances, such consequences would not, in all probability, have occurred, and these special circumstances were never here communicated by the plaintiff to the defendant.
- Therefore, the loss of profits here could not reasonably be considered such a consequence of the breach of contract as could have been fairly and reasonably contemplated by both parties when they made the contract;
  - For such loss would not have flowed naturally from the breach in the great multitude of such cases occurring under ordinary circumstances (i.e., the first branch of the rule).
  - Nor were the special circumstances, which, perhaps, would have made it a reasonable and natural consequence of such a breach of contract, communicated to or known by the defendant (i.e., the second branch of the rule).
- Therefore, the jury should have been directed not to take the loss of profits into consideration at all in estimating the damages and a new trial was ordered.

- ***Imputed Knowledge – Victoria Laundry***

Victoria Laundry (Windsor) Ltd v Newman Industries [1949]

IMPUTED KNOWLEDGE LIMB
Where the damages could have been contemplated as a natural flow from breach
The loss of profits should have been contemplated by knowledge of urgency. Loss of contracts however was not known by D, so could not be seen as natural course from breach

- P operated laundry and dyeing company. Purchased a boiler from the defendants. Ds knew boiler was needed immediately.
- D delayed for five months, and P was unable to expand the business in the way anticipated.
- Losses included loss of profits for lucrative dyeing contracts.

Held (Court of Appeal):
- It is enough that a loss be 'a serious possibility' or a 'real danger'. Ds should have contemplated that some general loss of profits would be the result of the delay. The loss of the 'lucrative' or 'special' contracts, however, could not be said to have arisen as part of the ordinary course of things.

- ***Actual Knowledge – Cornwell Gravel***

Cornwell Gravel v Purolator Courier Ltd [1980]

ACTUAL KNOWLEDGE LIMB
Where the damages could have been contemplated by the knowledge of risk D had been given
Tender process where D knew the tender was important, when to deliver, etc, had special knowledge

- P was bidding in a tender process run by Ontario Government.
- D courier company undertook to deliver its bid, but were late in delivery.
- Had the bid been delivered on time, Ps would have succeeded in obtaining the contract.

Held (Supreme Court, Canada):

- Damages were available. D knew that the item to be transported was a tender. Special circumstances had been actually communicated to the D, such that the damage 'would ordinarily follow from a breach of contract under those special circumstances, so known and communicated.'

Tut Example:

1. P purchases D's house on the strength of D's contractual warranty that "the house is on main sewerage". P pays $700,000 for the house. Its market value is actually $750,000. The cost to P of connecting the house to the sewerage system is $10,000. How much, if anything, can P recover from D for the false statement?

Precontractual Position	Current Position	Position if Contract Fully Performed
$700,000	House (market value $750,000)	House (market value $750,000) + main sewerage

Tortious damages (reflecting reliance loss) are nominal.

Contract damages = $10,000 as cost of cure

To assess damages in contract law, you only need to know 2 things:

1. Position P would have been in had the contract been performed (in financial terms)
2. Current position

In this problem:
Had contract been performed: House with market value of 750,000 AND main sewerage
Current position: has house with market value of 750,000

Cost of cure: 10k to connect to sewerage

Damages: the cost of cure = 10,000

Tortious measure would say you've actually gained 50k in equity – not a loss that you've suffered – damages would me nominal in that case

2. David is a producer of raw peanuts from Kingaroy. Paul contracts with David to buy 100kg of peanuts at a rate of $10 per kilogram. Paul makes an upfront payment of $1000 to David. Paul plans to roast, salt and repackage the peanuts, and sell them on at wholesale. The process of roasting, salting and repacking costs Paul $1.00 a kilogram (or 50c per bag). The market wholesale price of peanuts is $7.50 per 500g bag. Shortly before delivery was due, David contacted Paul and cancelled the agreement. Paul had also signed a contract with a third-party, the Brisbane River School of Law (BRSL), to provide them with 100 special promotional bags of peanuts, labelled with the BRSL insignia, at a rate of $9.00 per 500g bag. Due to David's last minute cancellation, Paul is forced to cancel his contract with the BRSL, who are fortunately able to find an alternative supplier for no additional cost.

   Paul wishes to recover the purchase price and lost revenue. How much, if anything, can Paul recover from David?

In order to determine the damages award, you need to quantify the losses under the accounting categories, purchase price, lost revenue, and assess whether they can be awarded together. Then look at causation, remoteness, and mitigation.

Purchase Price ('Restitution')
Test for restitution: is there a total failure of consideration? YES.

Prima Facie- Paul's upfront payment of $1000 to David. David is liable for restitution for total failure of consideration (*McDonald v Dennys*, *Foran v Wight*, *Fibrosa*).

Lost Revenue
Revenue on the standard contracts = 100 bags at $7.50 or $750 in revenue
Revenue on the BRSL contract = 100 bags at $9 or $900 in revenue

Paul can only recover the net expectation or profit. (Allowing restitution and total revenue to be recovered would be double compensation; *Baltic Shipping v Dillon*).

So, cant recover 1000 + 750 + 900
This would be double the purchase price
He's also saved the 100 it would have costed to roast ect

Should instead give him his expected profit (net expectation)
Would have spent $5 per bag, + 50c per bag to process
Sells at 7.50 each: 7.50-5.50=2.00 profit per bag
Sells at 9.00 each: 9.00 – 5.50 = 3.50 each

Profit on the wholesale contract = 100 bags at $2 profit per bag, or $200 total
Profit on BRSL contract = 100 bags at $3.50, or $350 total

This would mean a total award in damages (or damages and restitution) of $1550.
Now check for remoteness.

Remoteness
The losses relating to the special or lucrative contract with BRSL fall outside what would have been within the contemplation of the parties, as arising "naturally, according to the ordinary course of things" (compare *Victoria Laundries v Newman*). Moreover, D did not have any actual knowledge, at the time of contract formation, of the possibility that D's breach would result in the loss of these lucrative contracts (*Victoria Laundries*, *Hadley v Baxendale*).

Damages awarded would be reduced to reflect an ordinary profit of $200 for the 100 bags, as the exceptional profits generated under the BRSL agreement would be too remote.

Means 350 reduced to 200

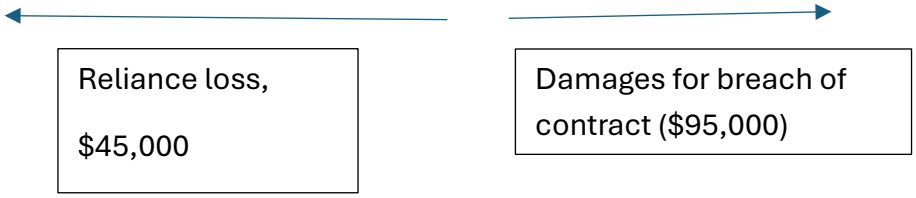
1550 – 150 = 1400

So Paul would be able to receive $1400 in damages.

MITIGATION
- Paul should search to find someone else to sell to

3. In a written agreement between P and D, D agrees to transfer a Ming vase (valued at $100,000) to the P for a purchase price of $50,000. When P receives the vase, he realises it is an elaborate forgery, with a market value of only $5,000.

Precontractual Position	Current Position	Position if Contract Performed/Promise True
$50,000	Counterfeit vase (valued at $5000)	Ming vase ($100,000)



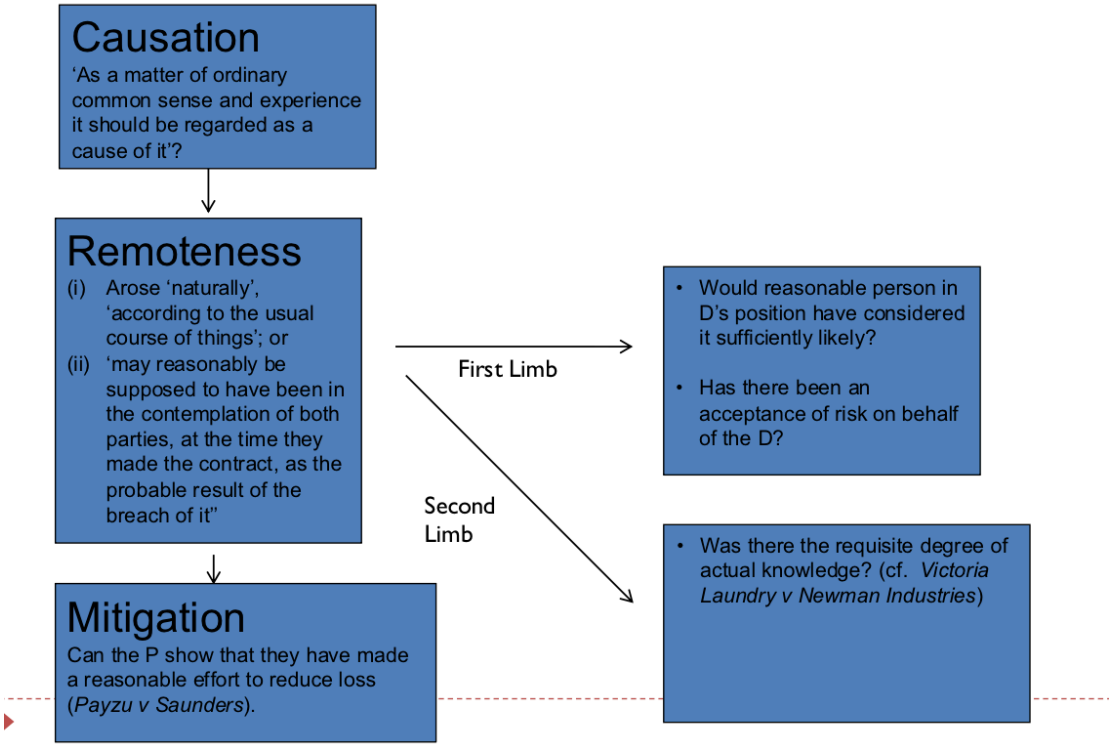
CONTRACT DAMAGES VS TORTIOUS DAMAGES

DAMAGES IN CONTRACT VS TORT

- Nature of damages different
- Hit in face = assault, which is wrong- free standing right that you not hit me – can wave for e.g. a boxing match
- Rights in tort law are freestanding and untouched by contractual undertakings
- Tort is a medieval word for wrong – if you were to assault somebody, can sue to recover damages in losses incurred as a result of assault – medical bills, non-pecuniary losses – recovery justified as 'but for my wrong' you would not have occurred the losses – put in position had wrong never occurred
- Contract goes 1 step further: had wrong never occurred, contract would have been performed – so value of damages, monetarily aims to put in position as if contract had been performed

- Another tort: misrepresentation
- Misleading conduct that induces you to suffer a loss – can sue for fraudulent misrepresentation under tort of deceit if D knew statement was false
- Free standing obligation to not be deceived

CAUSATION AND REMOTENESS



DIFFICULTIES IN MEASUREMENT OR ASSESSMENT OF DAMAGES

General rule: difficulties in measurement or estimation of damages are no bar to recovery

Even where loss is hard to estimate, or where there are different methods of measuring the loss, the court has the duty to estimate.

This could be approximating the value of interest at stake.

P bears onus of proving the loss.
UNLESS D's breach is what deprived P of method of proving loss – then it is prima facie – D must prove the loss could not be recouped. Facilitation of P proof.

> *'If a plaintiff has been deprived of something which has a monetary value, a jury [or court] is not relieved from the duty of assessing the loss merely because the calculation is a difficult one or because the circumstances do not admit of the damages being assessed with certainty.'*
>
> *Street CJ, Howe v Teefy (1927)*

MEASUREMENT OF DAMAGES

COST OF CURE VS DIFFERENCE IN VALUE

Have looked at in Jacob and Young & Kent. Substantial performance case, with aspects of judgement relating to calculation of damages, what would have been offsetting damages. With SP doctrine, there is a bias courts have of awarding payment of a sum, then deducting a certain amount to offset the losses. In JY & K, argument was made that offsetting damages should be assessed in terms of cost of a cure. Being, cost of partially demolishing the building and reinstalling it with the type of pipe that had been promised. Court rejected that as the true measure of damages in that case.

Choice between cost of cure and difference in value is a difficult choice that can face courts.

General rule: the award given is the cost of cure or cost of repair because that is the actual award that needs to be given in monetary terms to put P in the position they would have been had contract been performed.
BUT in deciding cost of cure or cost of repair, or difference in value instead, courts look at a range of DISCRETIONARY FACTORS.

For example, if the measure of cost of cure is DISPROPORTIONATE (like in Jacob and Young, unreasonable to award damages that reflect demolishing the building and reinstalling the pipe)

Courts are guided by a variety of discretionary pragmatic factors.

- Loss of amenity? (enjoyment of the pool in Ruxley – the pool was still enjoyable)
- Intention to cure?
- Contractual objection substantially achieved?

- Ruxley Electronics v Forsyth
- Tabcorp Holdings Ltd v Bowen Investments Pty Ltd

Courts are determined to afford a fair outcome in these cases. Whether the difference in value or the cost of cure will represent the fair sum to be awarded will depend on a host of factors, including:

- The extent to which the cost of cure is reasonable
- The extent to which it's out of proportion to any benefit obtained by P
- And extent to which D's breach was in good faith or deliberate in bad faith

- ***Ruxley Electronics v Forsyth [1995]***

Difference in value given
Cost of cure vs difference in value
Discretionary factors
Demolition and rebuilding
Not given cost of cure because it was disproportionate to value added
Implied promise of amenity so awarded 2500 in damages for loss of that

- Pool not built to the required depth, although it was safe for diving.
- The only way to repair the pool was through demolition and rebuilding.
- No substantial loss of amenity. P had no intention to construct a new pool.
- 'The contractual objective had been substantially achieved.

Held (HoL): Reinstatement costs unavailable. Although the reinstatement costs provide the 'normal' (or default) measure, exceptions are recognised where reinstatement would be usreasonable. Here the costs of rebuilding was out of all proportion to the value added. It would make no difference if the plaintiff gave an undertaking to use the damages to rebuild the pool. (Though Forsyth was awarded £2500 damages for loss of amenity (compare Baltic Shipping v Dillon and Jarvis v Swan Tours, below.)

- ***Tabcorp Holdings Ltd v Bowen Investments Pty Ltd (2009)***

Cost of cure given
Cost of cure vs difference in value
Discretionary factors
Lease agreement
Altered foyer outside of contract which was breach
Tabcorp argued they were only liable for difference in value, and that they had in fact improved the foyer
Rejected for deliberate breach and bad faith

- Tabcorp were tenants responsible for altering the foyer of an office building owned by Bowen.
- Cl 2.13 of the lease forbid alterations. Trial J awarded damages for difference in value.
- Tabcorp had proceded with 'contumelious disregard' for Bowen's rights under the lease.

Held (HCA): Damages were available for costs of reinstatement of original foyer. Damages for difference in value would be contrary to a 'fundamental postulate' of cl 2.13. The facts in Ruxley were plainly distinguishable. There is no liberty in contract law to breach a contract provided damages adequate to compensate an innocent party are paid.

COMPLICATIONS IN ASSESSMENT – LOSS OF CHANCE, TIME OF ASSESSMENT, NON-PECUNIARY DAMAGES

COMPLICATIONS IN ASSESSMENT

LOSS OF CHANCE

General rule: if the breach has caused a loss of chance, and the loss is not too remote, then the loss of chance can be taken into account in assessing the damages.

Often loss of chance fails at the remoteness stage. If far-fetched or clearly not in contemplation of the parties or able to ordinarily arise.

- The chance must be shown to exist on the balance of probabilities

A default value of award is what may be called the expected value or probability weighted value.
  - E.g. a 9.34% chance of a capital gain of $10,000 was valued at $934 in ***Markholm Constructions.***

Awards of damages also make discounts for the chance of loss ('vicissitudes')
  - E.g. the 20% chance the Cth could have terminated the contract at a later date in Amann Aviation.
  - Plucked out of thin air, court has relatively wide discretion

- ***See Chaplin v Hicks***

- Loss of chance
- Damages available
- Jury had to estimate – no bar to recovery
- Assessed by jury at 100 pounds
- Found by the likelihood of Chaplin actually getting an acting position had she been able to attend
- No precise formula

BREACH DATE RULE

General rule: Damages are assessed at date of breach.
BUT complications can arise where subsequent events make it clear that the damages that can be or ought to be claimed are different from what the parties would have thought the damages were at the time that the breach occurred.

e.g. In cases of repudiation, where a party claims damages arising from anticipatory breaches, it may be appropriate to take into account **the fact that certain breaches would not in fact have eventuated.**

e.g. you have a contract with driver to take you to airport. Driver repudiates on Thursday and was meant to take you on Friday. You have no other way of getting to the airport. On Thursday your damages would be assessed at the cost of finding another way of getting to the airport.
Suppose there us a nation wide closure of airlines on Friday. So you wouldn't have gone to the airport on Friday in any event, regardless of the repudiation. At time of breach (Thurs) your loss would have been estimated one way, but because of the closure, we know you couldn't/wouldn't have gone to the airport, so loss would have been incurred in any event.
So the breach date rule: do you take into account the taxi driver repudiation, or also consider the Friday closure?

Damages can be calculated to reflect the actual loss that would have been incurred at the time performance actually became due.

- ***E.g. 'The Golden Victory' [2007].***

Complications in assessment
Time of assessment, breach date rule
Assessing damages for repudiation, can usually claim loss of benefit under contract for its remaining duration
However the war clause in this case would have ended the benefit early – 2003 – damages capped to this date
On date of repudiation, there was no awareness that war would break out – so was it permissible fot the arbitrator to look at facts that arose after the date of breach in order to make damages award more accurate (less favourable for P). YES.

NON-PECUNIARY DAMAGES

Damages for lost enjoyment, injured feeling, or distress.

General Rule: damages for mental distress are not available even where not too remote, UNLESS:
(i) The contract had as an object the provision of enjoyment or prevention of distress
(ii) Damages arising from physical injury caused by breach (so flowing from physical manifestation)

- e.g. payment for **holidays ruined or cut short by breach of contract**.

No rule that says you have to elect between restitution of amount you paid or damages for loss of enjoyment, but one needs to ensure no double recovery.

e.g. you book a fare on a cruise. $5000 all inclusive. It is on a deal for $3000. You bring an action for damages of loss of enjoyment. You could recovery the $5000 for value of the package, which includes the compensation for the fare, because the fare was always going to be expenditure, OR you recover the fare in restitution, plus the surplus of the holiday. So paying $3000 for the $5000 holiday, you'd get the $2000 in damages as surplus. What you cant do is get both restitution of the fare for $3000 AND the $5000 value of the holiday, that would be overcompensation. You'd be in a better financial position than you would have been if the contract were performed.

Money value is hard to calculate. Some will consider salary forgone for the holiday, or monetary value promised by the package. Things like that.

- ***Jarvis v Swans Tours Ltd [1973]***

  Non-pecuniary damages, found to be available
  Holiday
  Loss of enjoyment and lack of facilities
  Double recovery issue?
  Didn't get party, bar, ski hire, yodeller and food were poor quality

- *Held* (CoA E&W): Damages were available for Jarvis's loss of enjoyment. His losses were not limited to the cost of the holiday, but included damages from the lack of facilities and loss of enjoyment promised.

- ***Baltic Shipping Co v Dillon (1993)***

Non-pecuniary damages, available for loss of enjoyment
Holiday
Loss of enjoyment and lack of facilities
Restitution of carriage fee and $5000 for damages
Award considered too generous
Although you can recover restitution and a further amount for loss of enjoyment, you need to be careful not to include the restitutionary amount in the loss of enjoyment.
Damages alone were sufficient because it included 2x the fair cost.
Need to be careful of no double recovery.

No rule that says you have to elect between restitution of amount you paid or damages for loss of enjoyment, but one needs to ensure no double recovery.

- Damages were available for distress and disappointment, since the contract was for the purpose of providing enjoyment, relaxation or "freedom from molestation".
- **Complete restitution and full damages are not both available, although the amount awarded in damages may be greater than the cost of the fair.**

MITIGATION

Sometimes discussed alongside causation and remoteness.

General Idea: D is not liable for losses that arise due to unreasonable conduct of P.

- A plaintiff must take all **reasonable** steps to avoid or mitigate his or her loss. Damages will be reduced to reflect the extent to which losses could have been avoided by such reasonable steps.
- There is no requirement to take on undue or unreasonable risks or to expend money that is not available.

e.g. the airport scenario, you don't bother to find another driver. You can't then claim the drivers repudiation caused you to miss your flight.

- Mitigation may require the party to accept a further contract (even from the D).

- ***Payzu v Saunders* [1919]**
  If because of D's breach your enterprise is suffering a loss, you don't have general liberty to continue operating at a loss. At some point you should cease to incur the expenses.

  The silk case

  ***Held (CA E&W)*: The appeal was dismissed. What amounts to reasonable steps on the Ps behalf is a question of fact, to be decided on a case-by-case basis. It will sometimes be reasonable for P to accept an offer from D.**

  Reasonableness may require you to accept an offer from D.

e.g. taxi scenario: the driver calls you to offer another trip, sorry for repudiating. You should accept if you aren't going to find another driver, as this mitigates loss. If he charges more, you can try to act for difference in the cost.

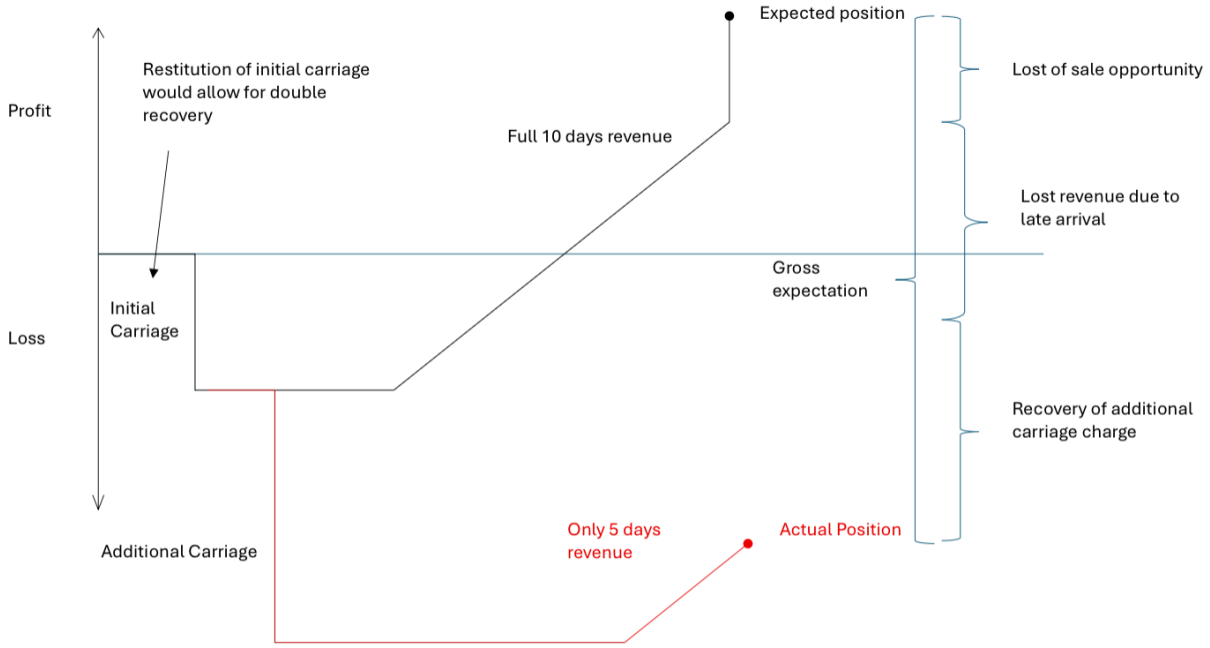
- The D will generally not be liable for the P's impecuniousity.
- *Burns v MAN Automative Australia (Aust) Pty Ltd (1986)*

D, the owner of a prime-mover and semi-trailer, carries on business as a transport hauler. He contracts with P, the owner of a giant Ferris wheel, to carry the dissembled machine from Dubbo to Brisbane for the annual Brisbane Exhibition to be staged over 10 days commencing 11 August. Owing to D's negligence in failing to attend to the maintenance of his vehicle, the engine of the prime-mover broke down on the New England Highway. P contracted with another carrier to collect his machine from D and to continue its transportation to the Exhibition at twice the amount of D's agreed carriage charges, but, owing to delays caused by the earlier break-down, the machine arrived five days late. As a result, P not only lost substantial profits but also incurred a substantial loss from operating the machine at the Exhibition. He also lost out on securing a profitable sale of this machine to an interested buyer with whom he had arranged a meeting to inspect the machine on 10 August at the Exhibition grounds.

P seeks your advice regarding recovery of his losses against D, namely: his prepaid carriage charges to D, the additional carriage charges he has incurred with the replacement carrier, his losses as a result of operating the machine at the Exhibition after being five days' late, and his loss of the sale of the machine to the interested buyer who instead bought a similar machine from another seller at the Exhibition. P instructs you that, prior to making his contract with D, he had impressed on D how important it was to him (P) that the machine be delivered to the Brisbane Exhibition grounds by 8 August to enable him to assemble the machine. He had gained D's agreement that the machine would be delivered on time.

Advise P as to the remedies available for breach of contract.

(THIS IS TOO COMPLEX FOR IN CLASS QUIZ, BUT FINAL EXAM)



1. Was there loss caused by D's breach?
   +
2. Identify the heads of loss

Yes loss.

Heads of damage:

His prepaid carriage charges to D

Double recovery with lost revenue

The additional carriage charges he has incurred with the replacement carrier

Not lost revenue, just losses as carriage fee
Was the loss caused by D's breach? Yes. But for their negligence, you wouldn't have had to hire someone else.
Is it too remote? In contemplation of parties at time of contract formation? Not too remote. D had been told they needed to be on time. And is a loss that would arise naturally, you can impute that if your carrier breaks down, you will need to get another.

MITIGATION?
D is not liable for losses that arise from P's failure to take reasonable steps to reduce their loss.
What was reasonable for P here?
Was it reasonable to pay twice as much?
In the circumstances, paying double was reasonable (Payzu v Saunders)
Because needed to get to the exhibition to make any profit at all

Yes can recover losses for the additional carriage fee.

His losses as a result of operating the machine at the Exhibition after being five days' late (loss of profit and operating loss)

Loss of revenue for operating
Causation? But for the breach they would have arrived on time so yes
Remoteness? D's actual knowledge of them needing to arrive on time. So was within contemplation, not too remote. Also arisen naturally in ordinary course of things. Hadley v Baxendale
No mitigation issues – could not just not operate at all

His loss of the sale of the machine to the interested buyer who instead bought a similar machine from another seller at the Exhibition

Causation? But for the breach they would have had the option to sell, no issues there.
Remoteness? Too remote. Not loss D would actually know. No actual knowledge of possibility of loss. Not arisen in natural course of things/imputed. Not ordinary that sales take place. (Victoria Laundries)

Alternative if it wasn't too remote, difficulties in measuring?
Loss of chance, loss of commercial opportunity
If loss of chance isn't too remote, it is recoverable – difficulty of estimation is no bar to recovery – Chaplan v Hicks, Howe v Teefy
Need to assess the probability that the sale would have occurred

> So you could get market experts to talk about it,
> you could take evidence about how many machines were for sale, about the different asking prices for the machines. You might get the buyer to give evidence that they would have definitely bought, and then it will be for the court to assess their credibility and assign a pro probability. For sale, as well as to assign a profit. To the sale, so a court might say we think that there's a 50% chance that you would have sold this at a $2000 profit. Therefore, we're going to give you $1000 so that's the probability weighted value of the chance. That's a question of fact.

MITIGATION
P still could have sold their thing to someone else

DOUBLE RECOVERY if you get both the initial carriage charge and the additional carriage charge. One of these charges was always going to be incurred.

In the best case where contract was performed: would have had additional charge say 10k, and the full revenue 30k, profit of 20k + arguing another profit of sale lets say another 10k, so 30k
In this case, you could give them the carriage charge and profit as expectation, but not their revenue, because that was always going to compensate them for the original carriage charge.

In bad case: have spent additional 20k on additional carriage, only operated for 5 days, make 10k revenue instead of 30k – have ended up in a position where they've made an operating loss of -20k

HOW TO BRIDGE THE GAP?
Can give lost revenue of 20k profit they expected to make, and 10k sale, but not the additional carriage charge, as it always would have been incurred.
Also no restitution available as no total failure of consideration.

CONCLUSION
Recover additional carriage charge, lost revenue
Lost profit of the sale cant be recovered
Original Carriage charge cant be recovered due to double recovery

EXAMPLE:

Contracted musician to perform at nightclub. Paid them a 10k advance fee. And a 5k security detail. They're a no show, they don't even repudiate. You sold 30k worth of tickets you need to refund.

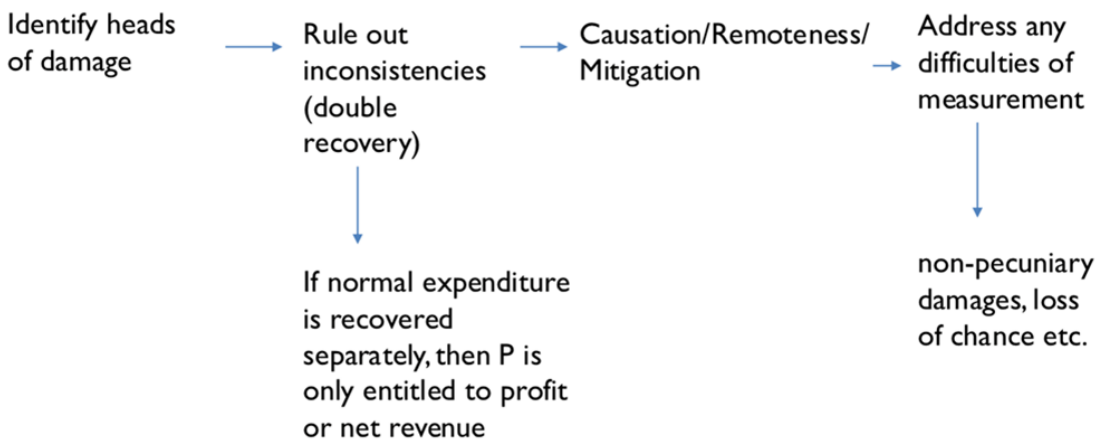
Expenditure would have been recouped from the ticket sales but was wasted due to breach (15k)
So expected a 15k profit
So you could give the net expectation/profit of 15k, wasted expenditure of 5k, restitution of 10k

RESTITUTION
10k

Wasted Expenditure
5k

Net expectation
15k

Total 30k damages



Topic 8 – Vitiating Factors (general) – Mechanics and Effects of Recission & Doctrine of Mistake

The law of mistake will not be examined directly in this course, but it is important for understanding the other doctrines

VITIATING FACTORS

To vitiate means to SPOIL OR RENDER DEFECTIVE.
We are looking at doctrines that concern when a contract is spoiled or defective. Generally such doctrines allow innocent party to rescind the contract. Put them in position prior to contract.

A contract is vitiated when:

DURESS, MISTAKE, MISREPRESENTATION, UNDUE INFLUENCE + UNCONSCIONABILITY, ILLEGALITY + PUBLIC POLICY

DMMUUIPP

1. One party puts illegitimate pressure on the other to sign (Duress); or
   - Duress where a party applies pressure e.g. a threat

2. One or both parties are mistaken as to the terms of the contract (Mistake)

3. One party misleads the other party (Misrepresentation, M or D conduct)
   - General law of false statements, and ACL

4. One party is using the contract to exploit the other in some way (undue influence and unconscionability)
   - Misuse of influence over a person

5. The contract is illegal or illegitimate (Illegality and Public Policy)

EFFECTS OF VITIATION:

Contracts can be spoiled in one of several ways.

Contracts may be **void, voidable, or unenforceable**

VOID CONTRACTS

- are not contracts at all
- e.g. mistake (rare), illegality
- the parties had acted as if there were a valid contract between them, but it was actually void ab initio – from the beginning.

VOIDABLE CONTRACTS

- are operative unless rescinded (e.g. by the wronged party)
- When a contract is voidable, there is no pretense that there has been no contractual relationship between the parties. Everyone understands there was a contractual relationship between the parties. That's how it differs from void.
- Innocent is able to void the contract at their election – voidable
- If a contract is voidable, it is RESCINDABLE

UNENFORCEABLE CONTRACTS

- are operative but incapable of being enforced by one or both parties
- **E.g. contrary to public policy or illegal**

- A reason you might make a contract unenforceable is that you might wish one party to be able to enforce the contract, but not the other.

- E.g. if you have an illegal gambling contract in a jurisdiction where gambling is prohibited. You might decide to allow the client to enforce the contract against B, so that if the client wins a bet, B has to payout. That is because B is engaged in illegal activity, and you're not going to allow B to enforce against the client.
- So if the client owes B a debt, that would just have to be wiped, it was void, contract unenforceable.

  - Another example is a contract for sex work. You'd think it shouldn't be enforceable if contrary to public policy. But if someone has already performed it, you might think that they should be able to enforce it against someone who is refusing to pay.

THREE STATES OF AFFAIRS

The distinction between termination, recission, or voidable contracts and contracts void ab inito.

'There is no valid contract' **'there was never any relationship, there is nothing to end'**	➔ **void ab inito** The harshest way to break up with someone is to say there was never any relationship. There is nothing to end. The traditional annulment of marriage. Declared never to have been a valid marriage.
'Let's pretend there was no valid contract' **Put me in the position so far as possible that I would have been in before I entered the contract.**	➔ **rescission of voidable contract, which involves restituto in integrum (restoration to precontractual position)** The second most harsh way to break up is to say let's pretend this never happened, I regret this whole thing, I wish it never happened.
'This contract isn't happening anymore' **Contrast recission with termination; when you terminate a relationship you are saying I had fun, I don't regret any of it, but something has happened and from this point onwards no more relationship.**	➔ **discharge following an event (termination of contract or frustration)** The difference between termination and recission is about the validity of the transactions that took place under the contract prior to the point of recission or termination. As we know from McDonald and Dennys Lascelle etc, rights accrued prior to termination are not affected by termination. Lawn mowing example: A agrees to mow B's lawn 2x, B agrees to pay after 1x. A was paid, and didn't want to mow the 2nd time, so B not pay for 2nd time. Terminate, not rescind. But the 1st time is unaffected by this.

THE IMPORTANCE OF THE DISTINCTION

Usually these cases involve a change of title in a good (property, land, etc).
Problem arises where contract is void ab initio.

- **one cannot give what one does not have (nemo dat quod non habet)**
- **if void, then title does not pass (since there was no sale), chain of title is severed at initial link**
- **third party sale can't have title either.**

➔ Typically you have to choose between the rights of two people.

1. The initial owner of e.g. a laptop – has nothing
2. The third party purchaser without notice e.g. person the rogue sold the laptop to – has lost good money

➔ Who gets to keep the laptop?

➔ Typically third party will argue that the initial contract between owner and rogue was void ab initio – title never pass to third party

Typically the courts will say the actions of the rogue make the contract voidable, the problem being that although you might want to rescind the contract you made with the rogue, the property has gone to the third party.

- **Third party rights bar rescission, so you cant rescind the contract.**
- **if voidable then title passes if contract is not rescinded prior to sale**

More and more, the problem is resolved by deferring to the rights of the third-party purchaser, so there's less and less recognition of the rights of the initial owner, and it is becoming less and less frequent for court to determine that a contract was in fact void ab initio, but I like to teach the distinction.

Title fails to pass if the contract is void *ab initio*

ILLEGALITY AND PUBLIC POLICY

Contracts may be **illegal or contrary to public policy** either:

- according to **statute**; or
- contrary to **common law** (to commit crimes, sexual immorality, corruption, against national interest, etc)

A contract that is illegal or contrary to public policy reasons may be '**void ab inito', voidable, and/or 'unenforceable'.**

Matter of construction

- discussed pp225-242 in supp notes but not assessed in this course

RECISSION

- a body of law that initially developed in the court of chancery, and before that in the Lord Chancellors jurisdiction to grant certain kinds of discretionary relief where the law produced an unjust result

➔ so they'd say, At common law, I formed a contract. But I'm petitioning the court for discretionary relief from that contract as upholding the contract would produce an unjust result.

➔ You then had what were called the Courts of Chancery, which were a separate jurisdiction, so the they had jurisdiction only to administer equitable relief.

➔ So you had equity, a body functioning differently than common law, and administered by a different court

- administration of equity and common law merged following the English Judicature Act 1873

- Some equitable doctrines: part performance, promissory estoppel, proprietary estoppel, election, penalties
  - ➔ Typically concerned with discretionary relief from common law rules, where those rules would produce an unjust result.
- Some equitable remedies: specific performance, mandatory injunction, prohibitory injunction
- Some similar doctrines and remedies developed concurrently in common law and equity (e.g. the various estoppels, and, IMPORTANTLY, recission)

Where legal and equitable rules conflict, the equitable rule prevails

OKAY WHAT IS RECISSION

- party asks to be put back into the position they were in prior to entering the contract
- Cf. 'Expectation' measure of damages

- rather than remedying a contractual wrong, the contract is the wrong (or, more accurately, the result of a wrong)

- In equity, recission requires substantial *restitutio in integrum* rather than strict restoration of the precontractual position

➔ So in the simplest case precision functions like a refund, if you and I make a contract for sale of a laptop on the strength of a misrepresentation that I am Robert Mullins, and you wish to rescind it, the remedy, if you seek rescission before property passes to anyone else, the remedy would be that I make restitution of the laptop to you - and that you make counter restitution of the purchase money that I gave you. So it's just a simple exchange.

➔ **rescission typically takes the form of restitution and counter restitution.**

What happens though in circumstances where strict rescission or strict restitution an integram as we say, is impossible? What if we can't make strict restitution and counter restitution, what if we can't put ourselves back in exactly the position we were in prior to entering into the contract?

- Can still do it substantively
- E.g. return laptop and pay for reinstallation of missing software

The general rule in equity: all that is needed is substantial restitution an integrum – to restore the party substantially to the position they were in prior to the contract

Common law would only rescind where it can be done strictly – but remember equity prevails.

- **Rules re: recission apply to all vitiating factors giving such a right to rescind**
- **Recall that the doctrine of election applies to the election to affirm or rescind a contract, just as it applies to the election to affirm or terminate**

➔ If the contract is voidable you can choose to affirm or void/rescind
➔ If void ab initio, no choice

- ***Coastal Estates v Melevende (1962) from week 4***
  - Case concerned with recission for misrepresentation, not termination

BARS TO RECISSION

- **Affirmation**
- **Unreasonable delay**
- **Intervention of 3rd party rights**

➔ Recission not possible where title has passed to a third party

- **Completed contracts for the sale of land where rescission is claimed for innocent misrepresentation (this is the so-called "rule in Seddon's case)**
- **Impossibility of substantial restitutio in integrum (restoration to original position)**
- Strict would be restitution and counter restitution. Substantial is if strict isn't possible.
- Impossibility of restoring to the pre-contractual position

- Equity only requires substantive justice between the parties—but appropriate orders are not always available
- May involve imposing conditions on both parties;
  - ***– Alati v Kruger (1955)***
- Court may chose to rescind only that part of the contract that is inconsistent with misrepresentation (e.g. if a 'limited' guarantee is actually unlimited, the court may rescind only the unlimited aspect of the guarantee.)\

- *– Vadasz v Pioneer Concrete (1995)*

- *Alati v Kruger (1955)*

Fraudulent misrepresentation. K Entitlement to affirmation, rescission, or termination. Opted to rescind. Alati resisted as strict restitutio not possible, condition of fruit shop had changed, no longer stock, deteriorated, vacated. Rescission in equity was allowed as recission only requires substantial, not strict, restitutio in integrum. Parties could be put back substantially by making adjustments e.g. rescission of purchase price with exception for cost of restoring the business. Stock and trade. Etc.

- *Vadasz v Pioneer Concrete (1995)*

The trial judge found that Pioneer misrepresented the scope of the guarantee to Vadasz, inducing him to sign it. The judge held that the guarantee was unenforceable for past debts but enforceable for future debts, awarding Pioneer $170,929.32 for concrete supplied after the guarantee was signed.

1. **Equitable Principles**: The relief was equitable, ensuring practical justice by enforcing the guarantee for future debts while avoiding liability for past debts induced by misrepresentation.

2. **No Complete Rescission**: Full rescission was inappropriate as Vadasz accepted the benefits of the guarantee (continuation of supplies) under the understanding it covered future debts.

3. **Equity and Restitution**: Courts must balance interests, ensuring neither party unjustly benefits. Vadasz's obligations for future debts aligned with the consideration he received from Pioneer.

The guarantee was rescinded for past debts but upheld for future debts. The High Court emphasized that equitable remedies must consider the fairness of outcomes for all parties involved. The appeal was dismissed, and Vadasz was ordered to pay costs.

MISTAKE

(not assessed?)

Common mistake, mutual mistake, unilateral mistake

- Mistake renders a contract void ab initio at common law just in case:
  - The mistake was so fundamental that it nullifies the contract.

- Mistake renders a contract voidable in equity just in case:
  - There are equitable grounds for granting relief to a party because it would be unconscionable to allow the other party to enforce the contract.

- The fundamental rule is that a mistake has no impact on the contractual relationship.

- It is usually immaterial that one or both of the parties would not have entered into the contract but for a mistake on their behalf.

'If, whatever a man's real intention may be, he so conducts himself that a reasonable man would believe that he was assenting to the terms proposed by the other party, and that other party upon that belief enters into the contract with him, the man this conducting himself would be equally bound as if he had intended to agree to the other party's terms.' Blackburn J in Smith v Hughes (1871)

- *Smith v Hughes*

Mistake. Unilateral mistake to terms? No rescission.

- Sale of oats
- D sought to escape contract on grounds of his mistake
- Court said no, the objective contract that you've formed is one for the kind of oats you were contracting for, your individual state of mind is irrelevant to the terms of the contract you've entered into.

COMMON MISTAKE

- **Both parties make the same mistake**
- **General rule:** if in spite of that shared assumption, the terms of our contract are such that they reflect a different objective agreement, parties will be held to the terms of the agreement, irrespective of the fact that we both were laboring under the same mistake.
- Common mistake may render a contract void in certain (very restricted) scenarios in common law
- Otherwise parties will not be allowed to rescind the contract in equity (current practice in Queensland, but may be different in other jurisdictions).

Otherwise there's some basis for rescission of the contract in equity for common mistake. Uh But uh, It that's in Australian law, in in there's a Queensland Supreme Court decision, it's now getting a little bit old, in which uh it was held that, Contracts couldn't be rescinded in equity for common mistakes, so you could only have them declared void ab initio, ah,we won't get into that, it's not particularly important.

COMMON MISTAKE AT COMMON LAW

• The circumstances in which contract will be void for common mistake at CL are very rare.
• Two main approaches:

1. ***THE CONSTRUCTIONAL APPROACH***

   (look for an implied term to the effect that the obligations are conditional on some state of affairs that the party assumed to exist);

- ***McRae v Commonwealth Disposals Commission (1951)***

2. ***THE CIVILIAN APPROACH***

   (sufficiently fundamental mistake voids contract);

- ***The Great Peace [2003]***
  - Where there is a common mistake as to terms, then rectification of an instrument may be available
    – See Supplementary Notes (pp. 284-286)
  - Rectification will not be examined in this course.

COMMON MISTAKE: AN IMPORTANT CAVEAT

The main point to note with respect to common mistake is that almost always an argument that a contract is void ab initio for a common mistake fails at one of its first hurdles.
As Lord Phillips said in the great piece;

'Where, however, the parties agree that something shall be done which is impossible at the time of making the agreement, it is much more likely that, on true construction of the agreement, one or other will have undertaken responsibility for the mistaken state of affairs. This may well explain why cases where contracts have been found to be void in consequence of common mistake are few and far between'
Lord Phillips in The Great Peace [2003]

So think about Commonwealth Disposals Commission case, McCrae and Commonwealth Disposals Commission.Yes, both parties were ah proceeding on the mistaken assumption that there was a tanker off Charmond Reef, whose responsibility, Was it the parties had made that assumption? The Disposals Commission, who had sold the non-existent tanker. To McRae.
So in that case, the disposal commission was the party that had undertaken responsibility for that state of affairs. They were liable, therefore, for breach of contract, and then that's where the dispute around damages that we looked at in previous weeks arose.

EXAMPLE: MCRAE V COMMONWEALTH DISPOSALS COMMISSION (1951)

‘The only proper construction of the contract is that it included a promise by the Commission that there was a tanker in the position specified. The Commission contracted that there was a tanker there.’
Dixon and Fullagar JJ

- ***McRae v Commonwealth Disposals Comission (1951)***

Mistake at common law; the constructional approach. Both parties believing there was a tanker. Courts looked at whether there was an implied term to the effect that the obligations under the contract were conditional to the existance of the tanker – that if the tanker doesn’t exist, no obligations – but that was rejected. Contract held not void.

• Contract for salvage of ship lying off ‘Jourmand Reef’, ‘100 miles north of Samarai’.
• There was no tanker, and no such reef.
• Commission defended themselves against a claim for damages (last week) on basis that there was a common mistake.

Held: Contract void if existence is an implied condition for formation. But ‘the terms of the contract and the surrounding circumstances clearly exclude any such implication.
The buyers relied upon, and acted upon, the assertion of the seller that there was a tanker in existence. It is not a case in which the parties can be seen to have proceeded on the basis of a common assumption of fact so as to justify the conclusion that the correctness of the assumption was intended by both parties to be a condition precedent to the creation of contractual obligations.’ (Dixon and Fullagar JJ)

- ***The Great Peace [2003]***

Mistake at common law; the civilian approach. Sufficiently fundamental mistake voids contract. The contract was not void for common mistake. It did not render performance impossible or radically different. There was no power to set aside the contract in equity for common mistake

In England and Wales, for a contract to be void for common mistake there must be:
1. A common assumption as to the existence of a state of affairs
2. No warranty by either party that the state of affairs exists,
3. The non-existence of the state of affairs must not be attributable to either party;
4. The non-existence of the state of affairs must render performance of the contract impossible
5. The state of affairs may be the existence, or a vital attribute, of the consideration to be provided or circumstances which must subsist if performance of the contract is to be possible.

• Tsavliris are in the business of salvaging ships and aiding ships in difficulty in the South Indian Ocean.
• Tsavliris were advised a vessel named "Cape Providence" was in trouble. They used the Ocean Routes service to try to find a tug nearby, and were told that there was one about 35 miles away called the "Great Peace".
• Tsavliris contacted the Great Peace’s owners, and agreement was made to hire the tug for a minimum of five days. It then became apparent that the Great Peace was not 35 miles from the Cape Providence, but 410 miles. Tsavliris then found a closer tug and terminated the contract with Great Peace Ltd. GP Ltd sued. Tsavliris argued it was a common mistake as to the location of the stricken vessel and this invalidated the contract.

Held (CoA of England and Wales): The contract was not void for common mistake. It did not render performance impossible or radically different. There was no power to set aside the contract in equity for common mistake

RESCISSION IN EQUITY FOR COMMON MISTAKE?

- ***Solle v Butcher [1950] (Denning LJ):***

(i) A common misapprehension either as to facts or as to their relative and respective rights; and

(ii) Fundamental nature of this mistake; and
(iii) Absence of fault on the part of claimant.

RESCISSION IN EQUITY

- In Great Peace Shipping v Tsavliris Salvage (International) Ltd [2003] the English Court of Appeal declined to follow Solle v Butcher [1950].
- The Queensland Court of Appeal endorsed the decision in Great Peace in Australia Estates v Cairns City Council (2005).
- Some other Australian jurisdictions have continued to follow Solle.
- Even without invoking doctrine of mistake, may still be able to rescind on other equitable grounds (e.g. unconscionability).

MUTUAL MISTAKE

- **Both parties make different mistakes.**
- The court's task is to apply the objective theory of contract. Determine which mistake is the correct one.

- In rare cases, the existence of a mutual mistake may go to the very foundations of the contractual undertaking, so it may not be possible to give meaning to the parties' agreement.
- If no meaning can be given to each party's representation, then no contract has been formed.

  - ***See e.g. Raffles v Wichelhaus [1864]***

  Mutual mistake. No binding contract as no meeting of the minds.
  - Cotton to arrive 'ex peerless from Bombay'
  - Two ships named "Peerless" departing Bombay, one in Octoer and another in December

  – Held: No binding contract as there was no consensus ad idem
  • Usually, however, what appears to be a mutual mistake is simply unilateral.
  – See e.g. Smith v Hughes (1871)

UNILATERAL MISTAKE

Generally a unilateral mistake will not affect a contract unless there is involvement on behalf of the other party, in the form of either
(i) misrepresentation or
(ii) unconscionable dealing.

REMEMBER: a mistake by one of the parties in and of itself has no effect on the validity of contractual undertaking.

However, a mistake may be caused by one party' misrepresentation, in which case you will have an actionable misrepresentation, or mistake may be exploited as a disadvantage by another party – in which case you may have unconscionable dealing – either of those may provide basis for setting aside a contract.

If there is involvement of the right sort:
i. a mistake as to terms will render a contract voidable where there is unconscionability;
ii. A mistake as to identity will ordinarily render a contract voidable, but it may be void if no contract has been formed because the contract was not 'accepted' by the right person
- The only person authorised to accept an offer is the person to whom the offer is made.

I. MISTAKE AS TO TERMS

One party's knowledge of mistake is not independently sufficient:

- ***See e.g.*** *Smith v Hughes (1871) (where D thought they were buying 'old' oats)*
  - In Taylor v Johnson (1983) the High Court set out the circumstances in which courts will intervene in equity to provide relief.
  - The doctrine that allows a court to set aside a contract in equity for unilateral mistake strongly resembles the doctrine that allows courts to set aside a contract in equity for unconscionable dealing, and may even be rooted in the same jurisdictional concerns

- ***Taylor v Johnson (1983)***

Mistake to terms. Contract rescindable to unilateral mistake as to terms – Taylor knew and ensured Johnson never became aware – unconscionably used a disadvantage – so contract could be rescinded in equity

'A party who has entered into a written contract under a serious mistake about its contents in relation to a fundamental term will be entitled in equity to an order rescinding the contract if the other party is aware that circumstances exist which indicate that the first party is entering the contract under some serious mistake or misapprehension about either the content or subject matter of that term and deliberately sets out to ensure that the first party does not become aware of the existence of his mistake or misapprehension'
--Mason ACJ, Murphy and Deane JJ

MISTAKE AS TO IDENTITY

Usually involve owner → rogue → third party
  - Usually argued that contract is void ab initio because the rogue was pretending to be another person – therefore no offer and acceptance, no contract, title didn't pass, original owner should be able to recover from third party (but third party bar to recission?)
- Classic scenarios involve fraud (see e.g. **Ingram v Little**).
- If the contract is void, then the title of any property subject to the contract will not pass to the other party.
  - This allows for recovery of property from an innocent third party who has bought the property without notice of the fraud.
- Starting Point: Offer can only be accepted by person to whom it is (objectively) addressed. (**Shogun v Hudson)**
- **If contract is formed in person, there is a presumption that the offer is made to the person to whom it was actually addressed.**
  - **So even if I am a rogue, if I am in person, I am authorised to accept your offer**
- **At least for contracts wholly in writing, there is scope for arguing that the offer is made to the person identified in writing.**

- ***Shogun Finance v Hudson [2003]***

Mistake as to identity. Dispute between Shogun and the third party. Court disputed in favour of Shogun – because the contract was in writing, the person identified in the contract as Mr Dela Patel was the only person who could accept the contractual offer. The rogue was not authorised to sign the contract, so it was void ab initio. This means third party left without money or car tho :(

  - Rogue representing himself as 'Mr Durlabh Patel' purchased a car from Shogun Finance through a dealer and then sold it to a 3rd party, Hudson.
  - Hire-Purchase Agreement contained reference to Mr Durlabh Patel.

Held (HOL): The rogue did not have authority to accept the offer. Evidence of face-to-face dealing could not be used to support an alternative interpretation of the agreement. As negotiations had not been face-to-face, there could be no presumption that the offer was actually made to the rogue.

MAIN TAKEAWAYS

1. Very rare for a contract to be void ab initio of a mistake
2. It is much more common for a mistake to be caused by a misrepresentation, or to be exploited in a manner that meets the definition of unconscionable dealing in equity or under statute. In either of those cases, there will be in any case a basis for setting aside the contract, and recission.

Topic 9 – Misrepresentation as a Vitiating Factor in Equity and Common Law, & Prohibition of 'Misleading or Deceptive Conduct' under ACL & remedies available for loss or damages under that provision

THE RELEVANCE OF MISREPRESENTATION TO CONTRACTUAL LIABILITY

- **Misrepresentations of any type (innocent, negligent or fraudulent) provide a basis for setting aside contracts in equity (RESCISSION)**
  - This relieves both parties of their contractual liabilities, and thus provides a form of relief to the plaintiff where the transaction is unfavourable.
- **Misrepresentations can also be tortious. That is, they are a legal wrong or infringement of another's rights. A party injured by a tortious misrepresentation can bring an action for damages compensating them for the injury.**
  - In cases where the misrepresentation has induced entry into the contract, an award of damages can provide a kind of monetary relief from contractual liability (for the plaintiff only).
- **Where a misrepresentation is either fraudulent or negligent, it will be tortious.**
  - **Victim can obtain damages**
  - We will not focus on negligent misrepresentation in this course

MISREPRESENTATION

Determining whether a misrepresentation has occurred requires us to consider:

- **Whether there was a misrepresentation** (a positive statement of fact by the representor which is false);
- Whether the misrepresentation has **induced the representee** to enter the contract; and
- Whether the representor is **culpable for that misrepresentation**

With regard to culpability, misrepresentations may be either;

- Innocent;
- Negligent or
- Fraudulent

WHETHER THERE WAS A MISREPRESENTATION (A POSITIVE STATEMENT OF FACT BY THE REPRESENTOR WHICH IS FALSE);

A POSITIVE STATEMENT OF FACT

- A statement of fact is distinguished from e.g.
  - A mere puff
  - A statement of opinion

- A statement of intention

- A statement about future state of affairs

Two broad categories of exception…

- the law regards even a prediction as to the future or a statement of opinion as capable of making an implied assertion. That implied assertion might relate to the (1) genuineness of your belief in what you're asserting. Or it might relate to the (2) existence of some factual basis underpinning your assertion.

- ***BUT CAN INCLUDE IMPLIED ASSERTIONS***

– Smith v Land & House Property Corp (1884)
– Edgington v Fitzmaurice (1885)
– Ritter v Northside Enterprises (1975)

- **General rule: Does the statement of e.g. opinion or future intention make an implied representation about something factual.**
  - E.g.:
  – State of mind
  – Existence of a state of affairs supporting the opinion or prediction
- If so, it will be capable of being misrepresentation

- ***Edgington v Fitzmaurice (1885)***

Fraudulent Misrepresentation, statement of fact. Did not tell the truth – statement was false, as it made an implied assertion of their intentions.
If you make a false statement about what your intention is, you must know that that statement is false, must know what your intentions are, and therefore fraudulent.

- Ds issued a prospectus inviting purchase of debentures with the stated intention of expanding their business.
- Their real purpose was to pay off existing debts.

Held: "the state of a man's mind is as much a fact as the state of his digestion. It is true that it is very difficult to prove what the state of a man's mind at a particular time is, but if it can be ascertained it is as much a fact as anything. A misrepresentation as to the state of a man's mind is therefore a misstatement of fact." The Ds' statements were either reckless as to truth, or knowingly false.

- ***Smith v House and Land Corporation (1884)***

Fraudulent Misrepresentation, statement of fact, sale of land. Tenant was not actually most desirable. Statement of opinion, not capable of being true or false.
A statement of opinion can make an implied representation about the existence of a state of affairs or set of facts that support the opinion. The court emphasised that the facts weren't equally known to both sides. Vendor is held to have factual basis supporting his opinion – which he didn't have, so fraudulent.

- Representation that tenant was 'most desirable tenant', when in fact he was frequently late in making payments.

Held: 'But if facts are not equally known to both sides, then a statement of opinion by the one who knows the facts best involves very often a statement of material fact, for he impliedly states that he knows facts which justify his opinion' (Bowen LJ)

- ***Ritter v Northside Enterprises(1975) (do not read)***

Fraudulent Misrepresentation, statement of fact, implied assertion false.

‘It will be seen that the appellants alleged both the making of representations and the making of a collateral agreement and it was submitted before us that the representations were promissory only, but it is clear to my mind that what was alleged was that fraudulent misrepresentations of fact were made. The representations alleged to have been made were as to the future, but they involved the assertion that Mr. Gray believed that the area would be sewered within the time mentioned. In other words, the fact allegedly misrepresented was the state of mind of Mr. Gray’ –Gibbs J, [3]

The general rule is that positive statement or conduct is required. (words or conduct) (positive action is usually an actual statement – verbal or written)
• However, in certain circumstances failure to disclose the whole truth amounts to misrepresentation.

i. Positive duties of disclosure
ii. Partially true statements (Dimmock v Hallett; Krakowski v Eurolynx)
iii. Fraudulent concealment of a defect (Horsfall v Thomas)

I. POSITIVE DUTIES OF DISCLOSURE

Positive duties of disclosure will be present in certain circumstances
i. Contracts uberrimae fidei (utmost good faith) (e.g. insurance contracts, duty to disclose health conditions)
ii. Changes in circumstances or ‘supervening falsification’ (With v O’Flanagan)
iii. Fiduciary relationships (e.g. solicitor and client, parent and child)

If the defendant knew of the change of circumstances, then on the continuing representation view, it becomes fraudulent misrepresentation in virtue of their knowledge.

For the duty to disclose view, they would have to know of the duty to disclose in order to be considered fraudulent.

- ***With v O’Flanagan [1936]***

Positive duties of disclosure – changes in circumstances/supervening falsification. Duty to disclose changes in circumstances.

• O’Flanagan said truthfully at beginning of negotiations that his practice was making 2000 pounds a year.

• During four month interval prior to signing, O’Flanagan fell ill, and the value of the practice dropped until it was practically worthless.

Held: O’Flanagan was under a duty to communicate the change in circumstances. Failure to do so amounted to misrepresentation. O’Flanagan’s initial representation, once made, continued on. It fell to be withdrawn or corrected by O’Flanagan once it became false.

Justification 1:

‘ if a statement has been made which is true at the time, but which during the course of the negotiations becomes untrue, then the person who knows that it has become untrue is under an obligation to disclose to the other the change in circumstances’

Lord Wright MR

Justification 2:

‘a representation made as a matter of inducement to enter into a contract is to be treated as a continuing representation … [T]he representation remains in effect and it is because that is so, and because the Court is satisfied in a proper case on the facts that is remained operative in the mind of the representee, that the Court holds that under such circumstances the representee should not be bound’

Lord Wright MR

These are different justifications, although in most circumstances their differences are irrelevant. They may, however, matter when it comes to determining whether the failure to disclose is fraudulent or innocent. E.g. the D may have known of the falsity of the statement but may not have intentionally withheld the information.

II. PARTIALLY TRUE STATEMENTS

- Partially true or half-truths amount to misrepresentation
- In general, the laws response to this problem is to reject the idea that the statement is partially true.
- So where a statement that might be technically true would be understood reasonably as relating to a larger state of affairs, and would therefore be false on that reasonable understanding, it would be treated as a false statement.

- ***Dimmock v Hallet (1866)***

Misrepresentation – positive duties of disclosure - partially true statements. Quality of tenants. Statement technically true if restricted in certain ways, but a reasonable would have understood it in a more general and unrestricted fashion – that the representation that it was let at an annual rent of £290.15 shillings meant that that was the rate at which it could be let currently. Whereas in fact, that was not the rate at which it had been lent for some time, and they'd been let most recently for 65 pounds less. P also believed land had continuing tenancies, but it didn't. So the statements, although are defensible on the basis of a technicality, as it were, as partly true, were misleading or misrepresentative, with respect to the entire state of affairs that they were reporting to purporting to characterize. So they were treated again as fraudulent misrepresentations.

• P purchased two farms from D on the strength of representations that one was 'lately in the occupation of R Hickson, at an annual rent of £290 15s' while the other was let to Wigglesworth at £160.

• Actually Wigglesworth had given notice to quit, while Hickson had paid only £1 for first quarter, £290 for the first full year, but had been out of possession for nearly 18 months. The D had subsequently let to a new tenant, who paid £65 less, and had backed out

Held: Ds statements were a material misrepresentation. Led the D to believe that the farm would be let at a certain rate, when it had been let most recently for £65 less. They had also led the P to suppose that he was buying land with continuing tenancies at a fixed rate

Krakowski v Eurolynx Properties (1995)

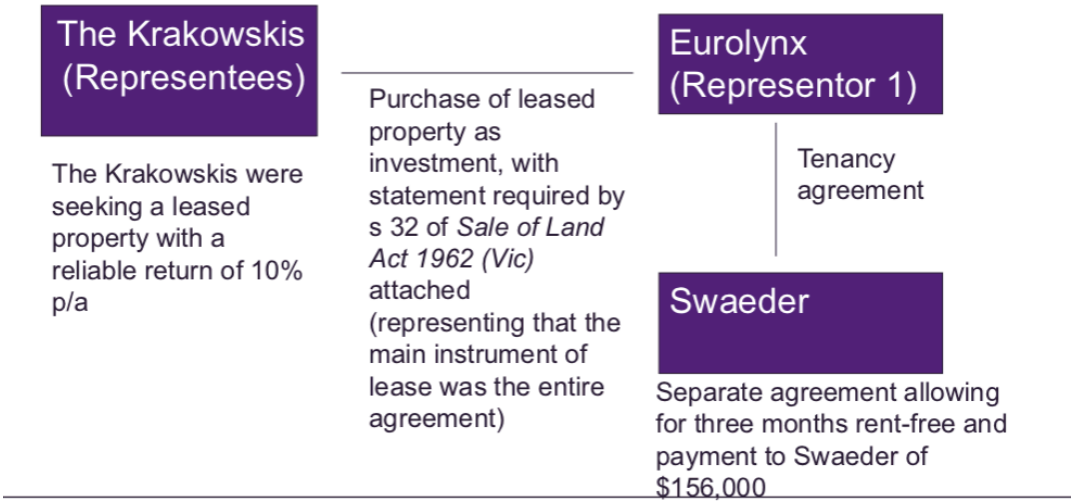
Misrepresentation – positive duties of disclosure - partially true statements – modern court.

Implied assertion that the true statement is not true merely with respect to some part of the state of affairs being representative, that is true with respect to the entire state of affairs.

If you represent that you have a lease with a reliable return of 10% per annum, the representee takes that as relating to all relevant facts that they need to know about the lease. So if you fail to disclose you have made a side agreement with the tenant, which is quite financially lucrative to induce them to enter into the lease, that will be treated as a false statement, because a reasonable person would have expected that to be disclosed as part of the characterisation of the lease.

HOW TO STRUCTURE AN ANSWER!

Held (Full VCA, HC Agreeing):



• Eurolynx had made a positive misrepresentation to the effect that the lease (with its stated rent and rate of return of 10%) was the entirety of the agreement

• The representation was false, since Eurolynx knew of the separate agreement

III. FRADULENT CONCEALMENT OF A DEFECT (HORSFALL V THOMAS)

- *Horsfall v Thomas [1862]*

Misrepresentation – intentional concealment of a defect – there was concealed defect, but that is not what induced the agreement – P had discovered the defect and hadn't relied upon it.

• Certain kinds of active concealment constitute a misrepresentation

• Fraudulent concealment of a defective firearm by inserting a metal 'plug' amounted to representation by conduct.

Held: But this defect was discoverable, and therefore the misrepresentation had not induced the contract.

INDUCEMENT

WHETHER THE MISREPRESENTATION HAS INDUCED THE REPRESENTEE TO ENTER THE CONTRACT;

- **A misrepresentation induces entry into the contract when it:**
  - **Is intended or calculated to induce entry and is addressed to the relevant party; and**
  - **Causes entry into the contract in question (reliance)**

CAUSATION

1. 'Notwithstanding that a representation is both false and fraudulent, if the representee does not rely upon it he has no case.

2. If a material representation is made which is calculated to induce the representee to enter into a contract and that person in fact enters into the contract there arises a fair inference of fact that he or she was induced to do so by the representation.

3. The inference may be rebutted, for example, by showing that the representee, before he entered into the contract, either was possessed of actual knowledge of the true facts and knew them to be true or alternatively made it plain…he did not rely on the representation.

4. The representation need not be the sole inducement. It is sufficient so long as it plays some part even if only a minor part in contributing to formation of the contract.'
Wilson J in Gould v Vaggelas (1985)

INFERRED RELIANCE

- If the Inducement is sufficiently material, then an inference of inducement may be drawn.

- **A material representation is one which, in an objective sense, is calculated to influence the mind of a reasonable person – Gould v Vaggelas (1985)**

- ***Gould v Vaggelas (1985)***

Australian approach to inducement and causation. Inferred reliance, material representation.

• Gould Holdings (representees) purchased tourist resort.

• False statements by Vaggelas (representor) that 'profitable' and false figures as to returns and occupancy rates.

• Mrs Gould had expressed incredulity as to figures.

• Held: Inference could be drawn from materiality of representation even where the representee expressed doubt.

REBUTTING THE INFERENCE

- **Rebuttal of the inference can be made by showing that the true facts were known or that, regardless of truth or falsity, the representation was not relied upon.**

- Actual knowledge of falsity is required; it is not enough to show that the representee carelessness contributed to the reliance.
  – Redgrave v Hurd (1881) - *To rebut inference of reliance, need to show that the plaintiff had actual knowledge of the falsity.*

- The misrepresentation need not be the sole cause of entry into the contract.
  – Edgington v Fitzmaurice [1885]

The question is, did it cause entry into the contract, or ought it to have caused entry into the contract?

- ***Actual Knowledge - Redgrave v Hurd (1881)***

Misrepresentation, inducement, inferred reliance. To rebut inference of reliance, need to show that the plaintiff had actual knowledge of the falsity. Carelessness no bar to recovery. There was still inferred reliance.

• Sale of solicitor's firm and accompanying house by Redgrave
• Misrepresented income as 300 pounds p/a, when it was 200 pounds p/a. Offered to show papers that would have disclosed the true income of the business.

• Hurd failed to inspect the papers. If he had, he would have realised the truth.
Held: Hurd had still relied on the representation. Carelessness is no bar to recovery.

- ***Misrepresentation need not be the sole cause of entry - Edgington v Fitzmaurice [1885]***

Misrepresentation, inducement, inferred reliance. Reliance on misrepresentation. The misrepresentation need not be the sole cause of entry into the contract – but A reason.

• Mr Edgington bought bonds falsely believing he would obtain a charge over company property, so (the D argued) he would have purchased anyway.

Held: 'it is not necessary to show that the misstatement was the sole cause of his acting as he did. If he acted on that misstatement, though he was also influenced by an erroneous supposition, the defendants will still be liable' (Cotton LJ)

CULPABILITY

Whether the Representor is Culpable for that Misrepresentation (deserving of blame)

With regard to culpability represention may be either; Negligent (innocent, or fraudulent later in notes)

1. Innocent Misrepresentation:
D was honestly mistaken – but by making the statement, P was mistaken about a material fact when entering the contract.
- No knowledge of falsity or intention to deceive.

2. Negligent Misrepresentation:
D made statement when they should've known better – duty to take **reasonable care.**
Falls under common-law negligence – therefore can be (1) vitiated at common law / equity and (2) can be actionable under the common-law tort of **negligent misstatement**.

3. Fraudulent Misrepresentation:
- Misrepresentation is made: (1) **knowingly** and (2) either **without belief** in its truth or **reckless** and **careless** as to its truth or falsity.
- P must prove D had **no honest belief** in the truth of the representation (***Krakowski v Eurolynx:*** 'representation can be made fraudulently **without evil motive'**… 'if that representation was made **consciously**, it must have been made fraudulently').
Common-law fraud – therefore can be (1) vitiated at common law / equity and (2) can be actionable under the common-law tort of **deceit**.

RELEVANCE OF CULPABILITY

Culpability	Recission Available	Damages
Wholly innocent	Yes	No
Negligent	Yes	Yes
Fraudulent	Yes	Yes

I. CULPABILITY: NEGLIGENCE

- **Negligent misrepresentations have three elements:**

  i. A duty of care;

  ii. A breach of duty in making the statement; and

  iii. Reliance on the misrepresentation causing loss

Whether the Representor is Culpable; FRAUDULENT (vs innocent)

II. CULPABILITY: FRAUDULENT

- **A fraudulent representation is made: (i) knowingly, and (ii) either without belief in its truth or recklessly, careless as to its truth or falsity**
- The test for fraud hinges on findings of fact. Onus is on the plaintiff to establish.
- NB: Negligence is not fraud ('reckless or careless as to truth or falsity', rather than reckless or careless as to the outcome)

Fraudulent	Negligent
The person making the statement has no belief in its truth, and they make it to induce agreement. Does not need to be made with an evil motive. Just knowledge of falsity. (Krakowski) The test for fraud hinges on findings of fact. Onus is on the plaintiff to establish.	Person making statement that is true fails to exercise appropriate care or skill in that statement.

- ***Krakowski v Eurolynx (1995)***

Knowledge of falsity and didn't disclose it. FRAUDULENT.

Held (by HCA):

• **'A representation may be made fraudulently without evil motive.'**

• 'A representation that the instrument of lease covered the whole of the agreement between Eurolynx and Swaeder bears only one meaning. If that representation was made consciously by Eurolynx or its soliticor, it must have been made fraudulently'

DAMAGES FOR MISREPRESENTATION

• Damages will be available in tort for deceit (for fraudulent misrepresentation) or negligence.

  – Subject to causation, remoteness, mitigation etc.

• **Broadly speaking, these damages compensate you for the loss caused by the misrepresentation. (not by loss from no performance of promise in damages)**

• If you act in detrimental reliance on the promise, then the damages available for that detriment at CL will reflect the so called "reliance" measure of damages.

• E.g. You buy a car on the strength of a representation (that the D knew to be false) that it is 1998 Holden (value of $6000) for a purchase price of $5000. It is a 1996 Holden (value of $4000). The loss you have suffered in reliance on the representation is $1000.

– Contrast this with an award of damages for breach of contract, which protects the "expectation measure".

So if there's a promise made in a contract, that the defendant knew to be false, that can be both a breach of contract and a fraudulent misrepresentation, and that's what happened in Alati and Kruger incidentally. So in Alati and Kruger, the plaintiff had at their election three possibilities, they could have affirmed the contract and sued for misrepresentation. They could've affirmed the contract and sued for damages for breach of contract, or they could have rescinded the contract and recovered only those damages for the misrepresentation that were available along with rescission. So it might be worth going back and looking at Alati and Kruger to see how these different courses of action can arise from a single transaction.

'A person must not in trade or commerce, engage in conduct that is misleading or deceptive or is likely to mislead or deceive.' s.18 ACL.

- ***Person can mean a corporation***
- ***Only applies in trade or commerce***
- ***it prohibits conduct that is misleading or deceptive or is likely to mislead or deceive, so the conduct doesn't need to actually mislead for it to be actionable - this is an immediate point of distinction with the common law, which requires a plaintiff to show that they have been induced by the representation to suffer a loss.***

What is the difference between mislead and deceive?

- Nothing, just tautology.

S18 OF AUSTRALIAN CONSUMER LAW

- We will be looking at:
  – The definition of 'conduct';
  – The 'trade or commerce' requirement;
  – The test for 'misleading or deceptive' conduct; and
  – Remedies under ss236, 237, 243 of the ACL
- Note:
  • Does not apply to the provision of financial services
- So if a bank engages in xx conduct, that is dealt with under section 12 of the ASIC Act
  – Competition v Consumer Act 2010 (Cth), s131A
  • But parallel provision in Australian Securities and Investment Commission Act 2001 (Cth), s 12DA(1)
  • Further sections of the ACL regulate specific forms of misleading or deceptive conduct
  – E.g. misleading representations about goods or services (s29), sale of land (s30).

THE SCOPE AND PURPOSE OF THE PROVISION

- It is a strict liability provision
- Culpability/intention usually irrelevant
- Imposes a duty not to mislead, regardless of a person's beliefs or intentions.
- 'This is a general prohibition, which creates a norm of business conduct in the market' (Explanatory Memorandum to ACL)
- Has implications for contract law, negligent misstatement, intellectual property law…

'TRADE OR COMMERCE' REQUIREMENT

- Look for some connection to commercial activity or the presence of a market (it does not need to be profitable activity).
- All but a very restricted kind of private or non-commercial activity will be classified as in 'trade or commerce'.
- **Refers to activity 'in' trade or commerce rather than 'in relation to' trade or commerce (Concrete Constructions v Nelson).**

- Not limited to conduct that is within the usual course of business (Bevanere v Lubidineuse).
- **Provision applies to those acting in a business capacity, rather than in an individual, private capacity. (O'Brien v Smolonogov).**

- ***If you have sale and purchase of land for a non-commercial purpose, between two private individuals, with no discernible connection to a marketplace, in those circumstances, it will be conduct outside of trade or commerce. (O'Brien v Smolonogov).***

- ***Concrete Constructions v Nelson (1990)***

S18 ACL. Trade or Commerce requirement. NOT in trade or commerce. Transaction between employer and employee.

• Accident on construction site at Grosvenor Square, Sydney

• Respondent injured during employment by grates, which foreman had assured were secured by bolts.

• Respondent sought damages for breach of s 52 of TPA (as it then was), in order to avoid restrictions on quantum in workers compensation.

• Held (Per Mason CJ, Deane, Dawson and Gaudron JJ):

– Refers 'only to conduct which is itself an aspect or element of activities or transactions which, of their nature, bear a trading or commercial character'.

– The conduct of the company towards employees did not have this character

- ***Bevanere v Lubidineuse (1985) FCA 160***

S18 ACL. Trade or Commerce requirement. YES in trade or commerce. Realisation of a commercial asset can form part of a trade or commercial activity.

• Vendor of a beauty clinic business said that one of its employees would remain in the clinic after the sale knowing that she intended to leave and establish her own business.

After the employee had left, she failed to disclose this fact.

Held (FCA):

• The sale of the clinic was part of the totality of the vendor's commercial activities.

• The fact that it was the sale of a capital asset did not deprive it of its character as a transaction in trade or commerce.

- ***O'Brien v Smolongov [1983]***

S18 ACL. Trade or Commerce requirement. NOT in trade or commerce. Entirely private, and no commercial purpose to the land, just being bought. If this had involved a realestate agent, it would have been in trade or commerce – as trading or commercial context.

you have sale and purchase of land for a non-commercial purpose, between two private individuals, with no discernible connection to a marketplace, in those circumstances, it will be conduct outside of trade or commerce.

• Representations made by telephone about which land was for sale

• Here the land was not acquired for trading stock, and did not amount to more than the mere realization of capital asset.

• Land not used for farming or grazing

• Only feature that could conceivably be relied on to suggest that the conduct occurred in trade or commerce was that the newspaper was used to advertise it & the parties used the telephone to negotiate

Held (FCA):

• Not done in the course of carrying on business and it lacked trading or commercial character as a transaction

'CONDUCT'

- Defined in s2(2)
- 'Conduct' allows for the law to have a broader effect than common law misrepresentation.
- Includes:
  - Silence and Half-Truths
  - Representations as to future
  - Promises
  - Opinions
  - Statements of law
  - Puffery

A. SILENCES AND HALF-TRUTHS

- Silences and half-truths constitute conduct under the ACL—question of fact (s2(2)).
- While s18 is generally strict, under ss2(2)(c) the omission must be "other than inadvertent" (has to be deliberate) (so innocent failures to disclose not captured, but be careful.)
- Half-truths will be treated much the same as at general law.

– Henjo Investments v Collins Marrickville Pty Ltd [1988].

- Failures to correct will also be treated the same

– E.g. the failure to disclose that an employee had since left in Bevanere v Lubineuese (1985).

- With respect to pure silence, look for 'reasonable expectation of disclosure' in order to judge whether misleading.
- Very roughly, for our purposes an expectation of disclosure will only be reasonable if the relationship between the parties involves a 'duty of disclosure' at general law (see week 9).
- in assessing whether it's misleading or deceptive, they acquire quite a high standard.
  They ask, would there be a reasonable expectation of disclosure of this fact?

– Miller v BMW Finance [2010]

– Per French CJ and Kiefel J: '[the provision] does not impose on a party an obligation to volunteer information in order to avoid the consequences of careless disregard, of its own interest, of another party of equal bargaining power and competence' (Miller v BMW Finance [2010]

- ***Henjo Investments v Collins Marrickville [1988]***

Silences and half-truths under ACL. Misleading or deceptive conduct YES. Misleading conduct induced agreement. Irrelevant that the buyer had an opportunity to discover the true position.

• Sale of a restaurant licensed to seat 84.

• Owner had increased seats to 128 and installed 8 bar stools without authority from the local council or the liquor licensing authority

• Buyer was shown the restaurant and observed the seating

• Buyer's solicitor failed to check compliance with the by-laws

• Contract contained an 'entire agreement' clause

• Buyer sought rescission and damages

Held (FCA):

1. Henjo had engaged in misleading and deceptive conduct by failing to reveal the true licensed seating capacity

2. Irrelevant that the buyer had an opportunity to discover the true position (cf Redgrave v Hurd)

3. The misleading conduct was an inducing factor

4. The entire agreement clause could not be relied upon to exculpate Henjo

- S52 is section of Consumer Protection Provisions, protect public from misleading or deceptive conduct and unfair trade practices which may result in contravention of the Act. Exclusion clauses cannot operate to defeat claims under s52, like clauses 6 and 7 in this case, where conduct of the defendant was allegedly fraudulent.

- ***Miller v BMW [2010]***

Pure Silence. Not able to use s18. NOT misleading or deceptive. Pure silence was not misleading or deceptive because there was no reasonable expectation of disclosure.

- Miller acted as broker assisting in acting for loan with BMW Australia Finance Limited for a non-cancellable insurance policy.
- Miller supplied BMW with documentation in support of the loan application, including memorandum and certificate of insurance
- BMW argued Miller should have disclosed that the policy was not cancellable.

Held (HCA):

- Parties were sophisticated and experienced. There was no foundation for the conclusion that the known importance of cancellability would create reasonable expectation of disclosure

B. REPRESENTATIONS AS TO FUTURE

- s4(1) ACL—if a person makes a representation with respect to any future matter, and the person does not have reasonable grounds for making the representation, the representation is taken to be misleading.
- s4(2) creates an evidential burden to produce evidence of 'reasonable grounds'. (If they cant produce evidence, then no reasonable grounds).
- But does not reverse the onus of proof-s 4(3)

So as soon as the representor introduces some kind of evidence, they meet their evidentiary burden. All they have to do is introduce evidence, no matter how weak. And once that's done, the burden remains on the representee, the plaintiff, to show that there were no reasonable grounds. So it's a slightly technical uh distinction between an evidential burden, and the onus of proof.

C. PROMISES

Conduct includes contracts, arrangements, understandings and covenants- s2(2)(s) ACL.

– The section has been invoked to circumvent the privity rule, and/or as an alternative to contractual enforcement.

A promise contained in a contractual document can be characterised as misleading or deceptive conduct if e.g. there was no intention of performing the promise

D. OPINIONS

- The courts have put a common law gloss on the meaning of s18.
- **Only opinions that amount to 'implied representations' may amount to misleading or deceptive conduct.**
- Opinions which are representations as to the future covered by s4(1)

- ***Global Sportsman v Mirror [1984]***

Opinions amounting to implied representation. A statement of opinion can be a misrepresentation as the state of mind of the maker of the statement.

- Articles about the cricketer Kim Hughes alleged to have defamed Jeff Thomson.

Held (FCA):

• Where conduct amounts to a misrepresentation it will be misleading or deceptive.

• A statement of opinion can be a misrepresentation as the state of mind of the maker of the statement.

IN ASKING IF CONDUCT IS 'MISLEADING OR DECEPTIVE'

- Culpability is not required (didn't have to know or intend)
- **Assessed from the point of view of a 'ordinary' or 'reasonable' members of the class addressed by the conduct**
  - *You simply ask whether an ordinary or reasonable person who belonged to the class addressed by the conduct would have been led into error. And that will be sufficient to make it misleading or deceptive.*
- Failure to make reasonable enquiries is only relevant in cases involving **pure silence** (e.g. Miller v BMW [2010])
- Must have actually been led into error if a claim for damages is to arise (cf. false advertising cases brought by the regulator (ACCC)).

If you can show that the conduct is likely to mislead or deceive, you can get certain other remedies, including injunctions preventing the party from continuing to engage in this conduct. We have a regulatory body, the Australian Conduct Competition and Consumer Commission, that often seeks those kinds of remedies. If you seek those kinds of remedies, you don't need to show that the conduct has actually misled or deceived anyone. You can say, this will mislead or deceive people, or is likely to, therefore, we'd like an injunction prohibiting this advertising campaign, or ordering this wording in the advertisement to be changed.

But for our purposes, if you're a plaintiff in an action seeking rescission of a contract or damages for the misleading or deceptive conduct, then you're going to need to show that you were actually led into error.

- ***– Wilson J's statements in Gould v Vaggelas (week 9) can be invoked here***

THE AUDIENCE OF THE CONDUCT

- If made to the public, then regard must be had to ordinary or reasonable members of class of prospective purchasers had been led into error
- If made to other class then assessed from the perspective of that class.
- If made to individuals, then regard must be had to the nature of the transaction, the individuals involved, and what each party knew about the other **(Butcher v Lachlan Realty (2004)).**

- ***Butcher v Lachlan Realty (2004)***

Misleading or deceptive conduct. The audience of the conduct. Conduct was not misleading or deceptive, would not lead into error. ***Regard must be had to the nature of the transaction, the individuals involved, and what each party knew about the other.*** **Purchasers were intelligent business people. Transaction was sophisticated. Diagram not made by agent. There was a disclaimer.**

• Butcher claimed real estate agent had engaged in misleading & deceptive conduct by including an inaccurate survey diagram in the marketing brochure.

• The diagram suggested, erroneously, that Mr Butcher's plan to move the swimming pool would be feasible and that it would not encroach on the mean high water mark.

• The brochure included a disclaimer to the effect that "we cannot guarantee its accuracy and interested parties should rely on their own enquiries".

Held (HCA, by majority 3:2) that the conduct was not misleading or deceptive

1. **In order to determine whether conduct was misleading it was necessary to consider**

    a. **The nature of the parties**
    b. **the character of the transaction contemplated**
    c. **What each party knew about the other as a result of the dealings**

2. **As to (a), the purchasers were intelligent, shrewd and self-reliant business people who could be assumed to respond to the representation in question in a reasonable manner; the real estate agent was characterised as a business with a small staff that did not hold itself out as possessing the means of independently verifying title details of property.**

3. **As to (b), the transaction was of "a very expensive property, to be used as an investment" and the purchasers engaged professional advisers throughout the transaction.**

4. **As to (c), it was plain to Mr Butcher that the diagram had not been made by the agent and the circumstances negated any suggestion that the agent had adopted the diagram as its own or that it had verified its accuracy**

FAILURE TO TAKE CARE

- **Failure to take care or to take reasonable steps to discover the truth does not negate characterizing the conduct as misleading or deceptive. It is irrelevant that a party had the opportunity to discover the true position** (see e.g. Henjo)
- But the **nature of the parties, and the extent to which it is possible for them to take steps to protect their own interests, is relevant to characterising the conduct, especially in cases involving a failure to disclose**.

- *See e.g. Miller v BMW*
- (per French CJ, Kiefel J): 'The provision 'does not impose on a party an obligation to volunteer information in order to avoid the consequences of the careless disregard, for its own interests, of another party of equal bargaining power and competence

EFFECT OF EXCLUSION CLAUSES

- **Exclusion clauses, 'entire agreement' and 'non-reliance' clauses cannot exclude responsibility for failure to conform with s 18 of the ACL (cf. effect of exclusion clauses in common law.)**
- See e.g. the 'entire agreement' clause in Henjo.
- Courts may still take the plaintiffs actual notice of the exclusion or non-reliance clause it into account in terms of assessing whether a party has been misled or has suffered loss or damage in reliance on the representation (see Butcher v Lachlan Realty). This will rely on evidence that the P has seen the clause in question and was put on notice of the need to make their own enquiries.

REMEDIES UNDER THE ACL

- The ACL allows for a variety of forms of relief that are not available under common law of contract.
- Includes:
  - **Injunctions (s232)**
  - **Damages (s236)**
  - **Other orders to compensate the injured person, prevent or reduce the loss or damage suffered (s237, s243)**

1. ***DAMAGES***
   S236(1) READS:

'If,

(a) a person (the claimant) suffers loss or damage because of the conduct of another person; and

(b) the conduct contravened a provision of Chapter 2 or 3

The claimant may recover the amount of the loss or damage by action against that other person, or against any person involved in the contravention.

- **Must suffer loss or damage (so nominal damages not available)**
- **Must show the conduct caused the loss or damage.**
- **Where no fraud or intent to mislead, damages may be reduced to reflect claimant's share in responsibility (s137B Competition and Consumer Act)**
- **Limitation period of 6 years (s236(2)).**
- **The tortious measure of damages is usually applied ('consequential' not 'expectation' damages). The question is how much 'worse off' a claimant is as a result of conduct.**

– See e.g. Marks v GIO Australia Holdings (1998)

- *Marks v Gio Australia Holdings (1998)*

Remedies under ACL. Damages. Not available. Marks were no worse off as a result of Gio's conduct.

If the promise in Marks and GIO had been a contractual promise, that the loan margin was fixed, then of course they would have been able to get damages reflecting the difference between the fixed and unfixed loan margin. That's because they would have expected to be, upon performance of the contract, in a position where they were enjoying a fixed margin.

But when you bring a claim for breach of section 18, you can only recover for your losses suffered as a result of the conduct, and here, the loan agreement, even on its very terms, was still more beneficial than any other loan agreement available, so they hadn't suffered any loss or injury, it was immaterial that if the promise had been fulfilled, they would've been in an even better position,

because the aim of damages for breach of section 18 is not to put you in the position you would've been in had the promise been fulfilled. It's to compensate you to the extent that you're worse off as a result of the conduct.

• Marks borrowed from GIO group

• Contract terms conferred right to vary the loan margin (from 1.25% to 2.25%).

• Brochure contained representation that margin was fixed.

• GIO permitted Marks to refinance. Evidence established that the loan was more beneficial than any other available.

Held: No damages remedy available. Marks had not established any loss or damage. Marks was also unable to obtain an order varying the agreement to fix the loan margin at 1.25%, because the aim of such an order had to be to compensate Marks for loss or damage

2. OTHER ORDERS

- s237(1) Court may 'make such order or orders as the court thinks appropriate against the person who engaged in the conduct, or a person involved in that conduct'
- s237(2) Basis is to compensate the injured person, or to prevent or reduce loss or damage suffered.
- s237(3) Must be commenced within 6 years

- s243 sets out a variety of examples.
  - **Voiding the contract (s243(a))**
  - **Varying the contract (s243(b))**
  - **An order to refund money or return property (s243(d))**
- These orders can have the effect of rescinding (or partially rescinding) the contract.
- Recission is the order most often sought and granted under s237.

MISREPRESENTATION AND S 18

	Misrepresentation	ACL
Silence	Silence is not actionable without duty to disclose.	Silence may be misleading and deceptive (s2(2)), but only where there is a 'reasonable expectation of disclosure'.
Inducement	Inducement must be shown	Inducement must be shown for damages, but other orders may be available regardless.
Innocent Misrepresentation	No damages for innocent misrepresentation	Damages available for innocent misrepresentation. Culpability is irrelevant
Time Limits	Equitable affirmation or laches (delay)	Limitation period of 6 years (s 236(2), s237(3))
Trade or Commerce	Applies to conduct outside of trade or commerce.	Does not apply to conduct outside of trade or commerce

REMEDIAL OPTIONS

Misrepresentation	S 18 ACL
Reliance Damages	Damages for loss incurred; variety of other orders (s237, 243)
Rescission	Rescission-like orders under s243
Rights of 3rd parties bar rescission	No strict bar to recission, but guided by equitable principles

Topic 10 – Three Doctrines that render a contract voidable from illegitimate pressure or exploitation: Duress, Undue Influence, Unconscionable Dealing

ILLEGITIMATE PRESSURE AND EXPLOITATION

DURESS

Procuring contractual assent by an illegitimate threat.
Renders a contract voidable, rather than void
Must show both:

1. **Illegitimate pressure**

i. An application of physical, economic or psychological pressure in order to compel the other party to enter into the transaction.

2. **Which was a cause of the decision to enter into the contract:**

i. Factual causation: The pressure applied actually induced consent
ii. Normative causation: The victim had no reasonable alternative but to submit to the pressure applied.

1. ILLEGITIMATE PRESSURE

Three broad categories of illegitimate pressure:

1. Duress to the Person
2. Duress of Goods
3. Commercial Pressure

A. DURESS TO THE PERSON

- You make someone an offer they cant refuse
- Physical threat

B. DURESS OF GOODS

- threat to damage or detain someone's property

C. DURESS THROUGH ILLEGITIMATE COMMERCIAL PRESSURE

- Needs to be distinguished from acceptable commercial pressure.
- Needs to involve threatened conduct which is unlawful
- Withholding or threatening to withhold contractual performance can constitute economic duress

– North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd ('The Atlantic Baron') [1976]

- ***North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd [1972]***

Duress through illegitimate commercial pressure. There was duress. Commercial pressure in threatening to terminate the contract was unlawful. Voidable for duress. (however they couldn't rescind as they'd delayed too long which affirmed the contract)

- Shipbuilding contract for the **'Atlantic Baron'**
- Fixed price payable in five instalments. Payment fixed in USD—which devalued.
- Hyundai threatened cancellation of the contract—unknowingly threatening a lucrative agreement North Ocean had to charter to the tanker to Shell upon completion.
- Payment was made in return for increased letter of credit.
- North Ocean sought restitution of the additional payment as money 'had and received'.

Held (HoL):

- This new contract was voidable for duress. (Hyundai's lack of knowledge of lucrative agreement was irrelevant).
- However, North Ocean had delayed in relation to rescission and were held to have affirmed.

LAWFUL ACT DURESS

- **In certain circumstances, lawful acts might be illegitimate (e.g. blackmail or extortion).**
- Courts have occasionally held that where a threat is lawful but nonetheless morally illegitimate or unconscionable, it may nonetheless amount to illegitimate pressure.

  ➔ Suppose that you have compromising information about someone. You know someone has let their wife accept drivers licence penalties on their behalf. It is lawful to report this criminal activity.
  ➔ So what happens if you threaten someone that you will report their criminal activity unless they contract with you/agree to gift you property?
  ➔ The threatening conduct is lawful, but still seems improper or illegitimate.
  ➔ In QLD that threat would be unlawful blackmail. But there are jurisdictions where it's not.

  OR emotional blackmail:

  ➔ Suppose it is the night before wedding, engaged. Person engaged to is from wealthy family. You get cold feet and don't want to marry unless they give you a large sum of money.
- The High Court are yet to clarify the scope for relief for 'lawful act' duress.

– Electricity Energy Corporation v Woodside Energy Limited [2014] HCA 7.

- ***Verve Electricity Energy Corporation v Woodside Energy Limited [2013]***

Lawful act duress. Sometimes an offer is a threat.

• Explosion at Apache gas production facility.
• Woodside offered Verve short-term gas sale at higher price than under existing Gas Sale Agreement.
In WA CA ([2013] WASCA 36):
• The pressure exercised by Woodside was an application of illegitimate pressure, being a threatened or actual breach of contract.
• Lawful pressure may be illegitimate if there is no reasonable or justifiable connection between the pressure being applied and the demand which that pressure supports (McLure P).
• Restitution of moneys paid was not available as the contract had not been actually rescinded.
High Court ([2014] HCA 7) resolved on contractual interpretation, holding there had been no threatened or actual breach of contract.

DURESS AND UNCONSCIONABILITY

In many cases, where a threat is argued to be unconscionable, it could provide a basis for setting aside the contract on the basis of unconscionable dealing.
• What about the threat is alleged to be unconscionable?

- Australian and New Zealand Banking Group v. Karam (2005) 64 NSWLR 149
- *New South Wales Court of Appeal said that there is no need for, or there is no distinct doctrine of, lawful actress in Australian law, and that the doctrine has been subsumed under unconscionable dealing doctrine. Karam is still regarded as good law in New South Wales, but Queensland courts and courts in other jurisdictions such as the Western Australian Supreme Court haven't followed it.*
- Cf. Mitchell v. Pacific Dawn Pty Ltd [2007] QCA 74 [7] Keane JA:

'Duress and unconscionable conduct are distinct doctrines with different bases and incidents: they are not different ways of describing the same doctrine. **The expression 'illegitimate pressure' is not a synonym for 'unconscionable conduct'.'**
Even if there is overlap, they are still separate basis of recovery.

REMEDIES

- **Remedies under ACL will also be available for breach of s 50, which prohibits 'harassment and coercion'** with respect to **goods and services or land transactions**.
- **There is no basis for recovering damages at common law for duress – no tort of duress.**
- **The primary remedy for duress is rescission (at common law – must be strict – not assessed in exam)**
- Regular bars to rescission will apply (e.g. affirmation).
- The Atlantic Baron: Delay in seeking repayment/rescission constituted affirmation

---

UNDUE INFLUENCE

In situations in which one party has influence, the exercise of which is presumed to be 'undue', or which impairs the quality of the other party's consent, equity will intervene and set the contract aside.
So where duress was a common law doctrine, undue influence was the equitable analog of duress. Now sit side by side.
Historically, two types of undue influence

i. **Actual undue influence**—nature and character of influence must be proven

ii. **Presumed undue influence**—where there is a pre-existing relationship of the requisite type that either (a) belongs to an establishes class; or (b) is factually such that the court will presume undue influence to be present given the nature of the transaction.

Allcard v Skinner (per Cotton LJ).

CLASS I – ACTUAL UNDUE INFLUENCE

- Actual undue influence relies on evidence of influence at the time of transaction
- Requires evidence (direct or indirect) of the state of mind of the party.
- May inevitably involve appealing to character of their prior relationship.
- **E.g. blackmail**
- **Thorne v Kennedy [2017]**

- ***Thorne v Kennedy [2017]***

Actual undue influence occurred. Also a finding for unconscionable dealing. Threat acted on improperly on the mind or volition of Ms Thorne. Fiancé and Fiancée not presumptive influence.

• Ms Thorne met Mr Kennedy over the internet in 2006.
• Mr Kennedy was a wealthy, 67-year old Greek Australian property developer. Ms Thorne was a 36 year old childless divorcee with no substantial assets.
• Mr Kennedy informed Ms Thorne before they were married that she 'would have to sign paper' and that his wealth was for his children.
• 11 days before the wedding, with the guests already invited and the wedding arranged, Mr Kennedy advised Ms Thorne that she would need to sign a prenuptial agreement or the wedding would be cancelled.
• Ms Thorne was advised by her solicitor that the agreement was 'entirely inappropriate' and she should not sign. She nonetheless signed the prenuptial agreement, as well as a subsequent prenuptial agreement.

Held (HCA, majority):
• The relationship between fiancée and fiancé was no longer one to which the presumption of undue influence attached, in spite of historical precedent to the contrary.
• There was nonetheless sufficient evidence that Mr Kennedy had exercised actual undue influence over Ms Thorne.
• Ms Thorne was 'powerless' and relied on Mr Kennedy for all things. There was a lack of a 'fair or reasonable' outcome for Ms Thorne. It could be inferred that she had suffered from an inability to freely or voluntarily enter into the agreements. In question.

My advice to simplify things is you just go through the criteria for each doctrine, and if they're made out each time, then they're made out each time. So if it is a case of lawful act duress and undue influence and unconscionable dealing, so be it. You don't need to worry if, if that's what you find. That would be my advice for how to deal with it.

UNDUE INFLUENCE: CLASS IIA: BELONGS TO AN ESTABLISHED CLASS

Rejected Classes:

- Husband and wife
- Dentist and patient

- Master and servant

Some established classes include:

- Parent and child
- Guardian and ward
- Solicitor and client
- Trustee and beneficiary
- Physician and patient
- Religious advisor and advisee

UNDUE INFLUENCE: CLASS IIB: COURT PRESUME UNDUE INFLUENCE GIVEN THE NATURE OF THE INTERACTION

- the court is unwilling to apply the presumption as a matter of law, but they're willing to apply it as a matter of fact.
- **Court may be asked to find that the parties' antecedent relationship is such that undue influence should be presumed given the nature of the transaction.**
- *that although the relationship doesn't belong to one of these presumptive classes of undue influence, in the particular case, it resembles sufficiently one of those classes, or resembles the fiduciary character of one of those classes sufficiently that the courts are willing to apply the presumption.*
- **Fiduciary relationships are relationships of trust and confidence.**
  - ➔ Typically you have one party that reposes a high degree of trust and confidence in the other.
  - ➔ They defer to the other party's judgment, which gives the other party a suspicious level of control over them.

• Take into account:
– Trust and confidence reposed
– Age, health, literacy, education, intelligence, personality, character, business experience
– Relative strength and character of donee
– Period and closeness of friendship
– Opportunity to influence

Johnson v Buttress (1936)

THE EFFECT OF THE PRESUMPTION

- Presumption arises where the transaction occurs within the relationship, and cannot be properly explained by the nature of the relationship
- **Shifts the burden onto the defendant to prove that no undue influence occurred.**
- Evidence of advice from a qualified legal practitioner independent of the contracting party will rebut the presumption.
- Transaction need not be disadvantageous, but absence of consideration may have evidentiary relevance

- ***Johnson v Buttress (1936)***

Presumption of undue influence, class II B – where the relationship wasn't one of the categories of II A, but the nature of the transaction was suspicious/indicated undue influence. One party uses their influence over another. Deed of gift – legal transaction without consideration in return – not required in a deed – can be set aside by undue influence the same way a contract can.

• P was only child of the deceased, who sought to have a transfer of land at Maroubra by the deceased to the D set aside.
• Deceased was 67 and wholly illiterate and dependent upon others at time of transfer
• D (Mrs Johnson) was relative of the deceased's wife. Remained close to Buttress and took care of him.
• Court found that Buttress had become completely dependent on Johnson for guidance, support, supervision and kindness.

Held (HCA): The fact that a substantial gift had been made within the relationship of influence put Johnson under the burden of showing that the transaction was the result of an exercise of 'independent will'. This burden could not be discharged.

UNCONSCIONABILITY

UNCONSCIONABLE DEALING

- Undue influence and unconscionable conduct are two distinct equitable doctrines but are closely related. (In reality there is a considerable degree of overlap between the two doctrines.)

- Both look to the character of the transactional relationship between the parties.
- **But the emphasis in undue influence is the pre-existing relationship (at least in type II cases).**

REQUIREMENTS FOR UD

'Relief on the ground of "unconscionable conduct" is usually taken to refer to the class of case in which a party makes unconscientious use of his superior position or bargaining power to the detriment of a party who suffers from some special disability or is placed in some special situation of disadvantage'
Mason J in Commercial Bank of Australia v Amadio (1983).

UNCONSCIONABLE DEALING IN THE ACL

- **s 20(1) ACL: 'A person must not, in trade or commerce, engage in conduct that is unconscionable within the meaning of the unwritten law'.**
- Includes equitable unconscionable dealing

- ***– ACCC v Berbatis (2003)***
- ***– Kakavas v Crown Melbourne Ltd (2013)***

• **Note also ss21-22 of the ACL (next week's lecture)**
- ➔ Anything that amounts to unconscionable dealing in equity will be in breach of the section 20 prohibition.
- ➔ Because the remedies available under the ACL are so much stronger, if you have unconscionable dealing in trade or commerce, as a plaintiff, you should pursue an action under Section 20, because that will allow you to recover, for instance, damages as an alternative to, or in addition to rescission.
- ➔ So section 20 of the ACL is an important provision for litigators.

SPECIAL DISADVANTAGE

To establish uncontrollable dealing, you need to show that there's been a special disadvantage on one party's behalf and that there's been unconscientious use of that disadvantage by the other party, the ascendant party.
Examples of Special Disadvantage:
- poverty or need of any kind
- sickness
- age
- sex
- infirmity of body or mind
- drunkenness
- illiteracy or lack of education
- lack of assistance or explanation

(per Fullagar J in Blomley v Ryan)
The overriding characteristic is that the adverse circumstance has the effect of placing one party at a serious disadvantage vis à vis the other.

RELEVANCE OF CONSIDERATION

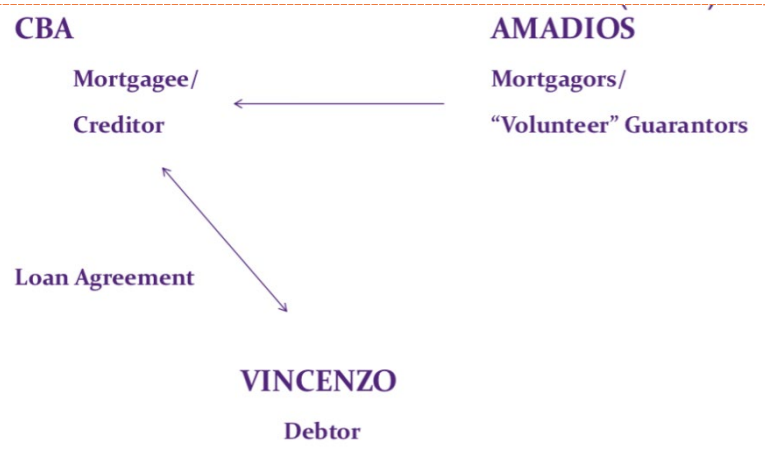
• While lack of adequate consideration may be relevant, it is not necessary
  - it can provide evidence from which the court can draw an inference of unconscionable dealing

• Even where consideration is adequate, the transaction might have been unfair, unjust or unreasonable. See e.g. Commercial Bank of Australia v Amadio (1983).

- ***Commercial Bank of Australia v Amadio (1983).***

UNCONSCIONABLE DEALING - Relevance of consideration, special disability, unconscientious use. Mortgage and guarantee.

SPECIAL DISABILITY



CBA AND VINCENZO:	AMADIOS:
•Major financial institution •Privy to affairs & financial instability of V's company – thought he was successful •Aware company unable to meet debts as they fell due •Aware of 2 overdrawn accounts and failures to observe borrowing limits •It suggested Mr & Mrs A enter into the transaction •It was aware of the content of its own document •V threw a lavish Christmas party to create illusion of prosperity	•Advanced age •Limited grasp of written English •Relied on V for the management of business affairs •Believed V & his company to be prosperous •Were approached in their kitchen whilst reading the paper & washing up •Were presented with a complex document •Received no independent advice •Had been misled by V about extent & duration •No attempt made by Mr Virgo to explain the transaction apart from correcting the time misconception

UNCONSCIENTIOUS USE

• The bank acted through Mr Virgo (their agent) so his actions are its actions & his knowledge is its knowledge
• What is the extent of knowledge required?
– Knew or ought to have known of the special disability (cf. Kakavas)

• Objective test
• If transaction improvident for the debtor, financial institution ought be put on enquiry and ensure independent advice obtained
• Knew the personal circumstances of the family
• Knew V couldn't pay his debts
• Must have been aware of the potential consequences for Mr & Mrs A of the unlimited guarantee
• Mr Virgo "assumed" Mr & Mrs A's agreement was the result of a family conference
• Should have been put on enquiry by their fundamental misinformation about a basic term of the transaction
• Should have enquired about whether it had been explained to them.
• Therefore unconscientious for bank to have proceeded to procure the signatures.
• Bank could not show that the transaction was fair, just and reasonable.
• Mr & Mrs A were not wholly misinformed as to the terms & effect of the transaction
• They had previously provided guarantees and mortgages
• They had been disabused of the six-month time limit
• They executed the document to assist their son's company in obtaining credit from the Bank which did advance the money
• But they believed their liability had been limited to $50, 000
• They were under a complete misapprehension as to the financial state of the company

- *Louth v Diprose (1992)*

Unconscionable dealing, pre-existing relationship between the parties.

Mr. Diprose	Ms. Louth
• Infatuation with Ms. Louth • Extraordinary vulnerability in the false "atmosphere of crisis" in which he believed that the woman with whom he was "completely in love" & upon whom he was emotionally dependent faced eviction and suicide	• She tolerated his visits & company because of the material benefits which "fed the flames" of his passion • She manufactured an atmosphere of crisis • She played upon his love & concern by the threats of suicide • Informed Mr Diprose that she would shortly be evicted.

SPECIAL DISABILITY
• In the circumstances Mr Diprose was under a relevant special disability
• It was irrelevant that he was also a solicitor

UNCONSCIENTIOUS USE
• Not necessary to prove a subjective intention to exploit
• She was aware of the infatuation & his consequent inability to judge what was in his best interests
• She deliberately created it

SPECIAL DISABILITY AND INEQUALITY OF BARGAINING POWER

• **Special disability does not include mere inequality of bargaining power.**
- You need to show that there was an impaired judgemental capacity or impaired ability/inability to make judgements for their own 'best interest'

– ACCC v CG Berbatis Holdings (2003)
• Courts looks for some impaired judgmental capacity

- *ACCC v CG Berbatis Holdings (2003)*

Unconscionable dealing, special disability and inequality of bargaining power – an inequality of bargaining power is not a special disability.

• CG Berbatis Holdings Pty Ltd owned a shopping centre in WA. The Roberts operated a fish & chip shop.
• The Roberts's daughter was seriously ill with encephalitis and they wanted to sell their business. The had sold the business subject to securing renewal of the lease.
• Unfair charges had the been levied (at a sum of $50,000). Subject to legal proceedings.
• Berbatis made renewal subject to discharge of claims (including dismissal of proceedings).
• Trial judge (French J, as he then was) held the Roberts were operating under a 'special disadvantage'.

Held (HCA): The Roberts were not under the requisite special disability:

'unconscientious exploitation of another's inability, or diminished ability, to conserve his or her own interests is not to be confused with taking advantage of a superior bargaining position'. (Gleeson CJ, [14])

'Mr and Mrs Roberts were under no disabling condition which affected their ability to make a judgment as to their own best interests'. (Gummow and Hayne JJ, [56])

Showed that they had no good options, but not that they were in a position where they couldn't decide in their best interest.

KNOWLEDGE AND UNCONSCIENTIOUS USE

- ***Kakavas v Crown Melbourne Limited [2013]***

Knowledge for unconscientious use. Crown didn't know of the special disability, so it could not be unconscionable.
Exploitation/unconscionability requires actual knowledge, recklessness or 'wilful blindness'.

Crown Melbourne	Kakavas
• Withdrew Kakavas's license to remain on the premises due to charges of armed robbery. • Revoked withdrawal after learning Mr Kakavas had lost $3 and $4 million dollars in Las Vegas Casinos • Offered preferential treatment, increased stakes limit, use of private jet, and cash rebate of 20% on losses.	• Ran a profitable property development company • Pathological gamber and 'high roller' (addicted to high stakes gambles) • Gambled at casinos on the Gold Coast, Sydney and Melbourne • Underwent therapy and self-excluded from crown. But later applied to have the self-exclusion revoked. • Attended the casino on 30 separate occasions between June 2005 and August 2006, losing $20.5 Million and turning over $1.479 billion

SPECIAL DISABILITY

- Mr Kakavas did not have a special disability
- In spite of his gambling disorder, he was capable of making decisions in his own best interests.
- Was capable of, and had in the past, making rational decisions to abstain from gambling.

UNCONSCIENTIOUS USE AND CONSTRUCTIVE NOTICE

Held (HCA):
- Exploitation/unconscionability requires actual knowledge, recklessness or 'wilful blindness'.
- Even if Mr Kakavas's gambling addiction had been a special disability, Crown's behaviour would not have amounted to exploitation.

REMEDIES FOR UNCONSCIONABLE DEALING

• In equity:
  - **Rescission**
  - **A shield - Refusal to grant specific performance/prohibitory injunction**
  - **An injunction to prevent unconscionable exercise of rights under the contract**

• Under the ACL:
  - Injunctions (s232)
  - Damages (s236)
  - Other orders (ss237, 243)

THE RELATIONSHIP BETWEEN UNDUE INFLUENCE AND UNCONSCIONABILITY

- Closely related
- Equitable remedy of recission or refusal to enforce the contract is the same if its pled defensibly
- Both come from a core concern about behaviour or unconscionability
- Unconscionable dealing is the modern doctrine, emerged through 20th century
- Undue influence is slightly older

THE RELATIONSHIP
Almost all cases of ACTUAL undue influence will also be unconscionable dealing.

- E.g. someone imposing an emotional pressure on someone – emotional blackmail case
  - ➔ That is creation of disadvantage – probably relationship or situational
  - ➔ Because that person has created the disadvantage, they are then unconscientiously using it with knowledge of its existence.

Not all cases of unconscionable dealing will be undue influence of either kind (Class I is actual, class IIA is where the parties belong to an established class, Class IIB is due to the nature of interaction)

- ➔ this is because unconscionable dealing can happen between people who are contracting at a distance or who have no prior relationship between one another.

Presumptive Undue Influence is an interesting case

- ➔ There are cases of presumptive UI which will not satisfy the requirements of demonstrating UD

The basis of the equitable jurisdiction to set an aside an alienation of property on the ground of undue influence is the prevention of an unconscientious use of any special capacity or opportunity that may exist…the source of power to practice such a domination may be found in no antecedent relation but in a particular situation, or in the deliberate contrivance of the party…But the parties may antecedently stand in a relation that gives to one authority or influence over the other from the abuse of which it is proper that he should be protected'

Dixon J in Johnson v Buttress (1936).

- ➔ About type II undue influence cases
- ➔ They have a prophylactic function
- ➔ they are protecting weaker parties from the abuse of the ascendent party of a relationship of influence by presuming misuse of that influence
- ➔ that means there are cases of presumptive undue influence where there is no direct evidence of unconscionable conduct by the ascendent party

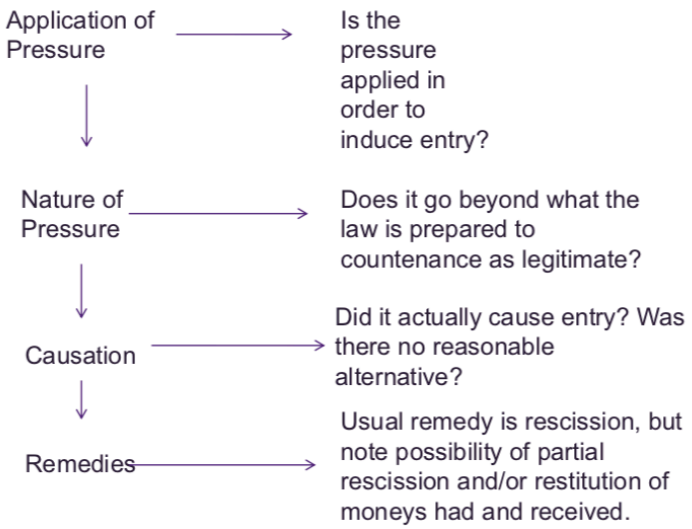
- e.g. your friend has some kind of chronic condition. They tell you their physician who treats them has given them an exciting business opportunity.
- Presumptively we might think the transaction is involves some sort of misuse of influence, even though we cant prove actual misuse of influence
- **The presumption of undue influence means the court will set aside the transaction, unless the ascendent party can provide evidence of transaction being freely and fairly entered to.**
- E.g. the physician would need to prove it was freely and fairly entered into.
  - ➔ Means there are successful actions for undue influence in which we wouldn't have successfully made out unconscionable dealing,
  - ➔ because we don't have proof of knowledge, or reckless or wilful blindness as to the disability, we don't have proof of knowledge

DURESS

i. There must be an application of pressure intended to induce entry into the transaction; and

ii. The application of pressure must go beyond what the law is prepared to countenance as legitimate; and

iii. The pressure applied must have been such that it amounted to the compulsion of the will of the innocent party, so that they had no reasonable alternative but to enter into the transaction.



General advice with duress is just to apply the criteria.

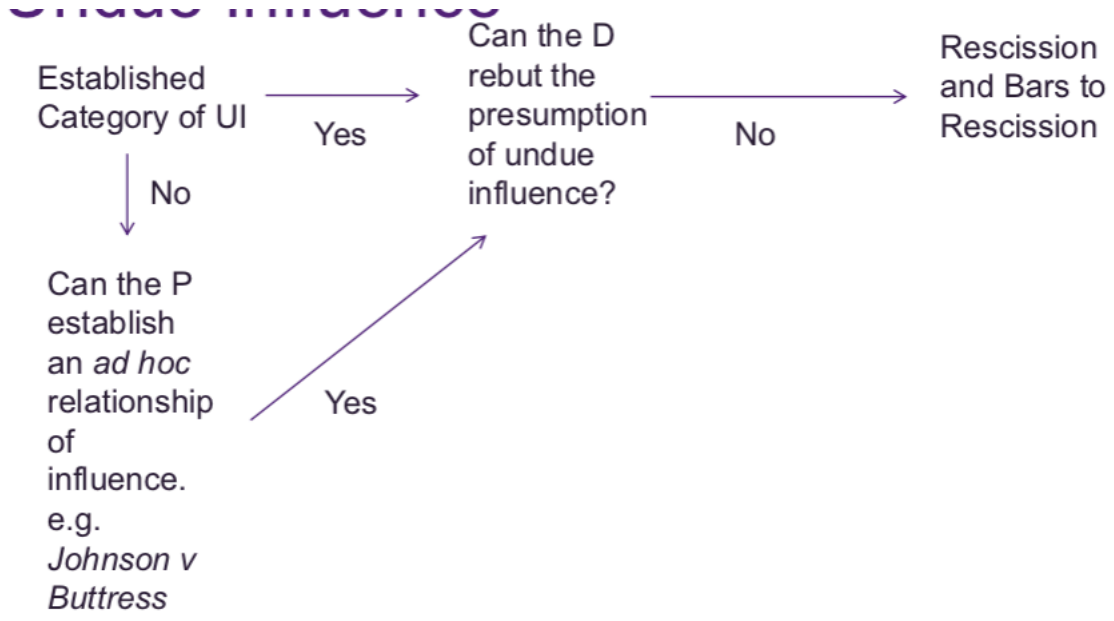
RELATIONSHIPS:

- Unconscionable dealing doesn't need any application of pressure, so that is usually how to distinguish between UD and Duress
- The only real exception to that is a case for emotional pressure, emotional blackmail. Probably better considered under UI or UD.

TYPE II UNDUE INFLUENCE

The key point with undue influence is whether you have an established category of UI or merely an ad hoc relationship influence.

Either give rise to a presumption that the influence has been misused. You don't need an actual demonstration of misuse, presumption in place.



UNCONSCIONABLE CONDUCT/DEALING

NOTE
Unconscientious use, following Kakavas, requires reckless or wilful blindness or actual knowledge of the disadvantage.

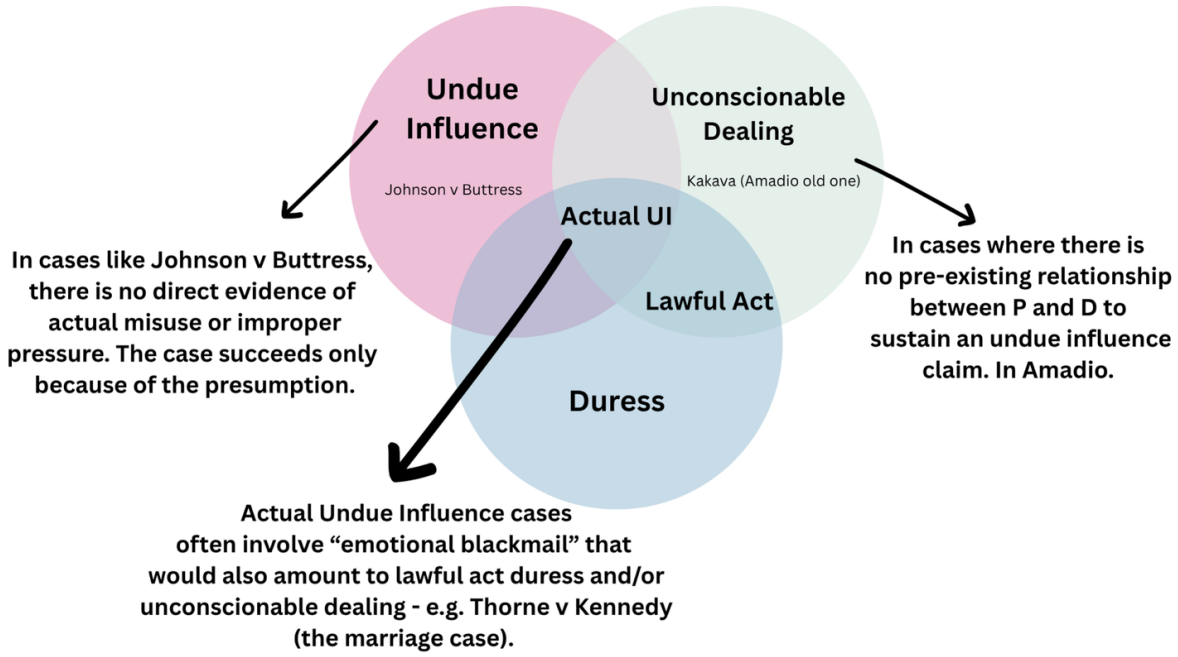
There is some inconsistency in the line of authority with Amario.
Amario says you can have constructive knowledge, it can be the case that you merely ought to have known of the special disadvantage.

More recent cases have, following Kakavas, imposed a stricter requirement of either actual knowledge or recklessness or wilful blindness.

KAKAVAS PREVAILS. APPLY KAKAVAS – NOT AMARIO.

Just apply the Kakavas standard. For the exam, that's sufficient.
As we'll see when it gets to third party propriety, the difference matters.
Because there are cases where a party, a beneficiary of someone who has used someone else's special disadvantage to their benefit without knowledge of it, should have known that he's had constructive knowledge and therefore, under the Amario criteria, would have been liable for it, but
where under the Kakavas criteria they would not.

SO WHAT'S THE RELATIONSHIP BETWEEN THESE THREE DOCTRINES?



Topic 11 – Statutory Unconscionability & Third-party Impropriety

UNCONSCIONABILITY WITH RESPECT TO GOODS AND SERVICES

- **Recall that section 20 prohibits unconscionable conduct in the "unwritten law" sense (i.e. Amadio-style unconscionable dealing).**
- **Barbados, Kakavas (to get damages)**

- **s21 prohibits 'conduct that is, in all the circumstances, unconscionable' in connection with supply or acquisition (or possible supply or acquisition) of goods and services.**
- Anything in breach of section 20 is also in breach of section 21
- It applies to a broader variety of conduct – not limited to equitable unconscionable dealing
- AWARE: Trade Practices Act 1974 used in a lot of case notes, for our purposes they are equivalent to sections 21 and 22

- **s22 sets out non-exclusive considerations to which the court may have regard.**

- Focus is on conduct that contravenes generally observed norms of good conscience, not on replicating equitable unconscionable dealing.

- Note that sections 21 and 22 can apply to individual instances of conduct, OR systems of conduct.
- Section 21 can be relied upon (particularly from a regulative perspective) to prosecute someone who is engaging in a system of conduct that is unconscionable.

- Note for the purposes of your reading that sections ss21, 22 replace previous sections ss51AB, 51AC of the Trade Practices Act 1974.

ILLUSTRATION OF SS21,22:

- *ACCC v Lux Distributors [2013]*

Unconscionability with respect to goods and services. Sat at the intersection of an individual circumstances and systems case. The conduct was unconscionable, as it went beyond the 'requirements of honest and fair conduct free of deception'.

• ACCC alleged that Lux had engaged in conduct that was unconscionable by selling vacuum cleaners to three elderly customers for >$2000.
• Used a 'ruse' involving a free maintenance check to gain entry to the customers households. The check was then used to convince them of the need for a new vacuum cleaner (thus breaching s74 ACL and denying the customers the opportunity to deny entry).
In many cases the customers were elderly, lonely, vulnerable to being targeted.

ACCC focused on an individual case – 3 elderly customers who had purchased the vacuums.

Held: The conduct was unconscionable, as it went beyond the 'requirements of honest and fair conduct free of deception'.

UNCONSCIONABILITY WITH RESPECT TO FINANCIAL SERVICES

- s12CA of ASIC Act 2001 (Cth) replicates s20 of the ACL
- ss12CB, 12CC replicate 21, 22 of the ACL
- Equivalent remedies are available under s12GF of ASIC Act (Damages) and s12GM (other orders).

So in an exam. You'll have to be aware that if the transaction involves financial services, it's actually covered by the equivalent of sections 20 and 21 under the ASIC Act. I don't expect you to remember the specific section names, if you don't want to.
Just seems it seems redundant to me, um, so I just want you to be aware of this. Some of the decisions we'll look at actually involve the equivalent of section 21 and 22 under the ASIC Act. They're still relevant to interpretation. Of the um, ACL because the provisions are the same, but it's a different act.

- ***ASIC v Kobelt [2019]***

Provision of financial services in Mintibi, a remote community. Held that this system was not unconscionable in 12CB of the ASIC act – Section 21 of ACL.

• Case concerned the 'financial services' equivalent of ss21 of ACL (s 12CB of ASIC Act).
• Mr. Kobelt ran a 'book-up' (credit) system in Mintabie, a remote community in Anangu Pitjantjatjara Yankunytjatjara Lands.

(they would obtain goods from him on credit, and he could withdraw from their bank accounts)
Held (HCA, 4-3 majority) the system was not unconscionable in the meaning of the prohibition in s 12CB.

'In Paciocco v Australia & New Zealand Banking Group Ltd, I referred to unconscionable conduct within the meaning of s 12CB as requiring "a 'high level of moral obloquy' on the part of the person said to have acted unconscionably".
"Moral obloquy" is arcane terminology. Without unpacking what a high level of moral obloquy means in a contemporary context, using that arcane terminology does nothing to elucidate the normative standard embedded in the section. The terminology also has the potential to be misleading to the extent that it might be taken to suggest a requirement for
conscious wrongdoing. My adoption of it has been criticised judicially and academically. The criticism is justified. I regret having mentioned it.

What I meant to convey by the reference was that conduct proscribed by the section as unconscionable is conduct that is so far outside societal norms of acceptable commercial behaviour as to warrant condemnation as conduct that is offensive to conscience. To that view of the statutory standard I adhere.'
--Gageler J, at [91-92]

CONDUCT MUST FALL SO FAR OUT OF ANY STANDARD OF ACCEPTABLE COMMERCIAL BEHAVIOUR THAT IT WARRANTS CONDEMATION.

'In its ordinary meaning, the term "unconscionable" requires an element of exploitation. The term imports the "high level of moral obloquy" associated with the victimisation of the vulnerable.'
--Keane J, at [118]
ASIC v Kobelt [2019]

SYSTEMS UNCONSCIONABILITY

- Section 21(4): "this section is capable of applying to a system of conduct or pattern of behaviour".
- Two recent High Court cases have explored the application of section 21 to systems of conduct. Neither of these cases is assigned reading.
  - Stubbings v Jams 2 Pty Ltd [2022]
  - Productivity Partners Pty Ltd v ACCC [2024]

HAVE A PROPER READ OF s21 and s22 of ACL to better understand!

- ***Stubbings v Jams 2 Pty Ltd [2022]***

Systems unconscionability. Case of Amadio-type unconscionable delaing, AND unconscionable conduct.
Asset based lending, a predatory based business structure. Agent never dealt directly with the clients. Got a very impecunious party, Stubbings, with very little financial literacy, who's made very improvident loan agreements, defaulted

under them almost immediately, and then Jams are purporting to exercise power of sale over three properties, including his residential properties.
Majority held there was unconscionability in the Amadio sense here. System of lending involved wilful blindness to disadvantages of stubbings.

• Jams 2 Pty Ltd ("Jams") were lenders who engaged in the business of "asset-based lending" (or "pure asset lending"). Jams' system of lending, however, involved an agent — a law firm — whose role was to facilitate secured, high-interest loans made by Jams to clients who were unlikely to be attractive to regular banks.

• Jams' agent never dealt directly with their clients, in this case a company owned and controlled by Stubbings, or their clients' guarantors, here Stubbings himself.

• The borrowing company was a shell; it had no assets, never traded, and was unlikely to trade in the future, in part because the current zoning of the property to be acquired under one of the sought-after loans precluded commercial use without special planning permission.
• **Stubbings, who had poor financial literacy and was unemployed with no regular income, agreed to guarantee two short - term, interest-only loans made, at high interest rates, by Jams to the shell company.**
• The first loan and guarantee were secured by mortgages over two existing properties owned by Stubbings, as well as over a third property that was to be acquired using the funds raised under the first loan.
• Stubbings provided signed certificates of independent financial advice and independent legal advice, which were drafted by the agent la w firm but administered by a lawyer and accountant introduced by a "consultant" of Jams, all of whom were separately remunerated for their respective services by deductions made to the funds advanced under the second loan.
• After paying a nominal deposit of $100 towards the purchase of the million-dollar third property, and making the first two interest payments under the first loan — the first payment being financed by the second loan, and the second payment being partially funded by a sale of some of Stubbings' other assets — the company defaulted on the loans and the respondents sought to enforce the guarantee and their mortgagee rights over the three properties.

Held (HCA):

- The mortgages and guarantee were unenforceable in equity on the basis that Jams had engaged in Amadio-type unconscionable dealing.
- Through their system of lending, Jams has made themselves 'wilfully blind' as to Stubbing's special disabilities, which arose from a serious lack of comprehension of the risks and a lack of explanation or assistance.
- Gordon J added that their system of conduct was contrary to s12CB of the Australian Securities and Investment Commission Act 2001 (Cth): "Jams'] system was designed to … hide from [themselves] any information which might later be said to make the loan, the guarantee or the taking of security unconscionable. The system sought to 'immunise' the lenders from claims by borrowers or guarantors to set aside loans as unconscionable by studiously avoiding any inquiry about why or in what circumstances the individual guarantor provided their property as security despite the lenders recognising that a loan of the kind they were offering 'could be a dangerous product in the wrong hands and wreak significant damage on the guarantor' (emphasis added). And the lenders' system was not reasonably necessary to protect the lenders' legitimate interests."

- ***Productivity Partners Pty Ltd v Australian Competition and Consumer Commission [2024]***

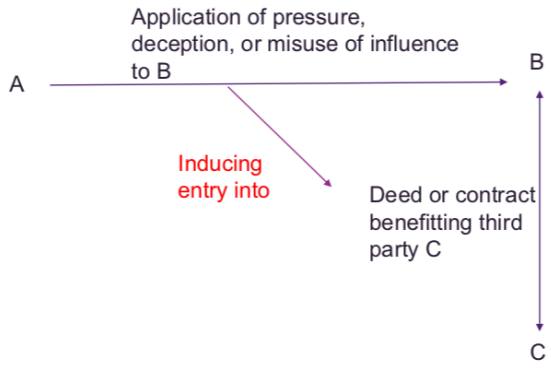
Systems Unconscionability. Discretionary factors highlighted in s22 s21 of ACL. Enrolling students who couldn't afford repayments. Again, use of an intermediary to create distance between themselves (the non-innocent party) and the victims. College had no face-to-face conduct with the students. Stopped checking that students wanted to stay enrolled. This was an unconscionable system under s21.
There was also accessorial liability – employees.
Held (HCA):
– The primary judge was correct to conclude that the system of conduct engaged in by the College was in breach of s21.
– The effect of s22 is not to limit the scope of s21: the factors mentioned in section 22 are not "mandatory relevants consideration[s] to be weighed in the circumstances of every case". The primary judge had paid close attention to the values underlying the statutory provisions.
– The system of conduct did not merely increase the risk of misconduct or unsuitable enrolment. The "risks" identified were the college were not mere possibilities—they were "circumstances endemic" the College's business model.
– The Court also upheld the primary judge's finding that Mr Wills, the COO and CEO during the relevant period, was knowingly co ncerned with the College's systemic conduct in contravention of s21.

ACCESSORIAL LIABILITY

THIRD PARTY IMPROPRIETY

There is an accessory who benefits from another parties misconduct or equitable fraud.

What we are investigating: what happens if impropriety comes from someone who is not a party to the contract? Can the impropriety still be used to set aside the contract and relieve innocent party of liability?



- ➔ most straight forward cases of third party impropriety involve an AGENT

We've actually looked at a case like that. Commercial Bank of Australia v Amario, commercial bank tried to make an argument, it wasn't us engaged in unconscionable conduct, it was our employee, the manager of the bank, Mr. Virgo.
But the court said, no, Mr. Virgo was acting as your agent, therefore his actions were
your actions, and his knowledge were your knowledge.

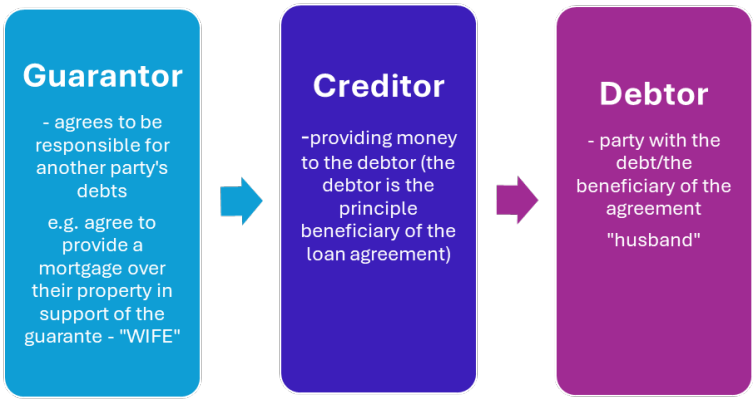
- ➔ So AGENCY is one way we attribute someone's conduct to a contracting party
- ➔ Similarly, if you sell a property, and a real estate agent is misleading or deceptive, can be attributable to you, or at least provide basis for setting the agreement with you aside.

THIRD-PARTY IMPROPRIETY AND SPOUSES

'If freedom of home-owners to make economic use of their homes is not to be frustrated, a bank must be able to have confidence that a wife's signature of the necessary guarantee and charge will be as binding upon her as the signature of any one else…at the same time, the high degree of trust and confidence and emotional interdependence which normally characterises a marriage relationship provides scope for abuse.'
Lord Nicholls of Birkenhead, Royal Bank of Scotland PLC v Etridge (No 2) [2002].

- ➔ People may use loved ones to take out money :(
- ➔ Exploited

COMMON STRUCTURE:
- 3 parties
- Amadio and Stubbings



THIRD PARTIES

- Third parties can be implicated in another party's impropriety.
- Principle applies equally to misrepresentation, duress, undue influence.
- Especially guarantees provided to creditor (e.g. a bank) for the purpose of a debtor:

  i. Where creditor makes the debtor an agent; or

  ii. Where the creditor has been put on notice; have actual notice of the misconduct

  iii. Where the creditor knows that the guarantor is the wife of the debtor, and the transaction in not for the debtor's benefit (Yerkey v Jones, Garcia v NAB)

- Wives Special Equity: protects spouses in particular, when they are acting as a volunteer in support of another spouse.

NOTICE PRINCIPLES IN AUSTRALIA

- Perhaps because of our more developed unconscionable dealing doctrine, Australia does not have developed principles concerning notice of impropriety.

• **The leading case is:**

- ***Bank of NSW v Rogers (1941).***

Third party impropriety – class IIB undue influence – bank knew of relationship – presumption of undue influence – charge set aside

  - Niece charged all her property to bank as security for uncle's overdraft.
  - There was an 'ad hoc' relationship of influence between uncle and niece (i.e. 'class IIB' undue influence).
  - The bank knew of the relationship, and thus it fell on them to rebut the presumption of undue influence that arose, which they could not do.
  - The charge was set aside.

- ***The Principle in Yerkey v Jones (1940)***

The doctrine in Yerkey allows for a Wife who acts as guarantor and signs a written guarantee which creditor accepts without direct dealings has a prima facie right to have the contract set aside.
No notice (actual or constructive) of wrongdoing is required for the right to arise.
Two limbs:

1. Where there is actual undue influence.
- you need to sign this or I am going to leave you

2. Where the guarantor is a volunteer who does not understand the effect of the document

FIRST LIMB OF YERKEY

- Nothing short of independent advice to the wife or relief from the ascendancy of her husband over her judgment would suffice to validate the transaction

- The enforcement of a voluntary transaction against her when she did not bring her free will is unconscionable

SECOND LIMB OF YERKEY

It is unconscionable for a creditor to enforce a guarantee against a wife when:

1. the surety (wife) did not understand the purport and effect of the transaction

2. the transaction was voluntary (in the sense that the wife obtained no gain from the contract the performance of which was guaranteed)

3. the creditor is to be taken to have understood that the wife may repose trust and confidence in her husband in matters of business and therefore to have understood that the husband may not fully and accurately explain the purport and effect of the transaction to his wife

4. the creditor nonetheless failed to take any steps to explain the transaction to the wife or to find out that a stranger had explained it to her.

- ***Garcia v NAB (1998) 194 CLR 395***

Third party impropriety → Second limb of Yerkey v Jones → Mrs Garcia wrongly thought that the mortgage only related to existing liabilities → companies were controlled by her husband, she wasn't a beneficiary → her husband had told her that there would be money and gold in the account and no risk to the transactions → enforcement of the guarantee against Mrs Garcia would be unconscionable.

The court found:
1. Mrs Garcia had signed them without explanation from the Bank
2. She was aware, however, that she was signing a guarantee for one of her husband's company's overdrafts
3. It was not explained to her, in particular, that the guarantee operated so that it was secured by the mortgages she had given some years earlier
4. There was some pressure applied by her husband—he had called her a "fool" in matters of business and asserted that he was an expert
5. She was attempting to save her marriage.

• Plaintiff/Mrs Garcia a physiotherapist who had been engaged as such either full or part time at all relevant times
• Mr Garcia was a foreign exchange broker
• August 1979 Mrs Garcia gave a mortgage to the NAB over the land on which the family home was built to secure a loan for her husband's business – understood what she was doing – had some business experience with banks and had utilised service trusts and companies and companies in the operation of her own business
• Mortgage was an "all moneys" mortgage and subsequently she executed a number of guarantees to cover loans to companies controlled by her husband
• Although Mrs Garcia was shown as a director & shareholder in the companies, they were controlled by her husband. Whilst there was some benefit to the family it could not be said that the family was beneficially interested in them. They were the complete creation of Mr
Garcia
• Mrs Garcia believed when she signed the mortgage that the earlier loans had been paid out and she did no appreciate that the guarantees were supported by the mortgages. She had apparently been told by her husband that there was no risk as there would be money or gold in the account.

Majority of the High Court held:
• On the basis of the principle in Yerkey v Jones that enforcement of the guarantee against Mrs Garcia would be unconscionable.
• The doctrine in Yerkey v Jones was not based on principles of notice or constructive notice of actual wrong dealing (Gaudron, McHugh, Gummow and Hayne JJ).
• Rationale is not protection of women as a 'subservient class'.
Kirby J agreed with the outcome but rejected the principle in Yerkey v Jones:
'The result to which I have come flows not from the fact that Mrs Garcia was a married woman in need of special protection, as such, from the law of equity. It flows from a broader doctrine by which equity protects the vulnerable parties in a relationship and ensures that in proper cases they have full information and, where necessary, independent advice before they volunteer to put at risk the major asset of their relationship for the primary advantage of those whose pressure that may be specially vulnerable.'

• The court did not resolve the issue of whether the doctrine might be applicable to e.g. other forms of marriage than those involving a husband and wife, de facto relationships, husbands acting as sureties to their wives.
• It is submitted that there is no reason why the rule in Yerkey v Jones should be limited in this way by contemporary courts.
• See Agripay Pty Ltd v Byrne [2011]: 'There seems to be no sound reason why these principles should be limited to wives entering into guarantees of their husbands' liabilities. Human weaknesses and unconscionable conduct are not limited to heterosexual marriage
relationships. These legal principles should apply equally to all vulnerable parties in personal relationships' (McMurdo P at [4]).

Trust makes you vulnerable.
Where you act as a volunteer, there is a duty on the bank to ensure you understand the transaction.

3RD PARTIES AND UNCONSCIONABILITY

3rd parties may be implicated directly under unconscionable dealing (e.g. CBA v Amadio) or statutory unconscionability under ACL or ASIC Act.

IMPORTANT: the only thing that unconscionable dealing won't absorb is where there is no actual knowledge or wilful or reckless blindness about the special disadvantage, but there is constructive knowledge.
So post Kakavas, that case wont be caught under a Amadio style unconscionable dealing, but it might be caught as statutory unconscionability.

EXAM WILL HAVE SOMETHING INVOLVING A TRANSACTION THAT INVOLVES FINANCIAL SERVICES, COVERED BY EQUIVALENT OF s21 and s20 UNDER THE ASIC ACT – s12CA and s12CB